Nordzucker – Heading for the future

ANNUAL REPORT 2021/2022

Sustainability. Excellence. Growth.

Joint Annual General Meeting on 20 July 2022
Finally an in-person meeting again! Our joint Annual General Meeting for Nordzucker AG and Nordzucker Holding AG will be held in the Volkswagenhalle in Braunschweig on 20 July 2022 at 10 a.m. The two annual general meetings will share a joint agenda. The event will also be live-streamed online via our AGM page.

Visit our AGM page already before the event at:
www.nordzucker.com/de/hauptversammlung

About the AGM page

Nordzucker – Heading for the future

Facts and figures ...

Three executive officers. One team

Alexander Bott
Chief Financial Officer (CFO)

Dr. Lars Gorissen
Chief Executive Officer (CEO)

Alexander Godow
Chief Operating Officer (COO)

Committed to our values:

Responsibility
We take responsibility for people, for the environment and for future generations.

Dedication
We are highly committed to sugar, to our work and to finding the best solution for our customers.

Courage
Treading new paths, being open to new ideas and listening to each other: This is what courage means to us.

Appreciation
We always start from a place of appreciation for each other.

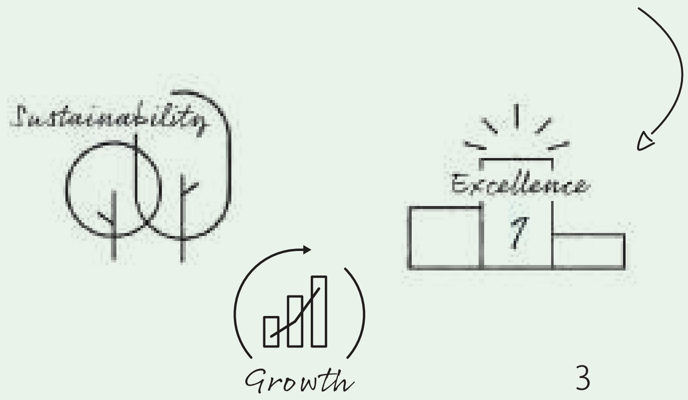
Sustainability. Excellence. Growth.

The Nordzucker strategy comprises sustainability, excellence and growth.

Sustainability
Business practices that are in harmony with the environment and that take responsibility for future generations, along with practices promoting social aspects, are all part of what we do. We shore this up with a variety of initiatives. At the heart of this is our *GoGreen* project with the aim of achieving carbon-neutral production based on renewable energy and the *Smart Beet Initiative* to promote sustainable, profitable beet cultivation.

Excellence
For us, excellence is a journey: Through improved leadership, organisation and cooperation combined with digital processes, we are safeguarding our cost leadership and competitiveness. Reliability and flexibility towards beet growers and customers are the top priority here.

Growth
For us, evolving means growing. We see growth opportunities in cane sugar outside of Europe, in the development and marketing of other products made from beet or sugar, and in the field of plant-based proteins.



Dear shareholders,

The Nordzucker Group was able to significantly improve its revenue and net income during the 2021/22 financial year. At 114 million Euro, our operating result was up around 33 million Euro on the previous year. Revenue increased by 273 million Euro to 1.9 billion Euro. This highly successful financial year was the result of high sugar prices, increased sales volumes and earnings of around 70 million Euro brought about by the optimization programme initiated about three years ago. Our majority shareholding in Mackay Sugar Ltd. in Australia also made a significant contribution – around 15 million Euro – to our operating result.

» This highly successful financial year was the result of high sugar prices, increased sales volumes and earnings of around 70 million Euro.«

In our most recent campaign, we produced 2.7 million tonnes of sugar from beet and around 700,000 tonnes of raw sugar from sugar cane. Sugar prices remain high both in the EU and on the global markets. Given the tight sugar balance and the current political and macroeconomic situation, we do not expect to see prices come down in the near future.

Owing to the positive growth trend, we and the Supervisory Board were able to propose a dividend of 80 Cent per share to the Annual General Meeting.

The war in Ukraine has presented the entire economy with an unprecedented situation. Uncertainty and disruptions to the supply chain as a result of the coronavirus pandemic have been heightened, the availability of energy and many raw materials has been put into question, with corresponding consequences for prices.

We are doing every thing we can to safeguard beet processing and sugar production in the campaign. The sowing of beet and the thick juice campaigns are proceeding as planned. Since the start of the war in Ukraine, we have been working towards safeguarding the energy supply for the campaign and towards securing alternatives if the gas supply were to be stopped. Wherever technically feasible, we will generate steam and electricity from oil, coal or liquefied natural gas, and we are also planning potential changes to the material planning of beet, sugar and products.

» We are continuing to diligently pursue our plan to replace fossil fuels with renewable energy sources.«

Because sugar is a key component of many foodstuffs and has irreplaceable characteristics, while beet is perishable, we are aiming to ensure we are prioritized when it comes to energy supply.

We are continuing to diligently pursue our plan to replace fossil fuels with renewable energy sources. We could become carbon-neutral and self-sufficient in terms of energy by using around half of the sugar beet pulp remaining after sugar extraction for the generation of biogas or biomethane and to supplement our own energy supply. It’s a fascinating prospect that will require significant investments, but it could be implemented in a few years with the right political framework. The political requirements would be the categorization of sugar beet pulp as a carbon-neutral raw material to be used to generate energy.

The extent of the increases in energy prices and other costs that we are currently seeing, coupled with supply insecurity, put us all in an unprecedented situation that will require flexibility and decisiveness. It's more important than ever before to keep the whole supply chain in mind. Increased energy and material costs impact the cost situation of our beet growers. At the same time, market developments are resulting in higher potential prices for competitive crops for the farmer. Having said this, we can continue to offer our beet growers attractive prices thanks to the trends in EU sugar prices.

»The size of our company, our internationalization and our product portfolio put us in a very good position.«

Assuming we have an adequate energy supply, which we are making every effort to ensure, we expect to see a positive profit situation in the current financial year. Hedging transactions for energy procurement will play a key role here, as will hedging a large portion of our sales agreements.

We also expect to see positive results from Mackay Sugar Ltd. in Australia this year, too. The company is benefiting from high world market prices and generating the energy it needs from the residual bagasse. With an extensive investment and maintenance plan, we are pursuing the aim of continually improving the availability of factories over the long term.

In the face of all these unknowns, the size of our company, our internationalization and our product portfolio put us in a very good position. As was the case during the pandemic, our employees are showing a great degree of dedication, professionalism and flexibility. This enables us to look towards the campaign and the future with confidence.

Our catalogue of measures for the future has been laid out: we will safeguard the campaign coming and the beet supply for the next campaign. We will digitalize our processes and make them more customer-friendly and cost-effective. We will continue to produce sugar in a sustainable way, and we aim to become climate-neutral in the medium term. We represent the bright future of economic beet cultivation. For us, all of this embodies excellence.

We see the potential for growth in three areas: firstly, in our continued dedication to cane sugar after having achieved great results in Australia. Secondly, in the development and marketing of other sustainable products made from beet and sugar, and, thirdly, in our potential entry into the growing market for plant-based proteins.

»We are experiencing unusual circumstances and great challenges. Our experience and expertise give us confidence for the future.«

We are facing unusual circumstances and great challenges. Our experience and expertise give us the confidence we need to work together with our farmers and employees in Europe and Australia to achieve success in the future, too.

We would like to thank our shareholders for their faith in the company, our growers for their loyalty and our employees for their tireless dedication.

The Nordzucker Executive Board

Dr Lars Gorissen | Alexander Bott | Alexander Godow

Guaranteeing top-quality beet cultivation

Georg Sander, Friedhelm Schwager and Dr Lars Gorissen (CEO) at the Uelzen plant.

Dr Lars Gorissen is responsible for the units Agri Analysis, Agri Consulting & Shared Agri Services, Business Development, Communications & Public Affairs, Group Strategy, Human Resources, Legal & Governance and Sustainability

Nordzucker as a partner to our farmers

We have been working hand in hand with our beet growers for nearly 200 years. Our shared goal has always been to improve efficiency in beet cultivation and sugar production.

One major factor in this is boosting harvest yields. Our agriculture experts are specialized in cultivation advice, improving agricultural methods relating to planting, tending and harvesting the beet, and proper storage and transportation. Close dialogue, events about beet and technological developments based on field trials are what characterize our work.

We live in a society that is more aware than ever about the environment, climate and its nutrition habits. At the same time, we are learning to appreciate the value of the beet in the crop rotation and for maintaining soil health.

High yields are not inconsistent with the low use of chemical pesticides. What we need are innovations in the field. Together with our farmers and other partners, we are developing and researching methods to safeguard high sugar yields while using less plant protection products.

Beet gives security

Used in jam-making, in cakes, to sweeten and preserve: Nordzucker provides people with a versatile foodstuff. Sugar is a basic foodstuff and a staple in the pantry. Not only can it be stored for a long time, it can also preserve other foods, balance flavours, provide energy and can be incorporated into products easily.

The pandemic and the war in Ukraine have shown us all how important independence is when it comes to being able to cover our daily and essential needs. Our beet grows in the regions where our plants are located, we can avoid long transportation times and our supply chain is short.

The sugar beet for the 2022 campaign is already in the soil. We offer our growers attractive contracts and competitive beet prices.

Sugar beet is characterized by increasing yields and cost-effective cultivation. It has proven that it is the plant to boost Europe's food security.

Loss monitoring in Australia

Digital technology is to be used in Australia to reduce harvest losses. The image shows the manual calculation of harvest losses.

2022 Lower Saxony Beet Day

In addition to hosting numerous exhibitors from the areas of cultivation, crop protection, fertilizer and agricultural technology, the Beet Day event also presented various trials relating to the cultivation of sugar beet. Classics such as varietal demonstrations and herbicide trials were presented alongside new technologies such as hoeing with robots.

Excellence in beet cultivation: competitive and digital

In order to ensure beet cultivation remains cost-effective and sustainable in the future, too, we need change and innovation. With *Argi!og* and the *AgriPortal*, along with the associated apps, we provide the ideal digital support in our partnership with farmers and logistics providers. Digital cultivation advice is all part of the package, as well as the option to conclude contracts online. With Nordzucker, farmers and service providers are kept up to date via their mobile phones and tablets. It's fast, efficient and modern.

Plenty of other examples show how incredibly important digitalization is for Nordzucker and its processes.

A new monitoring system is currently being trialled in Australia in order to prevent excessive losses at harvest time. The harvesters are to be equipped with a monitoring system that shows the driver how high the losses are so that countermeasures can be taken. Harvest losses are currently up to ten per cent for sugar cane in Australia. It is our aim to significantly reduce these losses.

In our *Green Data Base* project, we are developing software to support our beet growers throughout the entire process, from planting to harvesting and sale. Areas sown with sugar beet can be saved in the app and all measures recorded. Crop rotations, crop protection measures and harvest times can be planned and reviewed here. An initial test version of the software should be available this year. User-friendliness has been one of the most important aspects in its development. This will result in a truly useful tool for the farmer.

The *Beet Scan* topic is also of great interest. This is a new research project funded by the German Federal Ministry for Economic Affairs and Climate Action – with the involvement of Nordzucker. The idea behind it is to use satellites to show whether soil has been cultivated or not. This information can be used to determine when farmers planted out their beet or harvested them, for example. A combination of satellite technology and artificial intelligence promises lots of new digital opportunities in order to provide support to agricultural businesses in the form of consultancy.

The coronavirus pandemic certainly showed us how important one-to-one dialogue is, particularly when it comes to introducing new topics. Field days, meetings and consultations are now taking place in person again wherever possible, including this year's Annual General Meeting. Being able to share experiences, ask questions and engage in discussions with our farmers and shareholders have always been very important to us. We will continue to maintain the close links between beet cultivation and sugar production.

Smart Beet Initiative

Mulch seeding without glyphosate

Since 2010, around 70 per cent of growers in Germany have been tilling the soil without the use of a plough. As part of our initiative, we are testing the use of strip tilling in Klein Wanzleben and Uelzen, for example, where sugar beet is drilled after catch crops without the use of glyphosate. In doing so, we want to maintain the advantages of strip tilling, such as stabilizing the soil structure.

Precision band spraying

In 2021, we joined forces with the Agricenters in Denmark, Schladen and Uelzen to test the use of band spraying with a conventional crop sprayer. Band spraying simply places a band of pesticide over the row of beet plants. This can reduce the amount of pesticide needed by at least 50 per cent.

Hoe, hoe, hoe

We are conducting tests in the area of mechanical weed control in all of our Nordzucker regions in Europe. This project aims to introduce various, sometimes novel, hoeing techniques to all farmers, not just those using organic methods. The performance and efficiency of the individual machines is also being tested.

Sustainability in beet cultivation

Since 2021, the Nordzucker *Smart Beet Initiative* has been our excellence initiative to prepare our growers through practical tests for the changes relating to beet cultivation that we will soon be facing. Trials are being set up and managed in all seven of Nordzucker's European countries. Working with farmers and other agricultural institutions, we can gather findings about beet cultivation to supplement the research and development taking place in beet cultivation. The core concept is to adapt the trials and demonstration areas in our individual cultivation areas to regional requirements. We therefore have different areas of focus in each country. One particular area of focus is on reducing the use of pesticides. The use of precision technology in the application of pesticides, combined with our digital decision-making tools, is one example of this. Mechanical weed control remains one core pillar of our efficiency strategy.

Over the next few years, adjustments to our fertilizer strategy, the topic of soil health and the reduction of greenhouse gases will continue to shape the nature and design of our experiments.

Soil health, water, climate and biodiversity

Sustainability can't be achieved by one person alone. Shared standards and partnership in attaining goals are important and essential. As part of the *Sustainable Agriculture Initiative Platform (SAI)*, an initiative set up by a number of food producers to champion sustainability in agriculture, a new programme has just been launched. It's called *Regenerative Agriculture* and focusses on the topics of soil health, water, climate and biodiversity.

At Nordzucker, we form a link between the food industry and agriculture. We maintain close ties to the farmers in all of our countries, and not just with regard to our particular area of specialism, beet cultivation. This enables us to make a significant contribution towards the new *Regenerative Agriculture* initiative. We are active in various working groups and also head the initiative.

The experiences we have garnered in the development of the *SAI Farmer Sustainability Assessment* are of great value to us. At the end of the day, it's about defining shared goals and assessment criteria for the agricultural industry with regard to biodiversity, water consumption, the climate and soil health. It is important to us that these goals are realistic and that they can be reconciled with the challenges facing the world of agriculture.

Find out more ...

Exploring new paths together

A conversation with the experts from Nordzucker. From left to right: Christoph Bienwald, Alexander Bott (CFO) and Freya Boehm

Alexander Bott is responsible for the units Accounting & Financial Controlling, Corporate Finance, Procurement, Sales & Operations Controlling, Tax and IT

Solid financing

Nordzucker was once again able to significantly build on the previous year's positive result in the 2021/2022 financial year. The operating result stood at 114 million Euro compared with 81 million Euro in the previous year. The price increases triggered by the coronavirus pandemic, particularly for energy and other consumables, were more than offset by higher sales volumes for sugar, animal feed, bioethanol and higher retail prices. Our ActNow! optimization programme can be counted as a complete success. It is our aim to generate a result of 65 million Euro a year. We definitely achieved this! We achieved just under 70 million Euro in cost reductions and optimizations in administration and production. This represents a fantastic achievement by our employees.

Nordzucker was therefore able to further strengthen the solidity of its financial indicators with its excellent operating result. The equity ratio increased by just under two percentage points to just under 60 per cent. The net financial position worsened slightly to –60 million Euro (previous year:–43 million Euro). This was due to the increased costs of conversion for sugar, which is tying up our capital in inventories or silos to a greater degree than in previous years. This is, however, a temporary effect because we can convert the sugar back into liquidity via higher sale prices.

Procurement under new terms

The war in Ukraine has presented the entire economy with an unprecedented situation. Uncertainty and disruptions to the supply chain as a result of the coronavirus pandemic have been heightened, the availability of energy and many raw materials has been put into question, with corresponding consequences for prices.

Supply security for the campaign is of the highest priority for us. Naturally, we continue to act in a cost-conscious way; however, shortages, particularly energy shortages, are forcing us to prioritize the security of supply.

We are doing everything we can to prepare for the campaign so that we can start production in September as scheduled. As a result, we are also working on alternatives for our energy supply.

Particularly given the current situation, the coordination and synchronization of processes between Sales and the cost side is absolutely essential. We need to be in a position to pass the structural price increases on to the market. Having said that, this doesn't absolve us from the responsibility of continuing to work on our competitiveness, even in these times.

Digital roadmap

Nordzucker aims to digitalize its processes and workflows by 2027. This applies to the entire company.

SAP/S4 HANA

In early 2022, we successfully implemented SAP/S4 HANA and did so on schedule. It's a forward-looking investment in a modern IT platform.

Purchasing – extra efforts are required

Securing materials and maintaining prices. Never before has Purchasing been caught in the middle like this. A close cooperation between experts from Purchasing and Finance is therefore of particular importance.

Excellence

Our excellence initiatives cover multiple-year initiatives in the areas of agriculture, production, the supply chain, sales and sustainability.

Experts in change

With all the changes and challenges going on around us, cost leadership and competitiveness need to remain the main goals for the development of Nordzucker. But we also know that currently, the costs for energy and raw materials are rocketing, and our sustainability strategy is requiring major investments. We see excellence as cost leadership and competitiveness, always coupled with digitalization.

As part of our *ActNow!* optimization programme, we have already implemented the *Achieving Commercial Excellence* project and, with it, we have very successfully launched a new, effective customer relationship management tool. We are now moving through the supply chain with the aim of achieving excellence in production, logistics and supply chain management, too. We want to generate significant income in the next few years by further digitalizing the value chain. Our employees show a particular openness to change and new technologies. This is the case for all of our national companies and is a matter of course.

Digitalization has always been a high priority at Nordzucker. Particularly in the Agri area, we have been industry pioneers over the past five to ten years when it comes to our beet growers and beet logistics. From digital contracts and digital cultivation advice to the *AgriPortal Mobile*, we have implemented lots of projects successfully that have made our processes streamlined and unbureaucratic, with real added value for our partners.

With our *Digital Roadmap 2027*, we plan to digitalize all of Nordzucker's processes and workflows. We do this not as an end to itself but in order to remain competitive and to build on our cost leadership. Digitalization is set to continue apace in all industries. We have already come up with, and started to implement, specific projects in this area. In the Agri unit, one such project is the *Green Database* and in Production, it's digital maintenance. In early 2022, we successfully implemented *SAP S/4 HANA*; our new digital platform. These are just three examples; we have anticipated digitalization in all of the units of our company as part of our roadmap and continue to develop it.

Excellence requires teamwork

Alexander Godow (COO) with Udo Harten, plant manager at our Klein Wanzleben plant.

Alexander Godow is responsible for the units Investment & Maintenance, Product Management, Production, Supply Chain Management, Sales & Marketing, Quality, Innovation & Production Support, Crisis Management

Excellence for our customers

Excellence is an essential component of our strategy. We launched the *Achieving Commercial Excellence* programme three years ago now. With a focus on our customers, we thus realigned our Sales business throughout the Group with market requirements and optimized it across the board. Our expert Sales team now works together even more closely and is supported by a modern, digital customer relationship management system.

We receive top rankings in quality and reliability from our customers in the surveys we conduct regularly. Having good relationships with our customers helps us to grow alongside them, helping us to contribute to their success.

In order to develop this commitment to excellence, Nordzucker has bundled its Production, Sales and Supply Chain Management units in a single team under the leadership of Alexander Godow (COO) since 1 March 2022. We have ambitious goals for further optimizations, particularly at the interfaces between these units. Close dovetailing throughout the entire process helps us with this.

Human and machine

A sugar plant is home to lots of different technologies: for cutting and extracting, evaporating, crystallizing and centrifuging – all with the aim of extracting sugar from the beet for our customers. The whole process works perfectly because, both before and during the campaign, our experts draw on all their expertise and commitment towards enabling people to enjoy sweet foods.

Happy customers, seamless processes and ongoing improvements – that’s what we mean by excellence! The closer the cooperation, the better the results.

Our extensive Achieving Operational Excellence programme bundles projects for the optimization of production, maintenance and investment workflows, for logical and consistent automation and for the forward-looking development of the organization, cooperation and management. Digitalization and process optimization help us to remain the cost leader in sugar production.

Automation in the sugar plant

Excellence through automation in sugar production. We are currently developing our own innovative solutions for the further automation of the production process.

Trainees make it big

Christian and Kevin host regular talks on their “green sofa” on the topic of vocational training, which are broadcast live.

You can find information on the dates and times here:

https://www.nordzucker.com/de/menschen-bei-nordzucker/ausbildung/ausbildung-in-deutschland/

Shop floor management in Klein Wanzleben

Everything revolves around a pinboard. In the digital age? The effectiveness of the method of visualizing deviations together in the plant, finding solutions and thus bringing about continuous improvements was proven in the last campaign.

Renovation in Sweden

Our multi-year programme in Sweden to boost efficiency and focus production at the Örtofta site is nearing completion.

Cost leadership is what drives us

In the past three years, we have generated nearly 70 million Euro in earning contributions via our *Act Now!* optimization programme. As such, we achieved the aim of this programme ahead of schedule – all thanks to the high level of dedication and the bright ideas of our employees. All this has enabled us to significantly improve our earnings position. It has become a matter of course for all of us to continually adapt our work processes to new challenges.

Nordzucker is home to experts with a special affinity with sugar. We streamline knowledge sharing about sugar technologies and sugar manufacturing. Special trainee programmes and a plan for knowledge transfer with a buddy system during the induction of new colleagues at our plants is all part of the concept.

Close international cooperation through the entire process and increasingly digitalizing all units are what already make us the pioneers in our industry.

Preparations for the 2022/23 campaign are already faced with major challenges. Shortages and rising prices for energy, maintenance materials and packaging are putting us under pressure. We are doing everything we can to maintain and safeguard our processing times in all of our countries.

With our *Integrated Business Planning (IBP)* programme, we aim to digitalize the planning of all sugar product flows – from the plant to the customer, between our sites and warehouses, and production volumes at our services centres and internationally, too.

Our comprehensive *Achieving Operational Excellence* programme bundles a whole host of projects to improve and harmonize investment planning and maintenance measures, the automation and digitalization of workflows in production, as well as change in partnerships and the management culture.

GoGreen

An end to coal by 2030 – carbon-neutral by 2050 at the latest

Our *GoGreen* programme to switch all of our plants over to carbon-neutral production methods has already been initiated. To achieve this, we are not only starting to use more renewable energy sources but are also making further energy savings.

Ambitious targets for 2030

We have set ourselves ambitious targets for the reduction of our carbon emissions through our *Science Based Targets initiative (SBTi)*. We want to reduce our emissions by 50 per cent by 2030 as compared with 2018 levels. This reflects the target set out in the Paris Agreement to avoid global warming exceeding 1.5°C. We are working under the assumption that our targets will be confirmed by the SBTi in 2022.

Natural gas and biogas in Säkylä

En route to phasing out fossil fuels, our plant in Säkylä is switching its three boilers from crude oil and coal to liquefied natural gas and liquefied biogas with the 2024 campaign. This will significantly reduce the emissions at the sugar plant in Säkylä.

Use of scrap timber in Sweden

As part of the *GoGreen* programme, Nordzucker is installing a steam pipe in Örtofta to the neighbouring biomass power plant. The close partnership with the local energy provider will enable us to use steam generated from scrap timber for the upcoming campaign and thus improve our carbon footprint.

Sustainability partnership with Coca-Cola

Sustainability requires teamwork. Together with our customer Coca-Cola EP, we are adopting measures to achieve carbon-neutral production. Our clear commitment to reducing our emissions based on scientifically proven targets is something we share with many of our customers.

GoGreen for the climate

To produce sugar, we need heat in order to evaporate the beet's high water content – which is around 75 per cent – and to crystallize the sugar. We primarily generate heat from fossil fuels, using this to generate electricity. We want to achieve carbon-neutral production by 2050 at the latest. Significant investments will be required to achieve this.

To guide us on our path to becoming carbon-neutral, Nordzucker joined the Science Based Targets initiative in 2021. Using science-based, transparent targets that have been verified by independent climate scientists, we can ensure that the reduction of our emissions meets the necessary levels for climate protection. As a result, Nordzucker wants to make a measurable contribution to achieving the climate targets of the Paris Agreement.

The science-based targets for reducing greenhouse gases are one component of Nordzucker's 2030 sustainability strategy. In addition to climate targets, this strategy covers the entire value chain: From procurement to beet cultivation, production, products and packaging to social issues.

Renewable energy sources aren't available in unlimited quantities, meaning it's that much more important that we couple their use with energy savings. We are actively using new technologies to achieve these savings.

Various options available in the vicinities of the individual sugar plants show that there isn't just one way of becoming carbon-neutral. Our technologies need to be adapted with this in mind.

One practical and forward-looking solution could be to use about half of the sugar beet pulp remaining after sugar production to generate biogas or biomethane, and to use this for our own energy supply. It's a fascinating prospect that will require significant investments, but it could be implemented in a few years with the right political framework.

Find out more ...

Areas for growth

Cane sugar

Our successful entry into cane sugar production in Australia has shown that Nordzucker can take advantage of global growth opportunities. We have garnered experience there and acquired significant expertise, particularly with our employees in Australia. We want to continue to expand on this.

Alternatives from sugar cane and beet

Every part of the sugar beet is already used because it is not just used for sugar but also animal feed, molasses and bioethanol. We are driven by the question as to what else can be made from sugar and beet – for example, from their fibres and leaves. Our team of experts is working together closely with various partners to develop these ideas. In conjunction with start-ups and universities, we are reviewing and evaluating alternative uses for our raw materials and products. We are also investigating options relating to industrial processing in consultation with the relevant partners, primarily in innovative and sustainable, growing industries. Some areas of application include everyday environmentally friendly products, such as bioplastics, nanocellulose and proteins made from beet.

Plant-based proteins

One of the trends in nutrition is the shift towards a more plant-based diet. With this comes a higher demand for plant-based proteins. We are currently conducting an in-depth analysis of this future market. Our knowledge of agriculture and our close ties with our farmers, our expertise in logistics and as a food producer could all make us an attractive partner in this market segment.

Nordzucker in Australia

Our Australian subsidiary Mackay Sugar Ltd. (MSL), in which Nordzucker has held a majority share since 2019, made a significant contribution towards the positive net income in 2021/22. MSL is a producer of raw sugar, which it sells for further processing on the Australian market as well as on the world market. Revenue is closely tied to prices on the global sugar market.

Despite the dramatic restrictions on travel as a result of the pandemic, we were able to maintain communication between the Group and MSL thanks to the use of digital media. We tracked the planned changes in terms of consistency and intensity. In doing so, our staff there showed great commitment. As a result of the introduction of Nordzucker values in Australia, the subsidiary has become more closely aligned with Europe, despite the pandemic.

The most recent crushing season in Australia, which ran from mid-June to late December 2021, processed the biggest harvest since 2016, generating around 700,000 tonnes of raw sugar. There were some technology-related and weather-related production delays, which resulted in challenges and a longer crushing season. Improved availability in the three plants, the stabilization and expansion of acreage and the optimization of capacities for generating electricity form the focus of the investment and maintenance measures to be implemented in the next few years.

Tradition and the future ...

Danish sugar beet plants turn 150 years old

On 20 April 2022, the anniversary was celebrated with staff exactly 150 years ago to the day since the plants were founded. The Danish sugar plants were founded on 20 April 1872 by Danish banker and industrialist C. F. Tietgen. This marked the beginning of the successful production of sugar from beet in Denmark. It's an industry that not only shaped agriculture but also played a major role in the development of the Danish food industry. As a pioneer of technologies used around the world, a supplier of high-quality products and the preferred supplier on the Nordic markets, now integrated into the Nordzucker Group, it is part of a strong team.

Practice-based from the outset

Vocational training plays a key role for us at Nordzucker. We prepare young people for their future jobs. As such, the successful partnership often extends beyond the context of the vocational training itself. Training at Nordzucker is characterized by its practice-based and continuous integration into daily work activities.

New technologies, trends and changes in the expectations of young people shape our vocational training programme, requiring a method of knowledge transfer that is contemporary and practice-based. We offer this at six sites in Germany. Our trainers are experts with many years of experience. They are passionate about what they do, engage in continuous professional development and are always up to date. As well as adhering to the vocational training specifications of the Chamber of Industry and Commerce (IHK), our vocational training programmes include practical content relevant for working at our company.

Nordzucker facilitates flexible working

A modern working environment, compatibility of family and work life, diversity, exciting prospects and varied job roles are what set Nordzucker apart.

After more than two years of the coronavirus pandemic, we learned how well we are able to combine digital options with working from home.

Nordzucker believes that offering full flexibility in terms of where staff want to work, wherever possible, is a requirement of a modern employer.

In consultation with their superiors, it is possible to arrange their remote working allocation as they wish. We also want to test new forms of working and to create the best conditions for hybrid collaborations at the sites and at home.

» *By offering the option of choosing your own work location, we want to take a first step on the path towards a new kind of teamwork.«*

Dr Lars Gorissen

» *As a modern and attractive employer, we offer our employees a contemporary way of working.«*

Alexander Bott

» *It is important to me that we also offer this to our staff at the plants who are able to work remotely. The working world has undergone an incredible transformation during the pandemic and we want to reflect this.«*

Alexander Godow

Find out more ...

People at Nordzucker ...

Course for the future: Excellence initiatives will continue to make their contribution

Dr Lars Gorissen:

» *Excellence means that we constantly strive to become better in all areas of the company. The core of this is cost efficiency. We want to achieve this in particular with the help of digitalisation. Digitalisation will help us in all areas of the company, in beet cultivation, in production and in administration.* «

Alexander Bott:

» *Even after this extremely successful business year, we are still challenged to act in a cost-conscious manner. We must continue to operate efficiently and competitively. We are doing this with our excellence initiatives, with which we will continue to generate optimisations in the future.* «

Alexander Godow:

» *Despite the increased costs, despite the higher prices for energy, for packaging materials or also for logistics, with sufficient energy supply we will be in a position, supported by a positive price development in the sugar market, to also be able to shape the current financial year positively.* «

Watch the board statements in full here ...

KEY FIGURES

Yield ratio

		2017/2018	2018/2019	2019/2020	2020/2021	**2021/2022**
RoCE [1]	%	10.2	-3.8	-0.9	4.6	**6.1**
EBIT margin [2]	%	9.3	-4.3	-1.0	4.9	**5.9**
Total operating profitability [3]	%	13.8	0.7	4.1	9.5	**9.8**
Return on revenues [4]	%	7.0	-2.4	-1.1	3.8	**4.1**
Return on equity [5]	%	8.0	-2.5	-1.2	4.7	**5.4**
Redemption period [6]	*years*	-1.3	-28.9	0.1	-0.3	**-0.3**
Cash flow from operating activities per share	*EUR*	4.53	0.20	-0.8	0.39	**2.40**
Earnings (Group) *per share* [7]	*EUR*	2.38	-0.69	-0.32	1.32	**1.63**
Dividend *per share* [8]	*EUR*	1.20	0.00	0.00	0.60	**0.80**
Total dividend	*EUR m*	58.0	0.0	0.0	29.0	**38.6**

1 EBIT/Average capital employed
2 EBIT/Revenues
3 EBITDA/Revenues
4 Net income/Revenues
5 Net income/Equity
6 Net debt/EBITDA
7 Total income/Number of shares
8 Total dividend/Number of shares

Key financial figures

		2017/2018	2018/2019	2019/2020	2020/2021	**2021/2022**
Revenues	*EUR m*	1,650	1,354	1,439	1,670	**1,943**
EBITDA	*EUR m*	227	9	60	158	**190**
EBIT	*EUR m*	154	-58	-15	81	**114**
Net income for the period	*EUR m*	118	-36	-15	66	**84**
Cash flow from operating activities	*EUR m*	219	10	-40	19	**114**
Cash flow from investing activities	*EUR m*	-169	11	-130	-84	**-122**
Free cash flow [1]	*EUR m*	50	21	-170	-65	**-8**
Investment in property, plant and equipment and intangible assets	*EUR m*	89	106	100	86	**120**

1 Cash flow from operating activities + Cash flow from investing activities

Balance sheet ratio at the end of the financial year

		2017/2018	2018/2019	2019/2020	2020/2021	**2021/2022**
Total assets	*EUR m*	2,183	2,010	2,219	2,341	**2,431**
Shareholders' equity	*EUR m*	1,429	1,316	1,280	1,355	**1,448**
Equity ratio	%	66	66	58	58	**60**
Debt capital	*EUR m*	754	694	940	986	**983**
Capital employed	*EUR m*	1,511	1,541	1,723	1,835	**1,921**
Financial liabilities	*EUR m*	4	6	95	150	**141**
Cash and cash equivalents	*EUR m*	307	266	139	126	**80**
Net debt (–)/deposit (+) [1]	*EUR m*	301	260	8	-43	**-61**

1 Cash and cash equivalents – Financial liabilities

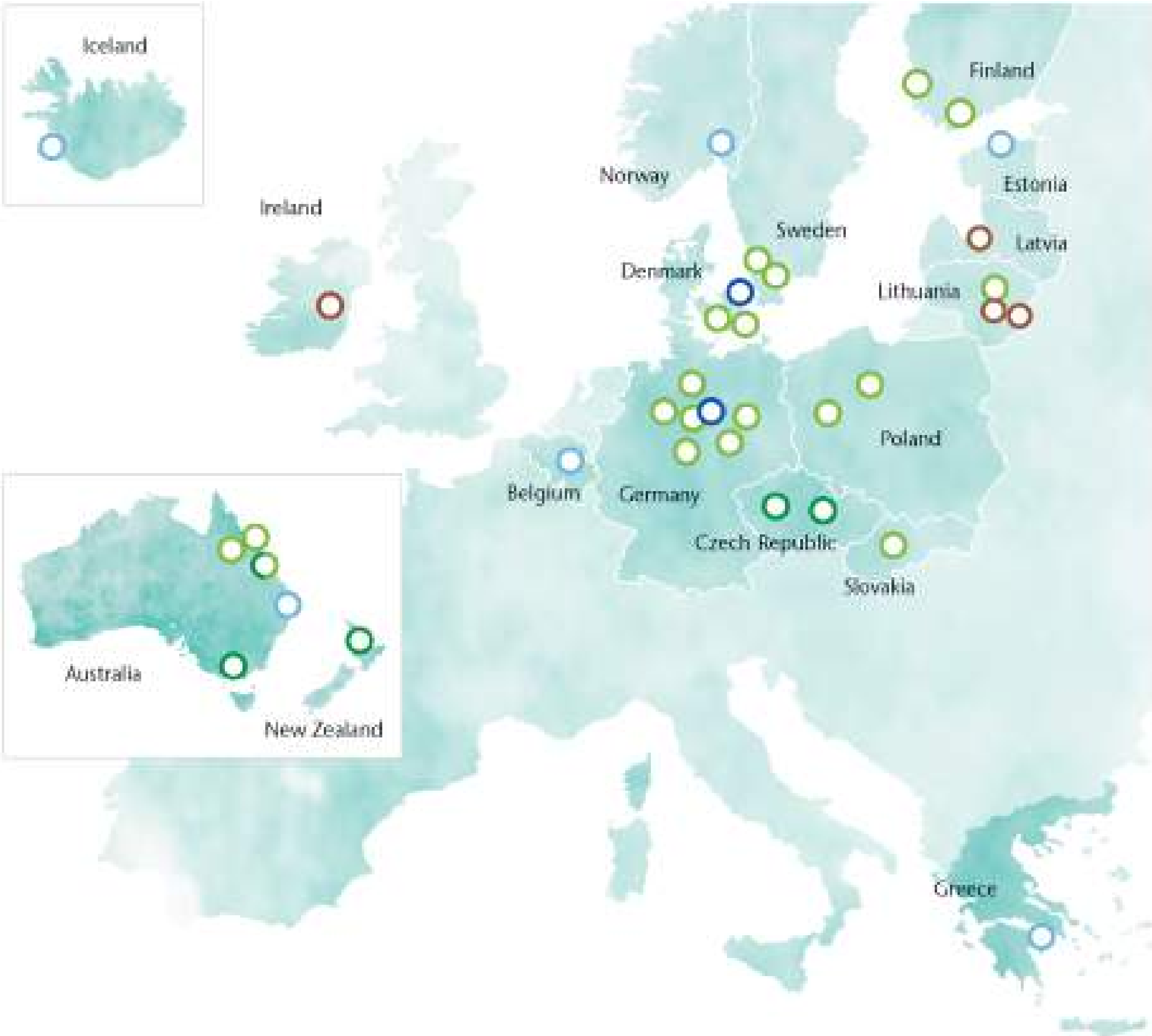
Beet cultivation and campaign

		2017/2018	2018/2019	2019/2020	2020/2021	**2021/2022**
Sugar yield	*t/ha*	12.2	11.4	12.1	12.3	**12.8**
Sugar content	%	17.3	18.9	17.4	17.7	**17.7**
Campaign length	*days*	117	102	113	120	**123**
Sugar production from beet	*millions of tonnes*	2.70	2.40	2.49	2.70	**2.70**
Sugar production from cane	*millions of tonnes*	/	/	0.70	0.70	**0.70**

GROUP MANAGEMENT REPORT 2021/2022

Contents

Nordzucker: in Europe and Australia



Administration

Germany	Headquarters Braunschweig (Group)
Denmark	Administration Nordic Sugar, Copenhagen

Plants

Germany	Sugar factory Clauen Sugar factory / Liquid sugar plant Nordstemmen Sugar factory Uelzen Sugar factory Klein Wanzleben Bioethanol Klein Wanzleben Sugar factory Schladen Liquid sugar plant Groß Munzel
Denmark	Sugar factory Nakskov Sugar factory Nykøbing
Sweden	Sugar factory Örtofta Refinery / Liquid sugar plant Arlöv
Finland	Sugar factory Säkylä Refinery / Liquid sugar plant Porkkala
Lithuania	Sugar factory Kėdainiai
Poland	Sugar factory Opalenica Sugar factory / Refinery Chełmża
Slovakia	Sugar factory Trenčianska Teplá
Australia	Sugar factory Farleigh Sugar factory Marian Sugar factory / Refinery Racecourse

Sugar plants / refineries

non-consolidated minority stakes

Czech-Republic	Sugar factory Dobrovice Sugar factory České Meziříčí
Australia	Refinery Racecourse Refinery Yarraville
New Zealand	Refinery Auckland

Other locations

Latvia	Riga
Lithuania	Kaunas, Nordzucker Business Services Vilnius
Ireland	Dublin

Representation

Belgium	Brussels
Estonia	Tallinn
Norway	Oslo
Iceland	Reykjavík
Greece	Athens
Australia	Brisbane

Management report

PREAMBLE UKRAINE CONFLICT

The Russian offensive in Ukraine launched in February 2022 and the economic sanctions imposed on Russia by Western countries immediately afterwards has caused significant disruption to the global economy. Associated with this are supply shortages and massive price increases, particularly in the energy sector and for agricultural products – such as wheat, maize and rapeseed – and fertilizers. The dependence of the EU and in particular Germany on Russian energy supplies is a significant risk for Germany as an economy and will be almost impossible to remedy in the short term through measures such as switching to other energy sources and suppliers.

The effects of the Ukraine conflict on our company are being assessed in detail. At the moment, the following risks are emerging:

At locations in Germany, Sweden and Slovakia, gas is used as the primary energy source. The dependence on supplies is greatest here. The gas in Sweden comes from Norway via Denmark, as will also be the case for Denmark itself in the future. For coal supplies (Poland, Germany, Denmark), there are possible alternatives to Russia. For liquid gas and light crude oil as fuels (Denmark, Finland, Lithuania), other sources already exist. For anthracite and coke, there are realistic options to procure these from alternative sources.

Insofar as supply can be physically secured, this says nothing about the expected prices. Volatility on the commodity exchanges is very high.

Ukraine is one of the world's biggest exporters of agricultural products. At present, no more consignments are being prepared for export from Ukraine. As a result of the conflict, both spring sowing and the fertilization and maintenance of crops already sown is in doubt. This uncertainty about production volumes and physical supplies due to the crisis has pushed prices up sharply for crops such as wheat. It cannot be predicted how this trend will develop.

Both Ukraine and Russia are virtually self-sufficient for sugar and are likely to have enough stockpiles at present. The degree to which the EU sugar supply will be affected in the future is still unclear. We expect the import volumes required by Ukraine to increase and anticipate higher demand in the EU due to customers outsourcing their production. In neighbouring countries, such as Poland, and the Baltic states, the demand for sugar will increase due to the influx of refugees.

However, a number of indirect effects on sugar prices are also expected. For example, the high prices for alternative crops and increased costs for pesticides and fertilizers could lead to less beet cultivation, significantly higher beet costs and/or lower sugar yields throughout Europe. Should these assumptions materialize, they would very likely be accompanied by higher sugar prices.

The Group has almost no outstanding debts in its business with Russian customers, nor are there any planned deliveries to Russia, Ukraine or Belarus. However, large customers that have production locations in these countries may feel the effects of the conflict. This may relate to domestic sales or the exportation of confectionery goods to the EU. The extent to which this will have an indirect impact on our business cannot be assessed at present.

Some of the truck drivers in many countries where Nordzucker operates are from Ukraine. This gives the company reason to assume that bottlenecks may occur in the coming campaign when it comes to the transportation of both beet and sugar.

Prior to the conflict, Russia had announced and conducted cyber attacks. Like other companies, Nordzucker has long been exposed to continuous attacks and has taken corresponding protective measures.

NORDZUCKER AT A GLANCE

Business activities

The Nordzucker Group, based in Braunschweig, Germany, is one of the world's leading sugar manufacturers. In the 2021/2022 financial year, the company produced 2.7 million tonnes of sugar from sugar beet in 13 sugar plants in seven European countries and 0.7 million tonnes of raw sugar from sugar cane in three plants in Australia. Last year the Group had an average of 3,812 employees at its 21 European and Australian production and refinery facilities.

Its beet and cane product range includes white sugar, raw sugar, refined sugar, specialities and liquid sugar. The company also produces animal feed, molasses, fertilizers and fuel from renewable energy sources as well as electricity.

In Europe, Nordzucker sells around 80 per cent of its sugar to customers in the food industry. The remaining 20 per cent or so is supplied to consumers via the retail industry. Our customers in the food industry include the confectionery industry as well as producers of dairy and bakery products, jams, ice cream and drinks. In Europe, Nordzucker also sells sugar products to consumers in various product categories and packaging sizes, primarily under the brand name SweetFamily and, in the Nordic countries, under the brand name Dansukker. Standard products are also sold to consumers under white-label brands.

The sugar manufacturer Mackay Sugar Ltd. (MSL) – in which Nordzucker holds a majority shareholding of around 71 per cent – produces raw cane sugar at three plants in Australia, for the domestic market and for export (mainly

Nordzucker AG

Nordzucker GmbH & Co. KG, Braunschweig/Germany	100 %
Norddeutsche Flüssigzucker GmbH & Co. KG, Braunschweig/Germany	70 %
Nordic Sugar A/S, Copenhagen/Denmark	100 %
Nordic Sugar AB, Malmö/Sweden	100 %
Nordzucker Ireland Ltd., Dublin/Ireland	100 %
Sucros OY, Säkylä/Finland	80 %
Suomen Sokeri OY, Kantvik/Finland	80 %
AB Nordic Sugar Kėdainiai, Kėdainiai/Lithuania	70.60 %
UAB Nordzucker Business Services Kaunas/Lithuania	100 %
Nordzucker Polska S.A., Opalenica/Poland	99.87 %
Považský Cukor a.s., Trenčianska Teplá/Slovakia	96.80 %
Mackay Sugar Limited, Mackay/Australia	70.94 %

to Asia's growth markets). MSL also has a 25 per cent share in the joint venture Sugar Australia Ltd. Within the framework of this joint venture with Wilmar Sugar Australia, raw sugar is refined into white sugar in Racecourse, Yarraville and Auckland (New Zealand) and is marketed by Sugar Australia Ltd. and New Zealand Sugar Company.

Strategy

The company's strategy was reviewed and enhanced in 2021. As a result, the strategy was reorganized into the three fields of sustainability, excellence and growth. This reaffirmed the importance of and long-term positive prospects for the company's core business in the EU and the goal of achieving growth in the sugar business outside Europe. It also resulted in the addition of further core aspects such as sustainability and the development of new business areas. Within these fields, Nordzucker is pursuing a range of projects organized on a cross-border basis in order to further develop the company. Reliability and flexibility in the value chain and towards beet growers and customers are a top priority here.

Sustainability

For Nordzucker, sustainability means balancing environmental, social and economic objectives. Sustainability is an integral part of corporate governance.

At Nordzucker, the focus is first and foremost on people. The company provides a safe and healthy work environment. Working together at Nordzucker means continuously developing the management culture and focusing on each and every staff member as well as providing space for feedback and dialogue. Alongside a strong ethical foundation and Nordzucker's company values – responsibility, appreciation, dedication and courage – this fosters motivation and team spirit.

The threat of climate change and the fact that sugar production is an energy-intensive process mean that the need to reduce CO_2 emissions shapes the company's sustainability activities. It plans to completely phase out the use of coal by 2030 at the latest. At the same time, customized capital expenditure will also significantly lower energy consumption – by one third by 2030. Climate neutrality in production will be achieved by 2050 at the latest. As part of the GoGreen project, experts at Nordzucker are working on concepts to generate renewable energy for the company's own power supply and on fundamentally reducing energy consumption itself by a significant amount. In 2021, the company joined the Science Based Targets initiative in order to scientifically calculate its CO_2 reduction and set comprehensible targets. The targets will be specified in 2022.

The other major focal point within the sustainability strategy is the Smart Beet initiative. The aim of this initiative is to reduce the use of chemical pesticides and fertilizers while maintaining conventional beet yields as a minimum and increasing yields from organic beet. Working in partnership with growers and other partners in countries across Europe, innovative methods of sowing, maintaining and harvesting beet are tested. Nordzucker's beet growers are SAI-certified. The company's goal here is for all of its beet growers to achieve gold level by 2030.

Excellence

The excellence initiative launched in 2021 combines cost-cutting and optimization measures along the entire value chain – from beet cultivation to the customer.

Beet cultivation is the basis for the company's core business in Europe. Attractive contract offers, cultivation advice in the field, digital services and optimizations in the logistics chain form the focal points within its close partnerships with its beet growers. With its Green Database project, Nordzucker is developing digital platforms and tools and supporting the agriculture of the future. The goal of achieving strong harvest yields in harmony with nature connects companies and growers.

The excellence initiatives also envisage significant cost reductions and optimizations along the entire value chain, particularly in the areas of production and logistics, by the 2025/2026 financial year.

At Nordzucker, the focus is on customer loyalty, product quality and security of supply. With its modern customer relationship management approach and high degree of integration throughout the supply chain, Nordzucker stands for customer focus and reliability.

As part of these excellence initiatives, value chains are becoming increasingly digitalized. This is part of the digital roadmap that Nordzucker will implement in all areas of the company over the coming years. The digitalization of the company will further underpin Nordzucker's cost leadership and competitiveness. Against this background, the new digital platform SAP S4 Hana was also successfully introduced at the end of the financial year.

The company was able to end the previous income-securing and optimization programme ActNow! on 28 February 2022, a year earlier than planned. It had been launched when the sugar market regime expired and contributed cost reductions and optimizations totalling almost EUR 70 million to earnings by modifying business processes, introducing a new organizational structure and improving the sales process.

Growth

Nordzucker is focused on three areas of growth: cane sugar, alternative products made from sugar and sugar beet, and plant-based proteins.

With cane sugar, the company evaluates growth opportunities outside of Europe with the aim of further expanding its activities in this area. Its majority shareholding in Australia has shown that Nordzucker can successfully take advantage of growth opportunities.

In addition to the conventional use of sugar and sugar beet as a foodstuff, Nordzucker examines alternative uses for environmentally-friendly everyday products. Some new products are currently being evaluated here.

Plant-based proteins as a foodstuff are a nutritional trend. With its expertise in sourcing and processing agricultural products, Nordzucker sees this area as an attractive market of the future.

Company management and organization

The Nordzucker Group is managed by an Executive Board made up of several members. The Executive Board reports to the Supervisory Board, which has 15 members, of whom ten represent the shareholders and five the employees.

Nordzucker takes a functional approach to management and control. The managing directors of the Group's various national companies have been given increased local responsibility for the core process, which comprises agriculture, production, sales and logistics. For the period from 1 January 2022 to 28 February 2022, a fourth Executive Board member was appointed, with responsibility for sales during this time. Since 1 March 2022, the Executive Board has comprised three members, with the Chairman also responsible for agribusiness, with sales and production as a single function, and with finance including IT and procurement as the remaining function.

The Nordzucker Group's internal strategy is based on a margin management approach. This means all decisions must be oriented to the profit margin that is to be realized. In addition, the focus on process thinking prioritizes benefits for internal and external customers. The combination of these two performance indicators results in profit-oriented, effective and efficient management.

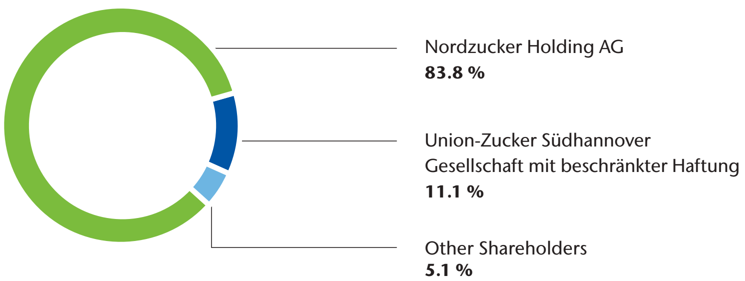
Within the scope of the company's margin orientation, we focus on our EBIT margin. The financial indicators system also includes the RoCE, net income, the equity ratio, net debt, and free cash flow as key performance indicators. RoCE and the EBIT margin measure the profitability of the operating business, while net income for the period measures profitability from the perspective of the owners. RoCE corresponds to the ratio of EBIT to the average capital employed. By comparing the RoCE actually achieved with the expectations of our shareholders and lenders (known as the "cost of capital"), we can measure whether our lenders have generated a return on their capital employed that is in line with market conditions. The other key financial indicators – equity ratio, net debt and free cash flow – measure the company's financial stability, financing leeway and the generation of cash flow within the business.

The target for the EBIT margin falls within a long-term earnings range of four to six per cent. At the same time, non-financial performance indicators are important for managing all areas of the company. Key indicators for assessing sustainability such as environmental aspects, product quality and occupational health and safety form a focal point. The development of these key indicators and their target achievement are also reported regularly on the Group's website. Against the background of the amendment of EU taxonomy regulations for companies not traded publicly, Nordzucker plans to include selected non-financial performance indicators in its annual report from the 2022/2023 financial year onwards. This underlines the company's strategic focus on the issue of sustainability.

Shareholder structure of Nordzucker AG

Nordzucker Holding AG holds 83.8 per cent of the shares in Nordzucker AG. A further 11.1 per cent is held by Union-Zucker Südhannover Gesellschaft mit beschränkter Haftung. 5.1 per cent of the capital is held by other shareholders. Nordzucker AG shares are not traded on a stock exchange. A large proportion of the shareholders in Nordzucker Holding AG, Nordzucker AG and Union-Zucker Südhannover Gesellschaft mit beschränkter Haftung are also active growers who sell their beet to Nordzucker AG. No single shareholder of Nordzucker Holding AG has more than 25 per cent of the shares.

Shareholder structure of Nordzucker AG



MACROECONOMIC SITUATION

According to the Organisation for Economic Co-operation and Development (OECD), global economic growth increased in 2021. While global gross domestic product (GDP) had contracted by 3.4 per cent in 2020, the world economy grew by 5.6 per cent in 2021. The reason for the decrease in the previous year was the coronavirus pandemic, with the economic recovery taking hold again in 2021. The EU's economy grew significantly by 5.3 per cent for the same reason, according to the European Commission.

According to the Federal Statistical Office (Destatis), Germany's price-adjusted GDP in 2021 was 2.7 per cent higher than in 2020. The performance of the economy in 2021 was once again strongly affected by coronavirus infection rates. Despite the continuation of the pandemic and the increasing supply and material shortages, the German economy was able to recover following the sharp downturn in the previous year, even if economic output has not yet returned to its pre-crisis level. GDP in 2021 was still 2.0 per cent down on 2019, the year before the coronavirus pandemic began.

Sector developments

World sugar market

According to the market research institute IHS Markit, in the 2020/2021 sugar marketing year (1 October 2020 to 30 September 2021) global production (180.1 million tonnes) and consumption (180.7 million tonnes) were roughly in line with one another. In global terms, final stocks of 70.8 million tonnes in the sugar marketing year represented a decline of 1.4 million tonnes by comparison with the stock volume of 72.2 million tonnes at the start of the sugar marketing year.

For the 2021/2022 sugar marketing year, the global production figure is 181.8 million tonnes (+1.7 million tonnes on the previous year). The level of consumption is put at 183.3 million tonnes. At a global level, a difference of –3.2 million tonnes is assumed as of the end of the sugar marketing year. Worldwide stocks will thus continue to fall to 67.6 million tonnes.

Although the start of the coronavirus pandemic in spring 2020 caused prices to drop significantly, world market prices recovered in the course of the pandemic. In the 2021/2022 financial year, the prices for white sugar on the world market rose from EUR 379 per tonne in March 2021 to EUR 435 per tonne by February 2022.

The price recovery was due to an increase in the price of oil and generally high prices on the commodity markets as well as dry conditions and frost damage in Brazil which led to lower production volumes. However, the expansion of land under cultivation in India and good weather conditions in Thailand had a countervailing effect on this trend.

The sugar market in the EU

The European Commission estimates that sugar manufacturers in the EU-27 produced 14.5 million tonnes of sugar (excluding isoglucose) in the 2020/2021 sugar marketing year. Imports of 2.1 million were just under the previous year's level. The European Commission calculated an export volume of 3.4 million tonnes and a level of consumption in the EU of 14.1 million tonnes (of which 0.6 million tonnes for bioethanol). As of 30 September 2021, the EU's final stocks amounted to 1.2 million tonnes. Overall, the European market was adequately provided for.

The supply situation in the EU and the recovering global market helped prices to increase slightly. The 2020/2021 sugar marketing year began in October 2020 with an average price of EUR 381 reported by the European Commission. In the following months, it climbed to EUR 408 per tonne of white sugar in September 2020. For the 2021/2022 sugar marketing year (1 October 2021 to 30 September 2022), the European Commission has reported a production level in the EU-27 of 16.1 million tonnes, which represents an increase of around 1.6 million tonnes in the volume of production in the EU-27 by comparison with the previous sugar marketing year. Unlike in the previous sugar marketing year, there were no regional declines in yields in 2021/2022 as a result of dry conditions and the widespread presence of leaf diseases. In view of the increasing price level on the EU sugar market, at 2.2 million tonnes (of which 1.4 million tonnes of sugar and 0.8 million tonnes of products containing sugar) the EU-27's imports are expected to be higher than the level seen in the previous year. The predicted volume of exports for the EU-27 in the amount of 3.6 million tonnes (of which 1.0 million tonnes of sugar and 2.6 million tonnes of products containing sugar) will cause final stocks to increase slightly to 1.3 million tonnes in the EU-27, compared to 1.2 million tonnes in the previous year, with a level of consumption of 14.6 million tonnes (of which 0.6 million tonnes of bioethanol).

At the start of the sugar marketing year (October 2021), EU white sugar was pricing at EUR 417 per tonne. The trend for the current sugar marketing year to date continues to point to a stable price curve. The price in February 2022 was reported as EUR 441 per tonne.

Business performance in Europe

Industrial customer business

Most of the company's sugar customers are food or drink manufacturers. A small portion of its sugar is sold to the chemical industry. Nordzucker supplies customers both within and outside the EU.

The price level on the global sugar market has been continuously rising since the decline prompted by the coronavirus outbreak in the first quarter of 2020. This has had a delayed influence on the price level on the EU sugar market. In addition to this, sugar stocks in Europe fell to a low level following the weak harvest in the 2020/2021 sugar marketing year, while sugar consumption remained relatively stable even during the pandemic-related restrictions.

Overall, in a market which contracted the Group's business slightly, performance was characterized by increasing sales in the EU and by a volume of exports which remained limited. For the financial year as a whole, sales prices were increased year-on-year in all of the Group's European sales markets.

Retail customer business

The retail business includes customers in food retailing as well as discount stores and health and beauty retailers.

Compared with the previous year, the 2021/2022 financial year was characterized by greater stability in the retail business. In the first half of the previous year in particular, the effects of the coronavirus pandemic were felt more strongly. The impact of inventory purchases in 2020 lessened in the course of 2021. The main effects of the pandemic were seen among customers in the hotel, restaurant and catering industry. Although demand recovered somewhat as restrictions were gradually lifted, a full recovery will take some time.

The structural decrease in the demand for household sugar products is likely to continue. The Nordzucker Group was able to maintain its strong position in its core markets and also benefit from a positive development of prices in the course of the year. In addition, strong sales of preserving sugar in the summer contributed to a positive overall development of earnings.

Furthermore, the organic sugar business within the retail customer business is an important driver of growth and further development.

Business performance in Australia
The Group's Australian subsidiary MSL produces raw sugar, which it sells for further processing in the Australian market as well as on the world market. The price of sugar for the core product is thus closely linked to the price of sugar on the world market and is accordingly volatile. MSL achieved significant earnings in the 2021/2022 financial year as a result of its positive market environment with above-average prices.

MARKET FOR ANIMAL FEED AND MOLASSES

Sector developments

Nordzucker produces pressed pulp, dried pulp pellets and molasses, and markets these products as high-quality animal feed to consumers and the mixed feed industry in particular. A portion of its molasses is also sold to the fermentation industry. The volumes available vary from year to year depending on harvest results.

Sales volumes of pressed pulp were substantially down on the sales volumes in the dry previous years due to the significantly more favourable weather conditions and associated alternatives such as grass and maize. Nevertheless, the price level remained stable. The pressed pulp benefited from prices for alternative products increasing.

Nordzucker produces dried pulp pellets primarily at its plants in Germany and Northern Europe. As a result of the restrictions in the logistics of goods caused by the coronavirus pandemic, there is a greater desire among customers for security of supply in relation to raw materials. Our customers are increasingly operating in the internal European market. In addition to security of supply, the aim of reducing freight costs through shorter transport routes plays a major role. Rising or stable prices for other agricultural products as well as shortages in the late summer of 2021 shaped the market for pellets.

The market for sugar beet molasses was also shaped by low stocks. A further lack of imports of sugar cane molasses prompted additional demand among customers in the animal feed and fermentation sectors. Prices for both beet molasses and cane molasses rose steadily during the reporting period.

Business performance

Sales of pressed pulp declined year-on-year. At the same time, prices remained stable. Sales volumes of organic pressed pulp increased during the 2021/2022 financial year. Nordzucker also launched organic sugar beet molasses as a new product on the German market. Prices of dried pulp pellet and molasses increased by comparison with the previous year. Expected volumes for dried pulp pellets were even surpassed due to the high level of demand within Europe. In both the pellets market and the molasses market, Nordzucker benefited from rising prices over the course of the year under review. The significant rise in freight and fuel costs had a negative effect here.

MARKET FOR BIOETHANOL

Sector developments

The price of bioethanol as a fuel additive was volatile during the 2021/2022 financial year while remaining at an overall high level on the spot market. A new all-time high of just over EUR 1,500 per cubic metre was recorded in November 2021. At the end of the reporting period, it levelled off at around EUR 900 per cubic metre.

Technical ethanol did not play a role here, having been used in the previous year to a limited extent for disinfection purposes based on special approval granted.

Business performance

Nordzucker processes beet supplies in Germany to produce either sugar or bioethanol, depending on the respective market situation. Unlike in the previous year, an additional volume of bioethanol was produced in summer 2021 and the production period was also extended beyond the end of the 2021/2022 beet campaign. This made it possible to maintain the sales volume at the previous year's level.

Nordzucker markets bioethanol in the fuel market as well as in its traditional area of use as industrial alcohol.

BEET CULTIVATION AND SUGAR PRODUCTION

Sowing in Nordzucker's German growing area took place in the period from early March to the second half of April, in consistently good conditions. The very cold April and cool May resulted in a relatively late row closure around the end of June. Above-average rainfall in June and August, combined with higher-than-average temperatures in June and July, compensated for the delayed growth of the crops. The dry, mild autumn led to additional growth. Only the sugar content remained below average, due to the lower-than-average direct sunlight from July to September and the extremely high level of infestation with leaf diseases. Nevertheless, the sugar yield of 14.3 tonnes per hectare in Germany was above the long-term average (13.3 tonnes per hectare).

In Denmark and Sweden, very good weather conditions resulted in above-average sugar yields (Denmark: 13.7 t/ha (12.7 t/ha); Sweden: 12.6 t/ha (11.2 t/ha)). In Finland and Lithuania, overly dry growth conditions led to a below-average sugar yield. The yield was 5.9 t/ha (6.5 t/ha) in Finland and 8.7 t/ha (10.6 t/ha) in Lithuania.

In Poland, the yield was slightly lower than average at 11.2 t/ha (11.3 t/ha). Sugar beet in Slovakia benefited in the 2021 growth period from a good amount of precipitation, leading to an above-average sugar yield of 11.2 t/ha (10.0 t/ha).

The viral yellowing transmitted by the green peach aphid only occurred in isolated cases due to the low temperatures in February 2021. Only our growing areas in Finland, Lithuania, Slovakia and Poland will be granted emergency authorizations for the use of neonicotinoid seed treatments in 2022. The relevant authorities in our main production areas of Germany, Denmark and Sweden did not issue any emergency authorizations. Due to the mild winter of 2021/2022 in particular, the viral yellowing will also pose a risk to yields in 2022 in the countries where no emergency authorizations for the use of neonicotinoid seed treatments were granted.

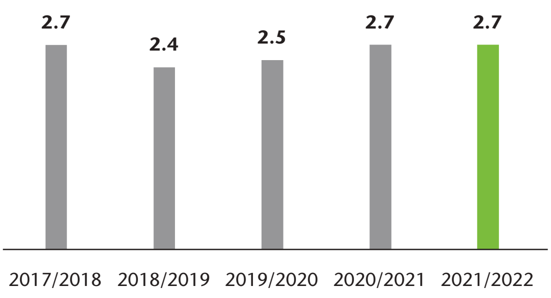
The average beet yield across the Group was 72.3 tonnes per hectare (previous year: 69.6 tonnes per hectare). The sugar content was 17.7 per cent (previous year: 17.7 per cent). This corresponds to an average sugar yield of 12.8 tonnes per hectare (previous year: 12.3 tonnes per hectare).

During the 2021/2022 campaign, Nordzucker produced some 2.7 million tonnes of sugar from beet across the Group (previous year: 2.7 million tonnes). The campaign lasted for 123 days, which was similar in length to the previous year (120 days).

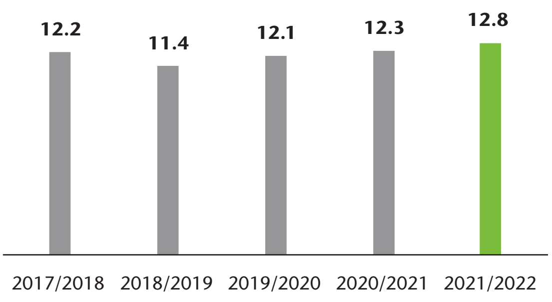
During the 2021/2022 campaign, organic sugar beet was cultivated for Nordzucker in Germany, Denmark, Sweden and Lithuania and was processed at its Schladen, Nyköbing and Kedainiai plants in accordance with EU regulation No 834/2007 on organic farming.

In Australia, the harvest and processing period (“crushing season”) was completed in the second half of December 2021 prior to the start of the rainy season. Favourable rainfall distribution in particular resulted in very good growth conditions in 2021, enabling growers to produce a significantly higher than average sugar cane yield of around 84.6 tonnes per hectare (previous year: 78.7 tonnes per hectare) with a slightly below-average sugar content of 13.7 per cent CCS (previous year: 14.1 per cent CCS). CCS stands for commercial cane sugar and is comparable with sugar content less yield loss for sugar beet. As in the previous year, around 0.7 million tonnes of raw sugar were produced in Australia.

Sugar production Nordzucker Group
from beet, in millions of tonnes



Average sugar yield Nordzucker
tonnes per hectare



EARNINGS AND FINANCIAL POSITION AND NET ASSETS

Earnings position

Compared with the previous year, the earnings position of the Nordzucker Group has significantly improved. This mainly reflects a higher price level for sugar year-on-year as well as a significant increase in sales volumes for sugar. The Group continued its optimization and cost reduction as part of its transformation and cost-cutting programme, making a further positive contribution to its success.

The Group's profitability is measured using the key indicators RoCE, EBIT margin and net income for the period.

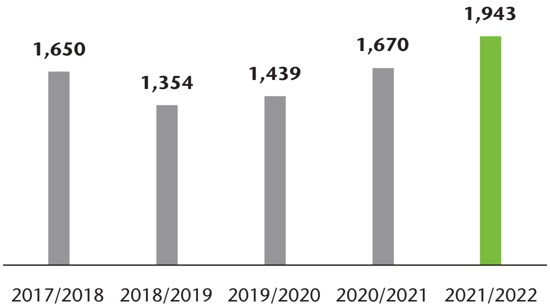
RoCE, which reflects the ratio of EBIT (operating result) to the average level of capital employed, came to 6.1 (4.6) per cent in the reporting year. The yield thus improved once more by comparison with the previous year.

The EBIT margin is calculated based on the ratio of EBIT to revenues. It came to 5.9 (4.9) per cent in the reporting year. Net income for the period totalled EUR 96.3 (66.0) million.

Revenues came to EUR 1,943.1 (1,670.4) million. Sugar beet accounted for EUR 1,623.4 million of this while sugar cane represented EUR 319.7 million. Compared with the previous year, revenues rose by EUR 272.7 million. This increase in revenues was essentially due to a higher price level for sugar and a significant rise in the sugar sales volume. Higher prices for pellets and molasses as well as for bioethanol also had a positive effect on revenues.

Total revenues of EUR 1,570.6 (1,341.3) million were generated with sugar. EUR 1,293.4 (1,157.3) million of this came from sugar beet while EUR 277.2 (184.0) million was due to sugar cane. The EUR 229.3 million increase resulted primarily from higher sugar prices and a significant year-on-year rise in the sales volume.

Consolidated revenues
in EUR m



Revenues from the sale of bioethanol were up on the previous year at EUR 61.9 (46.4) million. The main reason for this was the substantial increase in sales prices, which more than offset the slight fall in sales volumes. Revenues from animal feed include revenues from the sale of molasses, dried pulp pellets and pressed pulp. They totalled EUR 222.9 million and were thus also higher than in the previous year (EUR 205.8 million). Rising prices for pellets and molasses more than compensated for the lower sales volume for molasses.

Production costs came to EUR 1,535.2 (1,332.3) million in the reporting period. EUR 1,257.3 (1,139.4) million of this related to sugar beet while EUR 277.9 (192.9) million was due to sugar cane. The increase was primarily attributable to the significant rise in the sales volume for sugar and the higher production costs for sugar. These costs were up on the previous year as a result of changes in raw material and energy prices.

Sales costs totalled EUR 205.4 (181.6) million, an increase of EUR 23.8 million on the previous year. The main reasons for the rise in costs were freight costs, prompted by the higher sugar sales volume and an increase in freight rates, and a rise in outside warehousing expenses.

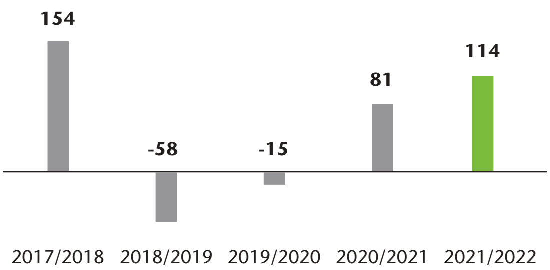
Administrative expenses amounted to EUR 70.0 million and were thus at almost the same level as in the previous year (EUR 70.5 million). Excluding the sugar cane share of EUR 13.7 million, they came to EUR 56.3 million. This was a decline on the previous year's figure of EUR 57.7 million, mainly due to the cost-saving programme.

Production, sales, administrative and other expenses included total personnel expenses of EUR 258.2 (252.1) million and EUR 74.0 (73.4) million in depreciation of property, plant and equipment and amortization of intangible assets. Personnel expenses rose slightly by comparison with the previous year. The increases in expenses were essentially due to collective wage increases, salary adjustments and bonus payments.

Other income came to EUR 32.5 million and was therefore below the previous year's figure of EUR 34.6 million. This was mainly due to lower foreign currency gains in the amount of EUR 9.7 (19.9) million. Income from the repayment of B production levies from previous years and insurance refunds had the opposite effect.

Other expenses came to EUR 50.5 (39.5) million in the year under review and were therefore well above the previous year's figure. The main reasons for this were higher expenses for risk provisioning and provisions for ground decontamination in Arlöv in Sweden. Lower foreign currency losses of EUR 9.1 (21.9) million and a year-on-year decrease in depreciation and amortization had the opposite effect.

Consolidated EBIT
in EUR m



In total, the Nordzucker Group reported an operating result (EBIT) of EUR 114.4 million, as against EUR 81.0 million in the previous year. Sugar beet contributed EUR 99.3 (80.4) million to this figure while sugar cane accounted for EUR 15.1 (0.6) million. The operating result before depreciation and amortization (EBITDA) improved to EUR 189.5 (158.4) million (of which sugar beet: EUR 166.4 (151.6) million; of which sugar cane: 23.0 (6.7) million).

Financial income of EUR 9.4 (9.6) million was largely unchanged on the previous year. The absence of income from the measurement of hedging transactions as of the reporting date in relation to the purchase of CO_2 certificates was partly offset by interest income in connection with the refunds for the B production levy from previous years and by the income from investments of EUR 3.0 (1.0) million.

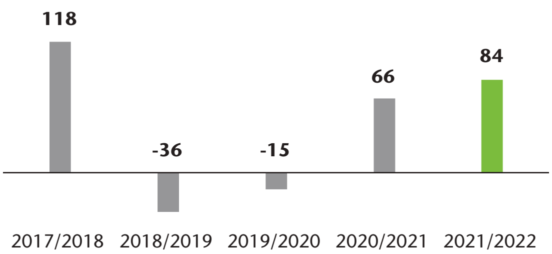
Finance costs increased year-on-year to EUR 27.4 (11.6) million. This was attributable to expenses from the measurement of hedging transactions as of the reporting date for CO_2 certificates and currency hedging. Interest and similar expenses increased only slightly on the previous year to EUR 11.5 (10.7) million.

The earnings contribution of companies accounted for using the equity method amounted to EUR 5.2 million, compared to EUR 8.4 million in the previous year.

Due to the positive pre-tax earnings of EUR 101.6 (87.4) million, tax expense amounted to EUR 17.2 (21.5) million. This represents a tax ratio of 16.9 (24.6) per cent.

In total, the Nordzucker Group reported net income before minority interests of EUR 84.3 million, as against EUR 66.0 million in the previous year. Sugar beet contributed EUR 69.8 (63.1) million to this figure while sugar cane accounted for EUR 14.6 (2.9) million. After deduction of minority interests, this resulted in consolidated comprehensive income of EUR 78.7 million, compared with EUR 63.8 million in the previous year.

Consolidated net income
in EUR m

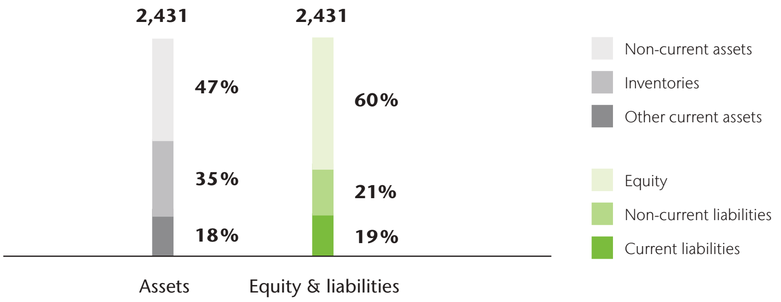


Net assets position

Total assets for the Nordzucker Group amounted to EUR 2,430.8 million at the end of the reporting year, an increase of EUR 89.5 million on the previous year's figure of EUR 2,341.3 million. The main reasons for the increase were the year-on-year rises in non-current assets, stocks, and receivables and assets, which essentially contrasted with an increase in equity as a result of the net income and lower cash and cash equivalents.

Intangible assets of EUR 17.1 (17.2) million were largely unchanged on the previous year.

Breakdown of the assets and liabilities making up the 2021/2022 balance sheet total
in EUR m



In the reporting year, the Nordzucker Group invested EUR 115.2 (83.5) million in property, plant and equipment. Capital expenditure was offset by current depreciation and amortization of EUR 69.8 (70.3) million and impairment losses of EUR 1.2 (4.0) million. Overall, property, plant and equipment increased to EUR 1,003.1 million, compared to EUR 973.4 million in the previous year.

At EUR 112.5 (100.9) million, financial investments were higher than in the previous year. This increase was largely due to the positive earnings contribution provided by the Australian investments accounted for using the equity method and the corresponding rollover of the carrying amount.

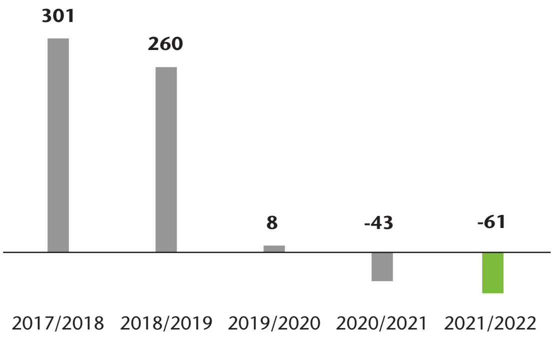
Inventories increased by EUR 27.1 million, from EUR 818.1 million to EUR 845.2 million. At EUR 67.4 (61.1) million, raw materials, consumables and supplies were slightly higher than in the previous year, and so too were unfinished goods and services at EUR 65.7 (53.8) million. On the other hand, finished goods and merchandise increased by EUR 9.1 million to EUR 712.2 (703.1) million.

Current receivables and other assets rose significantly by EUR 68.2 million higher to EUR 350.9 million, compared with EUR 282.7 million in the previous year. Trade receivables and receivables from related parties increased to EUR 223.5 million, compared to EUR 187.1 million in the previous year. Current income tax receivables amounted to EUR 9.3 (4.9) million.

Current financial and other assets amounted to EUR 117.2 million, an increase of EUR 28.1 million on the previous year (EUR 89.1 million). This was attributable to hedging transactions and a purchase of CO_2 certificates.

Financial liabilities exceeded cash and cash equivalents by EUR 61,0 (42,5) million as of the reporting date.

Net debt (-) deposit (+)
in EUR m



Equity rose by EUR 93.5 million in total to EUR 1,448.3 (1,355.3) million. Consolidated net income for the period increased equity by EUR 84.3 million (previous year: increase of EUR 66.0 million). Equity also increased due to other comprehensive income of EUR 33.1 million which was recognized in the item of the same name in the statement of comprehensive income (EUR 26.5 million from the remeasurement of defined benefit plans after adjustment for deferred taxes and EUR 6.6 million from currency translation, net result of cash flow hedges and other matters). Of the resulting consolidated comprehensive income after taxes in the amount of EUR 117.4 million, EUR 5.9 million is attributable to non-controlling interests. In the previous year, other comprehensive income had included an amount of EUR 4.1 million from the remeasurement of defined benefit plans after adjustment for deferred taxes and EUR 4.5 million from other matters. The equity ratio is 60.2 per cent and thus higher than the previous year's figure of 57.9 per cent.

At EUR 517.3 (511.2) million, long-term provisions and liabilities increased year-on-year. The total includes non-current provisions of EUR 321.4 (343.3) million, of which EUR 222.8 (263.3) million mainly relates to pension obligations. The decrease by comparison with the previous year resulted in particular from a higher discount rate for pensions.

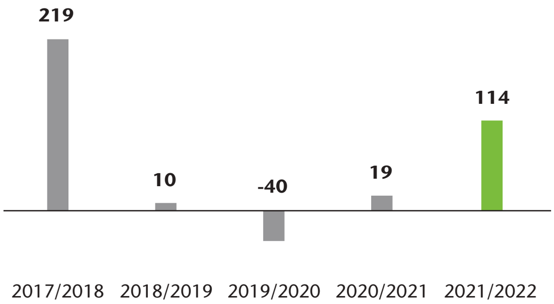
Non-current liabilities increased to EUR 195.9 (168.0) million. They mainly comprise non-current financial liabilities to banks of EUR 110.2 (87.1) million which exclusively relate to MSL; other financial liabilities in the amount of EUR 6.6 (17.8) million; and deferred tax liabilities, which rose from EUR 53.2 million to EUR 73.4 million in the year under review.

Current provisions and liabilities of EUR 465.2 (474.8) million were slightly lower than in the previous year. Current financial liabilities decreased year-on-year to EUR 30.6 (62.6) million. In particular, this is attributable to a decline in drawing on bank loans in order to finance the campaign as well as the investments made by MSL.

Trade payables of EUR 275.8 (263.3) million were slightly higher than in the previous year. At EUR 56.1 (47.1) million, financial and other liabilities were up on the previous year.

Financial position

Cash flow from operating activities
in EUR m



Cash flow from operating activities of EUR 113.8 million was much higher than in the previous year (EUR 18.9 million). The increase was due to the year-on-year improvement in earnings, as a result of lower stockpiling compared with the previous year and further positive effects in relation to other assets and liabilities.

Cash flow from investing activities amounted to EUR –121.9 million, compared to EUR –83.9 million in the same period in the previous year. This was mainly due to the payments made for investments in property, plant and equipment, which increased by EUR 32.6 million to EUR 116.2 million by comparison with the previous year.

Cash flow from financing activities amounted to EUR –38.1 million in the reporting year and was thus significantly lower than in the previous year (EUR 51.1 million). This is largely attributable to a repayment of MSL's credit line for financing the campaign and investing in the Australian plants and to a dividend payment to shareholders.

The free cash flow, i.e. the total of cash flow from operating activities and cash flow from investing activities, came to EUR –8.0 million and was thus once again negative, following a figure of EUR –64.9 million in the previous year.

As of 28 February 2022, cash and cash equivalents amounted to EUR 79.8 (125.7) million. Cash and cash equivalents thus decreased by EUR 45.9 million year-on-year.

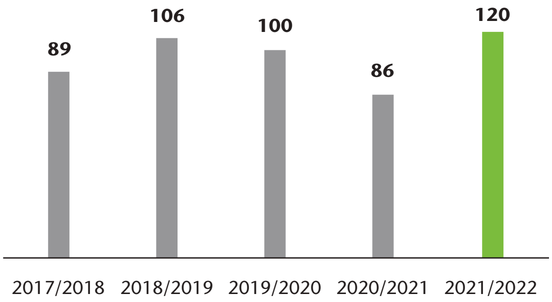
Overall assessment of earnings and financial position and net assets

In the 2021/2022 reporting year, all of the Nordzucker Group's key earnings figures improved further by comparison with the previous year. RoCE came to 6.1 per cent as against 4.6 per cent in the previous year. The EBIT margin came in at 5.9 per cent (4.9 per cent). Net income for the period amounted to EUR 84.3 million, compared with EUR 66.0 million in the previous year. The reasons for the significant year-on-year improvement in income were the ongoing cost-saving programme and the continuing price recovery in the last financial year, which more than offset the energy and beet price increases.

The Nordzucker Group's net assets and financial position remain stable. Due to the positive earnings figure, the equity ratio has improved year-on-year and amounts to 59.6 (57.9) per cent. As of the reporting date, the company has financial liabilities of EUR 140.8 (149.7) million. Financial liabilities exceeded cash and cash equivalents by EUR 61.0 million (previous year: net financial liabilities of EUR 42.5 million). On the other hand, the cash flow from operating activities (EUR 113.8 million) reflects the positive earnings figure. Cash flow from investing activities came to EUR –121.9 million. This brings the resulting free cash flow to EUR –8.0 million.

CAPITAL EXPENDITURE

Capital expenditure in property, plant and equipment and intangible assets
in EUR m



In the 2021/2022 financial year, Nordzucker invested a total of EUR 119.7 (85.9) million in property, plant and equipment and intangible assets. Nordzucker thus continues to invest in its competitiveness. As in previous years, the focus was on measures aimed at increasing efficiency, meeting regulatory requirements, and replacing existing assets. In addition, a significant proportion of capital expenditure in the 2021/2022 financial year was used for the optimization project in Sweden.

In Sweden, Nordzucker continued its multiple-year programme with the goal of delivering increased efficiency and the long-term concentration of production at its Örtofta plant. Despite the difficult situation with supplier firms and personnel as a result of the coronavirus pandemic, the company continued with the construction of the main building, the new production system for a range of sugar products, the liquid production system and the high-bay warehouse. The steel and concrete structure, the building shell and many of the storage tanks including the pipework have already been installed and will be followed by the production lines and conveying equipment by the end of 2022.

As part of the Go Green programme, installation of a steam line to the adjacent biomass power plant has also begun at the location and is expected to be in operation for the 2022/2023 campaign. The location's close partnership with the local energy supplier will enable it to use steam from renewable raw materials in future and reduce its CO_2 emissions as a result.

Further projects such as the modernization of the sugar house in Opalenica and the installation of a wastewater treatment plant in Chelmza were launched. The upgrading of the pulp press units in Nordstemmen and the centrifuge station for raw sugar in Uelzen is complete, as is the migration of the control technology for the sugar house in Clauen and the service centre in Nordstemmen.

In Australia, Nordzucker is continuing to pursue a multiple-year programme focusing on improving the availability levels for the Marian, Farleigh and Racecourse plants. This includes investing in the areas of steam and electric energy supply as well as automation.

As of the reporting date, investment commitments for property, plant and equipment amounted to EUR 25.4 (32.3) million. These investment commitments will be financed by means of cash flow from operating activities.

FINANCING

Responsibilities and objectives of financial management

The main responsibilities of Nordzucker's financial management are to manage and control flows of funds for the entire Group on the basis of clearly defined criteria. The main aim is to ensure that sufficient liquidity is available in the Group at all times. Due to the considerable funds currently invested in the Nordzucker Group, the company will also focus on investing these funds with the aim of limiting risks and avoiding negative interest rates. In view of increasing volatility on international markets, the management of raw material and exchange rate and interest rate risks is also a priority. The financial management function is also responsible for developing and executing financing strategies. In order to execute these strategies successfully, Nordzucker maintains close contact with banks.

Financing, financial covenants and investment of free cash and cash equivalents

In October 2020, Nordzucker signed a syndicated loan agreement which expires on 27 October 2023. This provides the company with access to EUR 300.0 million.

Loans of this kind include what are known as "financial covenants". These consist of obligations to maintain certain financial ratios over the entire term of the loan. The covenants are an essential element of a loan agreement. Banks use them as a tool to identify and avoid risks at an early stage by drawing conclusions from the figures about the company's financial position. Compliance with the covenants is monitored internally on a continual basis and reported to the banks at defined intervals.

In the 2021/2022 reporting year, the agreed financial ratio (EBITDA in relation to net debt) was met at all test dates. On the basis of the planning currently available for the Group, the Executive Board of Nordzucker AG assumes that the covenants will not be breached in future.

Mackay Sugar Limited is financed independently of the syndicated loan for the remainder of the Group. In addition to a maturity loan of AUD 120.0 million and an investment credit line of AUD 43.8 million with a term expiring in

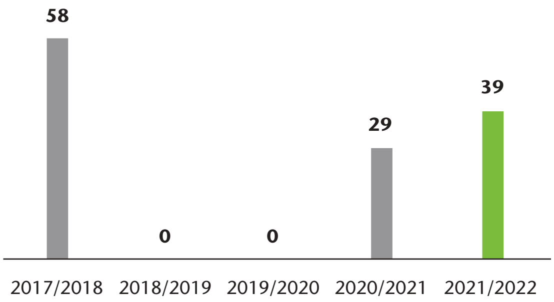
July 2024, MSL also has short-term current account credit lines to cover its seasonal liquidity requirements. These loans are secured by assets. For some of these credit lines, agreed key financial indicators must be complied with (EBITDA by comparison with net debt and a minimum volume of net assets).

Thanks to the operating cash flows achieved in previous years and the willingness of the company's shareholders to leave part of these cash flows within the company, the Nordzucker Group has accumulated freely disposable funds (as of the reporting date, EUR 79.8 million). Nordzucker therefore considers itself well-placed to cope with the challenges of the future. Nordzucker is investing these freely disposable funds with banks, on the capital market and with investment companies; the investment horizon is less than one year. Nordzucker limits its risks by distributing its investments across various asset classes, by stipulating a minimum credit rating to be achieved for all investments and by using short interest periods.

DIVIDEND

The Executive Board and the Supervisory Board are proposing to the Annual General Meeting of Nordzucker AG that a dividend of EUR 0.80 be distributed for the 2021/2022 financial year.

Total dividends, Nordzucker AG
in EUR m



EMPLOYEES

In Europe, the Nordzucker Group had an average of 3,097 employees in the reporting year. Its workforce was thus smaller than in the previous year (3,114 employees). This was due in particular to personnel decreases in Sweden and Finland.

In Australia, more seasonal workers were hired in 2021/2022, increasing the average workforce for the year from 678 to 715.

The number of employees for the Group as a whole has thus increased from 3,792 to 3,812.

NUMBER OF EMPLOYEES IN THE NORDZUCKER GROUP IN THE FINANCIAL YEAR

Annual average	2015/2016	2016/2017	2017/2018	2018/2019	2019/2020	2020/2021	2021/2022
Total	**3,206**	**3,236**	**3,234**	**3,208**	**3,539**	**3,792**	**3,812**
Germany	1,262	1,292	1,320	1,340	1,308	1,298	**1,312**
Australia*					393	678	**715**
Denmark	487	477	458	449	429	416	**418**
Sweden	395	397	385	366	363	357	**343**
Poland	332	333	335	335	332	330	**331**
Finland	273	276	273	253	247	234	**213**
Lithuania	246	252	245	246	253	269	**271**
Slovakia	196	196	206	207	205	200	**201**
Ireland	11	10	9	9	8	8	**6**
Latvia	4	3	3	3	2	2	**2**

* Annual average for Australia, the months March to July 2019 were included with 0 in the calculation.
The average number of employees from August 2019 to February 2020 was 673.

OPPORTUNITIES AND RISKS

Risk management

Principles of risk management

Risk management is a central aspect of corporate governance in the Nordzucker Group. Risk management pursues the goal of early identification of strategic and operating risks and recognition of their scope, so that they can be monitored and controlled. This applies for every area of the company, including defined risk reporting lines. Nordzucker deliberately takes risks within the scope of its defined risk appetite if the risks are unavoidable or are likely to be offset by opportunities; Nordzucker also transfers some risks to third parties. This strategy will help the company to achieve successful further development in the long term and to secure its future.

Structure of the risk management system

Nordzucker has an integrated system throughout the company for the identification and management of risk. The key building block for the risk management system is the identification and management of operational risks by means of the monitoring, planning, management, and control systems in place in the Nordzucker Group.

Nordzucker's risk management system is supported by an internal control system (ICS) that has been set up on a company-wide basis and that also includes the accounting processes. The ICS is an ongoing process based on fundamental control mechanisms, such as technical system-based and manual reconciliations, the separation and clear definition of functions and the monitoring of adherence to, and the further development of, Group-wide guidelines and specific directives.

Risk management

The risk management function discusses at regular intervals the progress made in implementing the defined steps to manage risk with the different functions and/or managers responsible. Regular risk management reports are provided to the Supervisory Board.

All major operating and strategic decisions always take risk aspects into account. When such decisions are made, their consequences are evaluated in various scenarios. Given the highly volatile nature of the market environment, the company's plans have, for a number of years now, illustrated how different market situations can impact the course of business. Descriptions of opportunities and risks highlight alternative developments and identify areas where action needs to be taken. Over the course of the year, the Group reporting and controlling system provides all the decision-makers responsible with continuous information on the actual business performance.

Some of the risks are transferred to third parties, such as insurance companies. The scope and amount of insurance coverage is reviewed regularly and adjusted as necessary.

Internal Audit and compliance

The Internal Audit department examines and evaluates the business processes, organizational structure and the governance system (management and monitoring measures, risk management and the internal control system of the Nordzucker Group) to ensure they are carried out correctly, are effective, and offer value for money. The results of every audit are recorded in an audit report and the implementation of the agreed activities is monitored systematically and regularly. Aside from audits carried out as part of annual risk-oriented audit planning, the Internal Audit department also carries out ad hoc checks. In addition, the Internal Audit department offers advice, such as on optimizing business processes or continuously improving the Nordzucker Group's internal control system. It answers to the Chief Executive Officer and reports regularly to the Executive Board and to the Supervisory Board's Audit and Finance Committee. This reporting comprises information on the status of internal audits, the key findings of the audits as well as the implementation status of the agreed activities. The reporting also covers audit capacity and fulfilment of audit standards.

To ensure compliance with rules and laws, the role of a compliance coordinator has been established throughout the Group. This person coordinates all general issues relating to compliance with rules and laws and reinforces staff and managerial awareness of how to remain compliant.

Risks and opportunities resulting from the sales market

Risks resulting from the health discussion about sugar

Sugar is part of a balanced diet. Despite this, sugar is presented in the public debate as a cause of being overweight, obese and, as a consequence, of diseases such as diabetes and caries. The critical discussion about sugar continues outside Europe as well. In its coalition agreement, the new federal government set itself the objective of creating sugar reduction targets that are scientifically based and aimed at target groups. Academic studies show that reducing sugar consumption does not necessarily lead people to lose weight. There are many reasons why people are overweight, which is why focusing on individual ingredients such as sugar distracts from the bigger picture. Ultimately, whether or not a person becomes overweight is all about the balance between calorie intake and calorie expenditure, and about how aware individuals are of their own calorie intake.

To bring more clarity to the debate, Nordzucker works continuously at national and EU level, as well as through the activities of industry associations, to provide information about the effect of sugar in food and about the links between sugar and a balanced diet as part of a healthy lifestyle.

Opportunities resulting from the demand for sugar

Population growth and greater prosperity, particularly in the emerging markets, are behind a long-term global trend towards higher sugar consumption. This increase in demand will support the long-term sugar price trend. Sugar consumption is expected to pick up in Asia, Africa and Latin America in particular. Worldwide, the growth rate is expected to average around 1.4 per cent per year. This growth trend is also making investments in sugar outside Europe attractive. The Group's involvement with the Australian sugar producer MSL provides it with a substantial share of the Australian market as well as access to the South-East Asian market.

Risks resulting from the political situation in the EU

The world market has an impact on developments in the EU sugar market. The situation on the international sugar market means that exports from the EU are not economically attractive at a low price level. Prices in the EU are strongly affected by the level of volatility on the world market. Low-price periods therefore represent a risk in relation to Nordzucker's profitability.

Unlike the European Union, at an international level the major sugar-producing countries such as India and Brazil subsidize their sugar production industries. But conditions within the EU also continue to vary. Some member states make use of the option to provide their growers with payments tied to the cultivation of sugar beet within the scope of the Common Agricultural Policy (CAP). Beet cultivation is supported in this way be eleven member states in total. This naturally places the beet growers in those countries which do not provide beet cultivation-related payments at a disadvantage.

Risks resulting from the EU's free trade agreements

Free trade agreements are becoming more and more important for the European Union. Trade agreements signed in recent years with Moldova, Georgia, Ukraine, Japan, Singapore, Vietnam, Colombia, Peru, Panama, Ecuador, South Africa, Canada, and the states of Central America, provide for annual duty-free sugar imports of more than 500,000 tonnes. The trade and cooperation agreement concluded between the EU and the United Kingdom due to Brexit provides for the tariff- and quota-free import of sugar from the United Kingdom, subject to strict rules of origin. Trade agreements including further sugar import quotas for the benefit of Mexico and the MERCOSUR countries have already been negotiated. However, these agreements have not yet come into effect. These negotiated agreements mean additional import quotas (220,000 tonnes) for white and raw sugar.

Negotiations are under way with further countries such as Australia, Chile, Indonesia, New Zealand, Morocco and Tunisia. The negotiations with the USA over a transatlantic free trade agreement are currently frozen, and the same is true of negotiations with India, Malaysia, the Philippines, Thailand and the Gulf countries.

In terms of international trade agreements, the EU is concerned with establishing market access for European producers while also protecting the domestic sugar market against subsidized sugar. Strict rules of origin for sugar in future agreements and the preservation of EU import duties for the sugar sector are thus of key significance. Reducing EU protection against imports without taking the special interests of the sugar industry into account would make competition in the EU even more intense, due to a possible increase in import volumes. Import duties protect the European sugar industry against imports in excess of those volumes that enter the European market under the above-mentioned bilateral trade agreements, or else at reduced rates or duty-free via preferential agreements such as with the least developed countries (LDC). Without EU import duties, unlimited quantities of sugar could be imported into the EU at global market prices. This would discriminate against European sugar producers, because the biggest global sugar producers and exporters subsidize the production and export of sugar directly or indirectly.

Risks resulting from procurement and production

Risks associated with securing raw materials

For growers, sugar beet competes with other arable crops. The decision whether to plant sugar beet or other crops depends to a large extent on relative price levels for different crops and on the yield that can be obtained regionally. Nordzucker is currently seeing a sharp rise in prices for its main competing crops, rapeseed and wheat. At the same time, prices for mineral fertilizers have more than trebled in some cases since mid-2021. This trend will cause the costs for sugar beet to increase so that beet cultivation remains attractive for growers and we can safeguard our raw commodity base.

To increase beet yields as much as possible and optimize cultivation costs, Nordzucker continues to operate the Smart Beet initiative. This project also incorporates current developments that are resulting from changes in agricultural policy and the approval situation for pesticides. Information is continuously compiled on projects and experimental approaches, with the aim of examining how sugar beet can be grown in the changing environment. To enable this, Nordzucker monitors the approval situation for pesticides and other risks to sugar beet cultivation. To provide additional support, the company focuses on advising growers regarding cultivation and on continuing its development of digital solutions for cultivation advice.

With regard to the projects and experiments as part of the Smart Beet initiative, the focus is how they relate to what happens in practice. Particular emphasis is placed on ensuring that the growers can quickly put the results into practice in their sugar beet cultivation.

Nordzucker signs supply contracts with the beet growers well in advance in order to secure the necessary volumes. Various contract models have been offered to beet growers in all of the Group’s countries for 2022/2023, and in some cases also for 2023/2024 and thereafter. These have varying contractual terms; there are fixed-price models as well as models with prices linked to sugar prices/EBIT.

In Australia, sugar cane is purchased on the basis of rolling cultivation contracts. Unlike sugar beet, sugar cane is not newly cultivated annually based on a planting decision but over a cycle of five to eight years. There are two key risks with regard to the availability of raw material. Poor weather conditions in the short term (mainly drought or cyclones) may result in reduced yields, and the amount of land under cultivation may decline in the long term when farms are used for other purposes (e.g. cattle husbandry). There is also a risk that growers will move to competitors in neighbouring cultivation areas.

Risks resulting from energy prices

The heat and electricity needed for sugar production are generated in the company’s own power plants. This requires procurement of primary energy in the form of natural gas, coal or heavy crude oil. These raw materials are traded on stock exchanges and are subject to high price volatility. The 2021/2022 financial year was characterized by a significant rise in primary energy prices. There was also a risk that the volumes or quality levels required for production would be temporarily unavailable (production downtime risk). To a certain extent, Nordzucker mitigates the risk of changes in prices by means of hedging transactions.

Risks resulting from the supplier portfolio

The coronavirus also affected procurement processes in the 2021/2022 financial year. Suppliers' credit checks were stepped up, since an increased incidence of supplier insolvencies was likely due to the pandemic and a precise tracking system for the supply chains for strategic materials was introduced due to the heightened level of demand and longer delivery times. Stocks – such as packaging materials, for example – were also increased.

There were shortages and extreme price increases for other groups of materials, too (e.g. wood, paper, processing aids, steel). At times, individual products or the transport logistics required to supply them were not available. Redistribution among the individual Nordzucker locations meant that production stoppages could be avoided.

To ensure that Nordzucker is nonetheless able to secure low-cost access to key materials as required, cooperation has been intensified with the specialist departments. This allows for timely recognition of requirements and optimization of the procurement process, which has reduced the procurement risk.

One strategic objective of procurement is to diversify sources of supply. The goal is to have the choice between several different suppliers for critical goods and services. If necessary, new, additional suppliers must be identified and evaluated and must undergo the necessary training.

Another objective of procurement is to monitor the sustainability of suppliers. By continuously assessing their sustainability performance and working closely with them as part of the Supplier Sustainability Engagement Programme, we are supporting improved sustainability practices in production and along supply chains.

Risks resulting from more challenging conditions in production

The objective of campaign operations is to ensure continuous beet processing that is as consistent as possible. Two main factors in the 2021/2022 campaign made this more challenging: the coronavirus pandemic and supply shortages for various raw materials and processing aids.

To minimize the risk of employees falling sick with the coronavirus and the associated restrictions due to quarantining, Nordzucker practised the general hygiene measures that were applicable during the previous year's campaign. In addition, Nordzucker worked proactively with local health authorities and offered workplace vaccination to employees. This meant that both maintenance work and campaign operations continued uninterrupted.

In relation to supply shortages, the inputs necessary for operations were identified, alternative suppliers found and stocks at other Nordzucker locations drawn upon. All of these measures helped to ensure that beet processing was successfully completed as scheduled by the end of the 2021/2022 campaign.

Environmental risks

Sustainable and environmentally friendly production is an integral part of Nordzucker's corporate strategy. The value chain is designed so that all delivered materials can be converted into usable products, without the need for waste disposal. Beet is converted into sugar, pressed pulp, dried pulp pellets and molasses; limestone and non-sugar substances are turned into carbolime; soil is returned to the field; and stones are used for road construction. Nonetheless, environment impacts including airborne emissions (odours, noise, dust) cannot be entirely avoided during sugar production. The accumulation of technical waste (such as lubricants) and waste water is also unavoidable. Risks arise from potentially exceeded limits, complaints from residents, or new statutory regulations.

Nordzucker gives high priority to limiting detrimental environmental effects to the extent possible. Investments in the avoidance of noise and odours are a part of capital expenditure every year. In recent years, key areas of focus have included the minimization of noise pollution through improved noise abatement and the reduction of dust emissions through new filters. All Nordzucker plants are audited regularly in accordance with applicable national and international legislation and standards to verify the results of these activities. This includes certification in line with the EU Environmental Audit regulation (EC) 1221/2009 (EMAS III), the DIN EN ISO 14001 environmental management system, and the DIN EN ISO 50001 energy management system. Nordzucker not only submits to the inspections required by law but also carries out an additional voluntary audit.

Risks resulting from additional costs for CO_2 certificates

Within the scope of the European emissions trading system, every year Nordzucker requires certificates to cover the annual CO_2 emissions it uses to generate energy. In case of a shortfall, the missing certificates must be purchased. Europe's political goal is to achieve greenhouse gas neutrality in the European Union by 2050 at the latest. A 65 per cent cut in greenhouse gas emissions in the European Union by 2030 was agreed as an interim target. EU member state heads and governments reached agreement on this target in December 2019. Nordzucker is supporting this goal by investing in energy efficiency as well as optimizing its operations. This continuous reduction will not only bring down the number of CO_2 certificates that must be purchased and the associated cost, but also make Nordzucker's business more sustainable.

60 per cent of these production-related emissions have already been reduced compared with 1990 levels. In future, Nordzucker will continue to work on cutting its CO_2 emissions even further by making additional investments in energy efficiency and the optimization of its operations.

Risks resulting from product safety

As a food and animal feed producer, Nordzucker is responsible for the quality and safety of its products. Regular inspections and product safety certifications are carried out to identify risks at an early stage. All of Nordzucker's locations are certified to the independent Foundation for Food Safety Certification's production safety standard (FSSC 22000), which is benchmarked by the Global Food Safety Initiative (GFSI).

Due to differences in local requirements, some sites are also certified in accordance with the following standards: occupational health and safety management system ISO 45001; energy management system ISO 50001; German Biofuel Sustainability Ordinance (Biokraft-NachV – the implementation of Directive 2009/28/EC on the promotion of the use of energy from renewable sources); the IFS (International Featured Standards) food standard; and the GMP+ standard for the production of animal feed ingredients. Organic and fair-trade products are grown and inspected in line with the applicable legislation and standards.

In addition, social criteria as defined by the Sedex Members Ethical Trade Audit (SMETA) are assessed by independent auditors.

Legal risks

The companies of the Nordzucker Group are subject to various statutory and regulatory requirements which affect our business activities and processes. Changes to these rules may necessitate adjustments to our operating activities and result in a significant increase in our production costs.

The key regulatory risks relate to food and animal feed law, occupational health and safety regulations and environmental law. There are additional risks from tax regulations, employment law and the General Data Protection Regulation. Proceedings due to violations of the law could result in fines and penalties, or even civil liability and damage to the company's image. These risks also exist for violations of competition and anti-trust law, corruption, theft and fraud. There is also a pecuniary risk in the event that the Nordzucker Group falls victim to a criminal offence.

Nordzucker faces various legal disputes and proceedings and may possibly do so in future. These could cause Nordzucker to be required to pay compensation or to settle other claims. The legal actions associated with the German sugar cartel in the period from 1996 to 2009 should be noted here. While Nordzucker assumes that the nature of the agreements was not sufficient to have an effect on the market, a court could find that Nordzucker is required to pay compensation.

Risks and opportunities resulting from information technology

Risks resulting from digitalization

Risks resulting from digitalization include an outside attack that disrupts the production or delivery of sugar. Furthermore, valuable data could be stolen.

New risks also applied as a result of the current coronavirus pandemic situation and the related changeover to working from home. The extended provision of a secure technical infrastructure was one of the biggest challenges.

Moreover, the general IT security situation further deteriorated. Over 700,000 spam emails were detected. More than 13,000 emails containing viruses were intercepted. On all devices, these infection attempts were successfully terminated by our protection mechanisms before any damage could occur. Our firewalls detect various daily attacks that are external in origin and which our systems reliably defend against. Through the awareness training started in the past year, we are helping to significantly increase employees' level of awareness and sensitivity to attack attempts made by email or over the telephone.

In order to limit further risks, to achieve an appropriate level of protection for the company and to ensure system availability, Nordzucker is investing in further security measures. It plans to upgrade the network, which includes optimizing the security infrastructure, in order to create a state-of-the-art network. Other comprehensive security measures that were implemented include the installation of the newest generation of malware protection on user devices, including analysis in the cloud and the analysis of the log4j problem (security gap in the web servers) by means of verification of affectedness and mitigation. Furthermore, externally developed training was conducted in relation to current threats in the area of IT security, regular phishing simulations to improve risk awareness among employees, and continuous modification and improvement of the information security management system (ISMS). The Nordzucker audit tool for our active-Directory (current directory service for Windows servers) was expanded to include the new available Azure infrastructure which is to be used for Microsoft applications. Statutory requirements (German IT Security Act, UP KRITIS) must also be taken into account. By playing an active role on committees in industry working groups, Nordzucker can help shape the general framework for this subject.

Internal and external reviews continuously verify the effectiveness of measures, making all IT services as safe and reliable as possible.

Opportunities resulting from digitalization

However, digitalization is also opening up new opportunities for Nordzucker. Due to the coronavirus pandemic in particular, we have seen how well placed we already are in the field of digitalization. At the start of the pandemic, we were able to offer all of our members of staff for whom it was appropriate to work from home the opportunity to do so within the space of just a few days, and we enabled them to work together and hold meetings virtually using Microsoft Teams. All of our activities continued seamlessly.

By evaluating the data that is already available in a digitally connected system, Nordzucker can pick up on any deviations more quickly and take targeted measures to manage them. Nordzucker is already making use of these technical opportunities by means of its AgriLog system – which optimizes the supply chain from the grower to the plant – as well as digital consultancy solutions for growers, and will continue to expand these in future. Our Green Database project was initiated with the goal of capturing the full range of agricultural data arising within the scope of a farm management system in a new system. In a further step, further tools are then used in order to enable predictions and analyses, so as to achieve optimal results for our growers.

In the area of applications, the introduction of SAP S/4 HANA will create the foundation needed to further the process of digitalization within the context of ERP projects. The introduction project went live on 1 March 2022.

A roadmap is currently being developed to determine how digitalization can be furthered. In addition to its functional dimension, this roadmap consists of organizational and technical elements:

one essential and concrete component of the roadmap is the planned introduction of an integrated planning system, initially with a logistical focus. Analyses have been conducted to prepare for the selection of a system so a decision can be made soon.

Financial risks

Financial risks relate to unrecoverable receivables, currency, raw materials and interest rate risks and liquidity risk. Risk exposure may also arise from the investment strategy and the availability of loan finance.

Risks resulting from defaults

Receivables from customers or other contractual parties may become unrecoverable. This default risk has been aggravated by the strong volatility of raw material prices and the resulting economic fluctuations in particular. To limit this risk, on the basis of standard guidelines Nordzucker establishes a customer’s credit standing before signing a contract and generally takes out commercial credit insurance.

Currency, raw materials and interest rate risks

The volatility of exchange rates, raw materials and interest rates give rise to operating risks, the hedging of which is the responsibility of the individual functional units and of the Corporate Finance department.

To limit these risks, they are analyzed thoroughly before contracts are signed. If Nordzucker has to assume risks, standard financial instruments available from banks and exchanges are used where necessary so that they can be contained as much as possible. Financial derivatives such as forward contracts, swaps and futures are used to hedge the Group's open risk positions.

This exposes the Nordzucker Group to a normal measure of counterparty risk, in the sense that a partner to a contract may not fulfil their obligations. To minimize this counterparty risk, financial derivatives are either transacted directly via the stock exchange and/or only with first-class international financial institutions, whose economic performance is monitored regularly, partly by analyzing the financial ratings issued by international rating agencies. Dependence on individual institutions is also limited by spreading transactions over various counterparties.

All financial derivatives used serve solely to hedge operating sales, investments and purchase transactions, and to hedge exchange rates for financial transactions.

The margins required for exchange-traded derivatives are also held exclusively on separate margin accounts with first-class international financial institutions.

As of 28 February 2022, the Nordzucker Group had exchange rate derivatives with a notional net volume of EUR 363.8 (365.3) million. At the end of the financial year, hedging transactions with a notional net volume of EUR 87.6 (83.0) million had been entered into for derivatives to hedge against price movements of raw materials, for interest rate derivatives and for emissions certificates (CO_2 certificates).

These existing hedges generally run for less than one year and match the maturity profile of the hedged transactions.

Liquidity risks

The seasonality of the Group's business means that its capital requirements vary widely over the course of a financial year. The size of the harvest and developments in market prices also have a considerable effect on the company's cash requirements. If the company cannot meet these requirements from free cash flow or existing credit lines, a situation may arise in which its continued existence is at risk. This is why the finance function regularly draws up liquidity forecasts for the Group, on the basis of which the financing strategies are then prepared and implemented.

Risks resulting from the supply of credit

Nordzucker has a syndicated loan which expires in October 2023. All the syndicate banks have good credit ratings and are very dependable. In the opinion of the company management, the medium-term syndicated loan to finance its operating business, together with its available liquidity, covers the company's capital needs. From a current perspective, its cash reserves and unused lines of credit enable Nordzucker to meet its payment obligations at all times.

Separate loan agreements were arranged to finance the planned investment programme and current operations at Mackay Sugar. The term for loans covering non-current obligations is appropriate.

The availability of the loans nonetheless depends on various conditions being met; in particular, Nordzucker must comply with a number of financial covenants. On the basis of existing corporate planning for the Group, the company assumes that the terms of the loan agreements will be met in subsequent years as well. Further steps have also been taken to support compliance with these covenants in future.

The guarantees needed for current operations can also be provided at any time as needed by means of the syndicated loan and bilateral lines of credit. The Group is not directly dependent on individual lenders.

Risks resulting from financial investments

Risky financial investments or the default of a bank may result in the loss of financial assets. Nordzucker has a conservative investment policy for financial investments. The Group's free liquidity is largely invested in money-market products of European financial institutions that have been selected based on a credit rating classification. However, in general, all investment amounts are spread in terms of the maturities, investment forms and issuers in order to prevent cluster risks. For balances with banks, the funds must be largely covered by the applicable deposit insurance mechanisms, despite changes in the EU legal situation. In spite of these extensive measures, invested funds could suffer value losses or be unavailable in the short term in the event of another financial crisis. Due to the continued highly expansionary monetary policy pursued by the European Central Bank, Nordzucker could pay negative interest rates on investments held by banks. To date, it has largely been possible to avoid this; in any case, the impact on the company's overall profitability is likely to be kept to a minimum.

The liquidity available within Nordzucker allows the company to exploit growth opportunities, also by taking growth steps outside of Europe. This solid financial position will enable the company to defend its market share and expand its market position in an environment that will be characterized by more intense competition in Europe in the future. Nordzucker is also well positioned to weather any prolonged period of lower prices.

Overall picture for risks and opportunities

The Ukraine crisis brings the greatest risk potential, due in particular to the dependence on gas supplies from Russia. Should energy supplies be discontinued, Nordzucker will be competing with other industries for the energy available under the federal government's emergency plans. For the locations that use gas as their main energy source, it is possible in principle to switch from gas to other energy sources. However, it will not be possible to switch before the coming campaign due to the delivery times of the material and the associated automation technology that is needed to retrofit the boiler houses. As a result, it might only be possible to use some of the production infrastructure, while there is simultaneously an obligation to accept beet volumes. Nordzucker is currently developing emergency scenarios to process as great a volume of beets as possible and to minimize potential volume losses by using the existing refineries for world market sugar.

Following the expiry of the sugar market regime on 30 September 2017, competition in the EU sugar market has significantly intensified. Sugar prices within the EU are now considerably more dependent on the global sugar market, which means that the volatility of sugar prices on the world market also affects EU sugar prices. Extended periods with relatively low sugar prices are possible, as was the case between mid-2017 and late 2019. Low sugar prices pose a big risk regarding achievement of the Nordzucker Group's profitability targets. There is also an increased risk of staff falling sick or being required to quarantine as a result of the coronavirus pandemic and of the unavailability of suppliers as well as customers' illiquidity. Increasing prohibitions on the use of pesticides may reduce sugar beet yields, which could result in higher purchasing costs. Furthermore, due to the energy required to produce sugar, the price and availability of energy as well as statutory regulations in the field of climate protection could affect the profitability of the Nordzucker Group.

At the same time, there are also significant opportunities for Nordzucker. Sugar is a product in high demand across the globe. Its consumption will continue to increase in the future as the world population grows and prosperity levels rise. Attractive investment opportunities outside of Europe may thus arise. For instance, the company's equity investment in the cane sugar producer MSL will provide access to the Australian and South East Asia markets. In Europe, Nordzucker already has attractive sales markets thanks to its strong market presence. Through continual work with growers and external partners, the company is actively taking up the challenges posed by increasingly stringent environmental legislation in the field. It supports projects that meet these challenges. A comprehensive transformation programme will help further reduce production costs and make administrative processes more efficient. The company is preparing for future challenges by means of an excellence initiative which it has launched in the areas of production, the supply chain, agriculture, sales and sustainability.

The overall assessment of current opportunities and risks suggests that there are no risks that could jeopardize the company's continued existence. No future existential risks have been identified at the present time.

OUTLOOK

The outlook for the 2022/2023 financial year is subject to great uncertainty due to the the war in Ukraine, the associated sanctions and the potential for further restrictions on business with Russia.

Assuming that there is a sufficient energy supply, we expect the earnings position to be positive for the 2022/2023 financial year. Hedging transactions for energy procurement will play a key role here, as will hedging a large portion of the sales agreements. The sowing of beet, the thick juice campaigns, and the maintenance and investment measures at the plants are taking place as planned to safeguard the 2022/2023 campaign.

The determining factor will be the impact that the Ukraine crisis has on energy availability and on the global sugar supply. We expect that energy prices will increase further but that world market prices for sugar will also remain at a high level. The fundamental prospects for global production and consumption continue to indicate this.

In Australia, where rising sugar prices more directly impact business, earnings are expected to remain stable. Having entered into hedging transactions in good time for a portion of its sales, MSL has locked in the high price level on the world market and is thus expecting this to have a positive financial impact on its earnings.

Higher production costs and a change in payment targets for beet purchasing will cause existing syndicated loan-based lines of credit to be drawn on at the end of the 2022/2023 financial year. MSL finances its business via its own lines of credit, which it intends to make use of.

Based on the aforementioned premises, the continued systematic implementation of the cost and optimization measures and the present estimation of open sales and reference volumes that are not currently fixed, we expect earnings to be up slightly on the 2021/2022 financial year. Our earnings expectations for the 2022/2023 financial year will remain at the upper end of the target range for the EBIT and RoCE margin. The equity ratio will continue to significantly exceed its target.

As a result, we currently assume that the Group's financial position will remain stable and its liquidity secured.

The company will continue to implement its measures envisaged for the adjustment of its management and its cost structure. In addition, further long-term measures will be initiated throughout the value chain. Our excellence initiatives cover multiple-year initiatives in the areas of agriculture, production, the supply chain, sales and sustainability. The positive effects associated with these measures will significantly contribute to the company's earnings and systematically strengthen Nordzucker's competitiveness.

As well as our core business and our investment in Australia, we are looking very closely at the possibilities for the development of further sugar and beet products. We are also exploring the possibility of entering the attractive market environment for alternative proteins.

Nordzucker will thus continue to be a strong supplier of sugar, animal feed and bioethanol that seizes growth opportunities in the markets and systematically develops as a food supplier.

Braunschweig, Germany, 16 May 2022

The Executive Board

Dr. Lars Gorissen | Alexander Bott | Alexander Godow

Consolidated financial statements 2021/2022

Contents

Consolidated income statement

for the period from 1 March 2021 to 28 February 2022 for Nordzucker AG, Braunschweig, Germany

in EUR thousands	Further details in Note	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Revenues	8	**1,943,112**	**1,670,373**
Production costs	9	**-1,535,204**	**-1,332,266**
Gross profit		**407,908**	**338,107**
Sales costs	10	**-205,440**	**-181,575**
Administrative expenses	11	**-70,009**	**-70,543**
Other income	12	**32,467**	**34,556**
Other expenses	13	**-50,507**	**-39,516**
Operating result (EBIT)		**114,419**	**81,029**
Financial income	14	**9,360**	**9,600**
Financial expenses	15	**-27,391**	**-11,568**
Result from companies accounted for using the equity method	16	**5,192**	**8,372**
Earnings before taxes		**101,580**	**87,432**
Income taxes	17	**-17,242**	**-21,468**
Consolidated net income		**84,338**	**65,964**
of which attributable to non-controlling interests		**5,637**	**2,172**
of which attributable to shareholders of the parent company		**78,701**	**63,792**

Consolidated statement of comprehensive income

for the period from 1 March 2021 to 28 February 2022 for Nordzucker AG, Braunschweig, Germany

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Consolidated net income	**84,338**	**65,964**
Remeasurement of defined benefit plans	**37,756**	5,556
Deferred taxes on items of other comprehensive income not reclassified to the income statement	**-11,282**	-1,500
Other comprehensive income from items not reclassified to the income statement	**26,474**	**4,056**
Exchange differences on translating foreign operations	**-8,453**	4,694
Net result of cash flow hedges	**21,783**	-1,571
Deferred taxes on items of other comprehensive income reclassified to the income statement	**-6,746**	1,375
Other comprehensive income from items reclassified to the income statement	**6,584**	**4,498**
Consolidated comprehensive income after taxes	**117,396**	**74,518**
of which attributable to non-controlling interests	**5,932**	4,672
of which attributable to shareholders of the parent company	**111,464**	**69,846**

Consolidated cash flow statement

for the period from 1 March 2021 to 28 February 2022 for Nordzucker AG, Braunschweig, Germany

TEUR	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Earnings before taxes	**101,580**	**87,432**
Interest and similar income/expenses	7,637	8,921
Depreciation, amortization and impairment/reversals of impairment of non-current assets	75,049	77,129
Change in provisions	16,790	-852
Change in inventories	-34,749	-89,767
Change in trade receivables	-38,466	-5,902
Change in trade payables	13,604	8,387
Change in other operating assets/liabilities	-7,539	-44,170
Gains/losses on the disposal of non-current assets	1,045	2,108
Other non-cash expenses/income	1,979	799
Interest received in the financial year	3,833	1,776
Interest paid in the financial year	-8,981	-8,189
Result from companies accounted for using the equity method	-5,192	-8,372
Taxes paid in the financial year	-12,741	-10,375
Cash flow from operating activities	**113,849**	**18,925**
Proceeds from the disposal of property, plant and equipment	3,901	388
Payments for investments in property, plant and equipment	-116,156	-83,508
Proceeds on disposal of intangible assets	772	586
Payments for investments in intangible assets	-4,798	-2,169
Proceeds from the disposal of financial assets	7	0
Proceeds from/payments for investments in financial assets	-5,619	828
Cash flow from investing activities	**-121,893**	**-83,875**
Payments to shareholders (dividends)	-29,181	0
Borrowing	-8,901	51,144
Cash flow from financing activities	**-38,082**	**51,144**
Changes in cash and cash equivalents	**-46,126**	**-13,806**
Cash and cash equivalents at the beginning of the period	**125,705**	**139,410**
Effect of foreign exchange rate changes	184	101
Cash and cash equivalents at the end of the period	**79,763**	**125,705**

Consolidated balance sheet

as of 28 February 2022 for Nordzucker AG, Braunschweig, Germany

Assets in EUR thousands	Further details in Note	28/2/2022	28/2/2021
Non-current assets			
Fixed assets			
Intangible assets	21	**17,121**	17,244
Property, plant and equipment	22	**1,003,051**	973,425
Investment property	25	**11,034**	11,331
Financial investments	26		
Shares in companies accounted for using the equity method	26.1/26.2	**66,621**	59,486
Other financial investments	26.3	**45,900**	41,442
		112,521	**100,928**
		1,143,727	**1,102,928**
Receivables and other assets			
Financial assets	30	**3,273**	0
Other assets	31	**382**	873
		3,655	**873**
Deferred taxes	17	**7,155**	11,060
		1,154,537	**1,114,861**
Current assets			
Inventories	27		
Raw materials, consumables and supplies		**67,391**	61,109
Work in progress		**65,676**	53,813
Finished goods and merchandise		**712,180**	703,146
		845,247	**818,068**
Receivables and other assets			
Trade receivables	28	**223,516**	187,133
Receivables from related parties	29	**842**	1,538
Current income tax receivables	17	**9,270**	4,876
Financial assets	30	**39,183**	18,370
Other assets	31	**78,063**	70,741
		350,874	**282,658**
Cash and cash equivalents		**79,763**	**125,705**
Current assets		**1,275,884**	**1,226,431**
Assets held for sale	**32**	**349**	**15**
		1,276,233	**1,226,446**
		2,430,770	**2,341,307**

Consolidated balance sheet

as of 28 February 2022 for Nordzucker AG, Braunschweig, Germany

Equity and liabilities in EUR thousands	Further details in Note	28/2/2022	28/2/2021
Equity	33		
Subscribed capital	33.1	**123,651**	123,651
Capital reserves	33.2	**127,035**	127,035
Retained earnings	33.3	**1,207,243**	1,155,418
Other comprehensive income	33.4	**-68,322**	-103,657
Equity attributable to shareholders of the parent company		**1,389,607**	1,302,447
Non-controlling interests	33.5	**58,711**	52,853
		1,448,318	**1,355,300**
Non-current provisions and liabilities			
Provisions for pensions and similar obligations	34	**222,845**	263,317
Other provisions	35	**98,540**	79,952
Financial liabilities	36	**110,218**	87,071
Trade payables	37	**30**	0
Liabilities towards related parties	38	**5,500**	5,560
Other financial liabilities	39	**6,642**	17,878
Other liabilities	40	**97**	4,198
Deferred taxes	17	**73,395**	53,243
		517,267	**511,219**
Current provisions and liabilities			
Provisions for pensions and similar obligations	34	**11,710**	11,815
Other provisions	35	**45,820**	44,710
Financial liabilities	36	**30,567**	62,616
Current income tax liabilities	17	**16,475**	14,206
Trade payables third party	37	**275,813**	263,291
Liabilities towards related parties	38	**28,660**	31,038
Other financial liabilities	39	**22,499**	11,001
Other liabilities	40	**33,641**	36,111
		465,185	**474,788**
		2,430,770	**2,341,307**

Consolidated statement of changes in shareholders' equity

for Nordzucker AG, Braunschweig, Germany

in EUR thousands	Subscribed capital	Capital reserves	Retained earnings	Other comprehensive income	Equity attributable to shareholders of the parent company	Non-controlling interests	**Total equity**
As of 1/3/2020	**123,651**	**127,035**	**1,092,477**	**-112,252**	**1,230,911**	**48,650**	**1,279,561**
Net income	/	/	63,792	/	63,792	2,172	**65,964**
Other comprehensive income	/	/	/	6,054	6,054	2,500	**8,554**
Consolidated comprehensive income	**0**	**/**	**63,792**	**6,054**	**69,846**	**4,672**	**74,518**
Dividend payment	/	/	0	/	0	0	**0**
Other	/	/	-851	2,541	1,690	-468	**1,222**
As of 28/2/2021	**123,651**	**127,035**	**1,155,418**	**-103,657**	**1,302,447**	**52,853**	**1,355,300**
As of 1/3/2021	**123,651**	**127,035**	**1,155,418**	**-103,657**	**1,302,447**	**52,853**	**1,355,300**
Net income	/	/	78,701	/	78,701	5,637	**84,338**
Other comprehensive income	/	/		32,763	32,763	295	**33,058**
Consolidated comprehensive income	**/**	**/**	**78,701**	**32,763**	**111,464**	**5,932**	**117,396**
Dividend payment	/	/	-28,981		-28,981	0	**-28,981**
Other	/	/	2,105	2,572	4,677	-74	**4,603**
As of 28/2/2022	**123,651**	**127,035**	**1,207,243**	**-68,322**	**1,389,607**	**58,711**	**1,448,318**

Notes to the consolidated financial statements

GENERAL REMARKS

1. Accounting principles

The consolidated financial statements as of 28 February 2022 for Nordzucker AG (Küchenstrasse 9, 38100 Braunschweig, Germany) have been prepared pursuant to Sec. 315e HGB (German Commercial Code) in accordance with the International Financial Reporting Standards (IFRS) adopted by the International Accounting Standards Board (IASB) or the IFRS Interpretations Committee (IFRS IC) as applicable in the European Union (EU IFRS) and with supplementary provisions of German commercial law. The financial statements comply fully with EU IFRS and give a true and fair view of the net assets, financial and earnings position of Nordzucker AG and its consolidated subsidiaries, joint ventures and associated companies (hereinafter referred to as the “Nordzucker Group” or “Group”).

As the parent company of the Group, Nordzucker AG is entered in the Commercial Register at Braunschweig Local Court (HRB 2936).

Nordzucker Holding Aktiengesellschaft presents consolidated financial statements for the largest group of companies, which includes Nordzucker AG as a subsidiary. The consolidated financial statements of Nordzucker Holding Aktiengesellschaft are filed with and published in the electronic edition of the German Federal Gazette (Elektronischer Bundesanzeiger).

The consolidated financial statements of Nordzucker AG, audited by Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft, Hannover, and issued with an unqualified opinion, are published in the German Federal Gazette. The annual report can be viewed on the Nordzucker AG website (www.nordzucker.de).

The reporting currency is the Euro, with amounts reported in thousands of Euros.

The consolidated financial statements will be approved by the Executive Board of Nordzucker AG on 31 May 2022 for presentation to the Supervisory Board.

2. Consolidation and acquisitions

2.1. PRINCIPLES OF CONSOLIDATION

a. Subsidiaries
In addition to Nordzucker AG as the parent company, the Nordzucker consolidated financial statements also include the domestic and foreign companies that can be controlled by Nordzucker AG within the meaning of IFRS 10 (subsidiaries).

Subsidiaries are fully consolidated from the acquisition date, i.e. the date on which the Group obtains control. Consolidation ends once the parent company no longer exercises control. The financial statements of the subsidiaries are prepared for the same reporting period as the financial statements for the parent company using uniform accounting methods. Intra-Group transactions between companies in the Group are eliminated in full.

b. Joint ventures

Joint ventures are accounted for in the consolidated financial statements using the equity method. Nordzucker AG has rights to the net assets of the joint ventures and manages them with another party (joint control). In applying the equity method, the IFRS financial statements of these companies are used. Losses from joint ventures which exceed the investment carrying amount or other non-current receivables from financing these companies are not recognized unless there is an obligation to provide further capital.

c. Associated companies

Associated companies are also accounted for in the consolidated financial statements using the equity method. Nordzucker AG has a significant influence on associated companies, i.e. it can contribute to shaping the company's financial and operating policies but does not have control or joint control of decision-making processes.

2.2. GROUP OF CONSOLIDATED COMPANIES

The consolidated companies in the Nordzucker Group are as follows:

GROUP OF CONSOLIDATED COMPANIES

	28/2/2022	28/2/2021
Fully consolidated subsidiaries		
Domestic	**5**	5
Foreign	**16**	15
Companies accounted for using the equity method		
Domestic	**3**	3
Foreign	**4**	4

As a result of the liquidation of one Swedish subsidiary and the establishment of two new subsidiaries in Sweden, the group of fully consolidated subsidiaries increased by one compared with the previous year.

The list of shareholdings can be found at the end of these Notes.

The reporting date for all fully consolidated subsidiaries included in the consolidated financial statements is 28 February 2022. The reporting date for all companies accounted for using the equity method and included in the consolidated financial statements is 31 December 2021.

2.3. SIGNIFICANT SUBSIDIARIES

The significant subsidiaries of the Nordzucker Group are listed in the table below:

SIGNIFICANT SUBSIDIARIES

	Group stake
Norddeutsche Flüssigzucker GmbH & Co. KG, (Braunschweig, Germany)	70 %
Nordzucker GmbH & Co. KG, (Braunschweig, Germany)	100 %
Nordzucker Services GmbH & Co. KG, (Braunschweig, Germany)	100 %
Nordzucker Polska S.A., (Opalenica, Poland)	99.87 %
Považský Cukor a.s., (Trenčianska Teplá, Slovakia)	96.80 %
Nordic Sugar A/S, (Copenhagen, Denmark)	100 %
Nordic Sugar AB, (Malmö, Sweden)	100 %
AB Nordic Sugar Kedainiai (Kedainiai, Lithuania)	70.60 %
UAB Nordzucker Business Services (Kaunas, Lithuania)	100 %
Sucros Oy (Säkylä, Finland)	80 %
Suomen Sokeri Oy (Kantvik, Finland)	80 %
Nordzucker Ireland Limited (Dublin, Ireland)	100 %
Mackay Sugar Limited (Mackay, Australia)	70.94 %

The following business partnerships structured as limited partnerships (GmbH & Co. KG) and the following corporations structured as limited liability companies (GmbH)

- NORDZUCKER GmbH & Co. KG, Braunschweig, Germany
- Norddeutsche Flüssigzucker GmbH & Co. KG, Braunschweig, Germany
- Nordzucker Services GmbH & Co. KG, Braunschweig, Germany
- Norddeutsche Flüssigzucker Verwaltungsgesellschaft GmbH, Braunschweig, Germany

are exempt from the respective obligations in accordance with the regulations applicable to corporations pursuant to Sec. 264 (3) and Sec. 264b HGB (German Commercial Code).

2.4. CONVERSION OF FINANCIAL STATEMENTS IN FOREIGN CURRENCIES

Assets and liabilities of subsidiaries whose functional currency is not the Euro are converted at the closing rate. The functional currency is the currency of the primary economic environment in which the subsidiary operates. Items in the income statement are converted at the weighted average rate for the relevant reporting period. Equity components of subsidiaries are converted at the historical rate for the date first recognized. Exchange differences arising from the conversion are recognized without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income and not in the income statement).

The rates for the conversion of key financial statements in foreign currencies into Euros have changed as follows:

EXCHANGE RATES OF FOREIGN CURRENCIES

	Average rate		Closing rate	
for EUR 1.00	**2021/2022**	2020/2021	**28/02/2022**	28/02/2021
Polish Zloty (PLN)	**4.57059**	4.48399	**4.68350**	4.51860
Danish Crown (DKK)	**7.43754**	7.44867	**7.44040**	7.43610
Swedish Crown (SEK)	**10.20196**	10.41061	**10.60550**	10.13880
Australian Dollar (AUD)	**1.57669**	1.64598	**1.55080**	1.56050

3. Explanation of accounting policies

3.1. GENERAL PRINCIPLES

The valuation of the items in the consolidated financial statements is primarily at amortized cost. Derivative financial instruments and actuarial reserves for pension obligations in the form of plan assets, in particular, are recognized at fair value.

Individual line items of the income statement and of the statement of financial position have been aggregated to improve readability. These items are listed in the Notes to the consolidated financial statements.

The income statement has been prepared using the cost-of-sales method. As such, the revenues recognized in the reporting period are compared with the costs incurred to achieve these revenues, categorized by the functional areas of Production, Sales and Administration.

In the statement of financial position, assets and liabilities are categorized as non-current (items with maturities of more than one year) or current.

3.2. RECOGNITION OF INCOME AND EXPENSE

Revenues are recognized in accordance with IFRS 15 when a performance obligation is fulfilled by transferring an agreed commodity or service to a customer. Revenues are reduced by sales discounts.

Operating expenses are recognized when the service is used or as of the date they arise.

Interest is recognized as an expense or as income in the period in which it arises. Interest expense arising in connection with the purchase or production of certain assets is only recognized if they are qualifying assets in accordance with IAS 23.

Dividends are recognized in profit or loss when the legal entitlement is vested.

3.3. INTANGIBLE ASSETS INCLUDING GOODWILL

This item primarily refers to acquired intangible assets, internally generated intangible assets and goodwill.

Acquired intangible assets (purchased rights and licences) are measured initially at cost (purchase price, directly attributable costs). Assets related to acquisitions (see also Note 3.17.), such as contractual customer relationships, trademark rights and no-competition clauses, are recognized as separately acquired intangible assets, provided that the criteria of IFRS 3 and IAS 38 are fulfilled, and measured on initial recognition at fair value.

Internally generated intangible assets (such as internally generated software) are recognized provided that they fulfil the capitalization criteria of IAS 38 (in particular with regard to demonstration of technical feasibility, of the intention and ability to use the asset, as well as of its reliable valuation). Production costs include the costs directly attributable to the development phase, as well as borrowing costs insofar as they can be recognized under IAS 23. Research costs are recognized as an expense.

Separately acquired and internally generated intangible assets with finite lives are subject to amortization after initial recognition. This is done on a straight-line basis under the assumption of the following useful lives:

INTANGIBLE ASSETS

	Useful life in years
ERP licences	20
Other software	5 – 10

Useful lives are reviewed regularly to ensure they are appropriate. If necessary, they are adjusted accordingly. Impairment losses are recognized on these items if there are indications that intangible assets with finite lives have been impaired in accordance with IAS 36, and if the recoverable amount is less than the amortized cost (see also Note 3.6.). If the reasons for the impairment losses are no longer valid, the relevant reversals of impairments are made.

Goodwill arises in conjunction with an acquisition (see also Note 3.17.) if the total consideration transferred to the seller (purchase price and any future contingent considerations) exceeds the net amount of the identifiable assets acquired and the liabilities assumed. The positive difference between the two amounts is recognized under IFRS 3.

Separately acquired and internally generated intangible assets with indefinite useful lives, as well as goodwill, are not subject to scheduled amortization but must be tested for impairment at least once a year in accordance with IAS 36 (see also Note 3.6.). The impairment test for goodwill takes place at the level of the cash-generating unit to which the item was attributed upon initial recognition. Goodwill is assigned to the cash-generating unit that is expected to benefit from the synergies of the business combination. According to IAS 36, a cash-generating unit is the smallest identifiable group of assets with cash inflow that is largely independent of cash inflow from other assets. Within the Nordzucker Group, the lowest possible level is deemed the one within the entity at which goodwill is monitored for internal management purposes. An impairment loss is recognized on goodwill when the recoverable amount attributed to the cash-generating unit for this item is less than the carrying amount of this cash-generating unit; goodwill must then be written down by the amount of this difference. The basis for calculating the recoverable amount is the value in use of the cash-generating unit. This is determined by means of a present-value model, taking into account cash flows that are based on internal targets. Reversals of the impairment or increases in the carrying amount of goodwill cannot be carried out later.

Gains or losses resulting from the disposal or impairment of intangible assets are presented on the income statement under “Other income” or “Other expenses”.

3.4. PROPERTY, PLANT AND EQUIPMENT

In accordance with IAS 16, property, plant and equipment is initially recognized at cost and subsequently depreciated on a straight-line basis over its expected useful life. Costs include the purchase price, all directly attributable costs, estimated costs for future decommissioning and restoration obligations, as well as borrowing costs insofar as they can be capitalized under IAS 23.

The following useful lives are assumed for depreciation:

PROPERTY, PLANT AND EQUIPMENT

	Useful life in years
Buildings	20–60
Technical plant and machinery	4–60
Railway tracks	70
Fleet	4–15
Trailers and rolling stock	25
Other operating and office equipment	3–25

Useful lives are reviewed regularly to ensure they are appropriate. If necessary, they are adjusted accordingly. Depreciation starts from the time at which the asset in question becomes ready for use. Production-related property, plant and equipment only used during the campaign is depreciated for the full year. If there is indication of an impairment in accordance with IAS 36 and the recoverable amount is less than the amortized cost, impairment losses are recognized on these items (see also Note 3.6.). If the reasons for the impairment losses are no longer valid, the relevant reversals of impairments are made.

Gains or losses resulting from the disposal or impairment of items of property, plant and equipment are presented on the income statement under “Other income” or “Other expenses”.

3.5. INVESTMENT PROPERTY

Property intended to be let to third parties is initially recognized at cost under IAS 40. For subsequent measurement, the Nordzucker Group consistently exercises the option of measuring investment property at cost, less depreciation and impairment write-downs. Depreciation takes place on a straight-line basis over the useful life of 20 to 60 years. An impairment is recognized if there are indications that an impairment has taken place in accordance with IAS 36 and if the recoverable amount is less than the amortized cost (see also Note 3.6.); the impairment is reversed if the indication of the impairment no longer exists in subsequent periods.

3.6. IMPAIRMENT OF INTANGIBLE ASSETS (INCLUDING GOODWILL), PROPERTY, PLANT AND EQUIPMENT AS WELL AS INVESTMENT PROPERTY

Under IAS 36, impairment losses are calculated by comparing the carrying amount with the recoverable amount. This impairment test is applied at the level of individual assets, provided that it is possible to estimate the recoverable amount for the individual asset. If this is not the case, the impairment test must be applied at the level of the cash-generating unit. The cash-generating unit is the smallest possible group of assets that generate largely independent cash inflows.

Since its acquisition of MSL on 31 July 2019, the Nordzucker Group has consisted of the cash-generating units “Sugar from beet” and “Sugar from cane”.

At the end of each reporting period, a review is conducted to assess whether any indications for the impairment of assets exist. If such an indication exists, the recoverable amount of the asset or cash-generating unit must be determined and compared with the carrying amount. Impairment testing is carried out once a year for goodwill, other intangible assets with indefinite useful lives and for intangible assets not yet available for use – regardless of whether or not indications for impairment exist.

The recoverable amount of an asset or cash-generating unit equates to the higher of fair value less costs of disposal and value in use. For cash-generating units, the recoverable amount is generally calculated using the discounted cash flow method, taking into account cash flows based on internal targets. The cash flows are discounted at a rate which reflects current market assessments of the interest effect and the specific risks of the cash-generating unit.

An impairment is applied if the recoverable amount of the asset or cash-generating unit is lower than the corresponding carrying amount. For cash-generating units, any goodwill must first be reduced or eliminated. If the carrying amount is insufficient, other assets belonging to the cash-generating unit must be reduced proportionally.

With the exception of goodwill, a review must be conducted at the end of each reporting period to assess whether there are any indications that a previously recognized impairment no longer exists or has been reduced. If this is the case, the carrying amount of the asset or cash-generating unit must be increased to its recoverable amount. As such, assets may not be attributed in excess of the amortized carrying amount as would have been determined in the absence of any prior impairment.

3.7. INVESTMENT SUBSIDIES

Government grants representing grants for assets under IAS 20 (i.e. being investment subsidies) are only recorded if there is sufficient reason to believe that a company within the Nordzucker Group is likely to fulfill the associated conditions and the grant will be received. Subsidies are not subtracted from the corresponding asset but are considered as deferred income under “Other liabilities”. The deferred income is subsequently released to profit or loss (i.e. via the income statement) over the useful life or depreciation period of the corresponding item of property, plant and equipment.

3.8. LEASES

The Nordzucker Group has concluded lease contracts for its technical equipment, machinery, vehicles and operating and office equipment. Prior to the initial application of IFRS 16, the Group classified its leases (as lessee) as either finance leases or operating leases at the time when the contract was concluded.

When initially applying IFRS 16, the Group recorded and assessed all of its leases (with the exception of short-term leases and leases whose underlying asset has a low value) using a single model.

According to IFRS 16, a lease exists if the lessor affords the lessee the contractual right to control an identified asset for a specified period of time and the lessor receives consideration from the lessee in return.

At the start of the contract, the Group assesses whether this contract constitutes or contains a lease. This is the case if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

If the Group is the lessee of a lease, a right of use is recognized as an asset at the time when the underlying asset is usable, and a corresponding liability (lease liability) is also recognized.

The right of use reflects the right to use the asset underlying the lease in return for consideration. As part of the initial measurement, the corresponding lease liability, the lease instalments that are paid at or prior to the start of the lease, plus any initial direct costs, any demolition obligations and prior to the provision of advance lease payments made less lease incentives received, is capitalized. Subsequent measurement occurs at cost less accumulated depreciation, amortization and impairment. Rights of use are amortized on a straight-line basis over either the term of the lease or the expected useful life of the leased assets, whichever is shorter. Contractual changes, insofar as they are not assessed as being a separate lease, and remeasurements of the lease liability are also included in the right of use. The capitalized right of use is recognized in the respective asset class in property, plant and equipment. Impairment testing and the recognition of any impairments in relation to capitalized rights of use occurs in accordance with the regulations applicable to property, plant and equipment.

If ownership of the lease asset is transferred to the Group at the end of the lease or a purchase option is exercised and included in the costs, depreciation and amortization is calculated based on the expected useful life of the leased asset.

The lease liability demonstrates the company’s obligation to make contractual lease payments and is measured as the present value of these lease payments that have yet to be made. While IFRS 16 requires that the interest rate implicit in the lease be used to calculate the present value, it is often not possible to calculate it. As a result, the incremental borrowing rate is generally used for the purpose of discounting. If the lease payments to be made contain fixed payments or variable lease payments that are linked to an index or interest rate, this is included in the lease liabilities. Variable lease payments that are linked to an index or interest rate are measured using the underlying index or interest rate as soon as it becomes applicable. If residual value guarantees, purchase options or penalties exist in exceptional cases, they should be recognized accordingly in the lease liability if they are expected. Variable lease payments that are not linked to an index or interest rate are recognized as expenses in the period in which the triggering condition occurs. Nordzucker AG regularly uses lease contracts with fixed terms. There are also options to extend or terminate the contracts, in particular those relating to the leasing of production infrastructure and property. When assessing whether corresponding options to extend or terminate the contracts are included in the contract term, all relevant circumstances are examined to determine whether there are economic incentives to exercise or not to exercise these options. Adjustments to the contract term as a result of changed expectations to exercise or not to exercise these options are only made if they are sufficiently safe.

The effective interest method is used for subsequent measurement of the lease liabilities. Cash lease instalments are divided into an interest component recognized in profit or loss and a principal component recognized outside profit or loss. The lease liabilities are reported under financial liabilities, broken down by maturity.

Leases to be recognized in profit or loss under IFRS 16 result from the amortization and, if applicable, impairment of the right of use (operating result), from the accrual of interest on the subsequent measurement of the lease liability (financial result). The contractual lease payments for leases recognized under IFRS 16 are reported exclusively in cash flow from financing activities.

The rights of use in the Group primarily relate to lease contracts for production infrastructure and property. Some of the underlying lease contracts contain variable lease payments and options to extend or terminate the contracts. Leases for production infrastructure essentially relate to the leasing of forklifts and vehicles. The average contract term is 5 years for forklifts and 3–4 years for vehicles. Leases for property, in particular production buildings, have an average contractual term of 10 years.

Under IFRS 16, the accounting policies do not have to be applied to leases that have a term of less than twelve months, whose underlying asset has a low value or if the asset is an intangible asset. For the Nordzucker Group, assets are low in value if their new value does not exceed EUR 15,000. In the case of these exemptions, leases are not recognized in the Group's statement of financial position as an amortizable right of use or lease liability. Corresponding payments are reported in cash flow from operating activities and the same amount is recognized as an expense in the operating result.

For leases whereby the Group is the lessor, a distinction is made between finance leases and operating leases in accordance with IFRS 16. Leases are treated as finance leases if the lessor assumes essentially all the risks and opportunities associated with ownership of an asset. At the point in time when the lease asset is made available, the lessor recognizes a lease receivable in its statement of financial position equal to the net investment in the lease and derecognizes the underlying asset from non-current assets. The net investment generally comprises the present value of future contractual lease payments. Any lease incentives payable by the lessee, variable lease payments linked to an index or interest rate and residual value guarantees or other contractual payment receivables from the lessee can be added. When initially measuring the net investment and lease receivable, the lessor uses the interest rate implicit in the lease. The cash lease instalments are divided into an interest component recognized in profit or loss and a principal component recognized outside profit or loss, with the interest component included in the net financial result. The effective interest method is used for subsequent measurement of the net investment and lease receivable. For operating leases, the underlying asset continues to be reported under the lessor's non-current assets and depreciated or amortized over its useful life. The lease payments received are recognized in rental income. The leases for which the Nordzucker Group is the lessor are immaterial from a Group perspective and are not explained further.

3.9. FINANCIAL INSTRUMENTS

Financial instruments are defined in IAS 32; the relevant accounting and disclosure principles can be found in IFRS 9 and IFRS 7. The term financial instruments covers both financial assets and financial liabilities. Financial assets include cash and cash equivalents, contractual rights to receive cash or other financial assets such as trade receivables, derivative financial instruments with positive fair value and equity instruments of another company. Financial liabilities include contractual obligations to deliver cash and cash equivalents or other financial assets. These include, for example, borrowing, current loans, trade payables and derivative financial instruments with negative fair value.

Only financial assets are included under "Other financial investments", "Financial assets", "Trade receivables", "Receivables from related parties" and "Cash and cash equivalents". The items "Financial liabilities", "Trade payables", "Liabilities towards related parties" and "Other financial liabilities" only comprise financial liabilities.

For the initial recognition, financial instruments must be assigned to measurement categories as listed in IFRS 9. The subsequent measurement of the items is determined by the measurement category. There are three measurement categories for financial assets ("Financial assets measured at fair value through profit or loss", "Financial assets measured at fair value through other comprehensive income" and "Financial assets measured at amortized cost"). Financial liabilities may be assigned to two measurement categories ("Financial liabilities measured at fair value through profit or loss", "Financial liabilities measured at amortized cost").

Financial assets and liabilities must be recognized as soon as a company becomes a party to the contractual provisions of the financial instrument. Within the Nordzucker Group, regular purchases and sales are recognized on the settlement date (the day on which the asset is supplied to or by the company). Initial measurement is at fair value. The principles of IFRS 13 are applied to determine fair value. For items not measured at fair value through profit or loss, transaction costs must be taken into account in the initial carrying amount.

The Nordzucker Group has not used the voluntary option of designating financial assets or financial liabilities upon initial recognition as at fair value through profit or loss (fair value option).

Following initial recognition, financial instruments in the measurement categories "Financial assets/liabilities measured at fair value through profit or loss" and in the measurement category "Financial assets measured at fair value through other comprehensive income" should be measured at fair value. The measurement categories "Financial assets/liabilities measured at fair value through profit or loss" also include derivative financial instruments that are not part of an effective hedging relationship in accordance with IFRS 9 (see also Note 3.15.). Changes in value of the latter measurement categories are recognized in profit or loss (i.e. in the income statement). The subsequent measurement of items in the measurement category "Financial assets measured at fair value through other comprehensive income" is also at fair value. However, having considered the effects of tax, changes in fair value are recognized without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income and not in the income statement). In the case of equity instruments, the changes in value recognized without effect on profit or loss in this way are never transferred to the income statement.

For derivative financial instruments that are part of an effective hedging relationship (see also Note 3.15.), no measurement category is assigned. The instruments are also recognized at fair value. However, value changes are also recognized without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income) depending on the type of hedging relationship.

Following initial recognition at amortized cost, financial assets in the measurement category "Financial assets measured at amortized cost" and financial liabilities in the measurement category "Financial liabilities measured at amortized cost" are measured using the effective interest method.

Within the Nordzucker Group, the financial assets included under the item "Cash and cash equivalents" are assigned to the measurement category "Financial assets measured at amortized cost". This includes bank balances, cash in hand and current balances with banks which have an initial remaining term of up to three months. Amortized cost is generally the same as the nominal value.

Borrowing instruments assigned to the measurement categories "Financial assets measured at amortized cost" and "Financial assets measured at fair value through other comprehensive income" are subject to the impairment requirements of IFRS 9. The expected loan loss for the respective item should be recognized at the end of each reporting period. The change in the expected loan loss is an impairment expense or income that must be recognized in profit or loss.

3.10. ASSETS HELD FOR SALE

Under IFRS 5, items classed as "Assets held for sale" include non-current assets and disposal groups classified as "held for sale". This classification applies if the relevant carrying amount will be recovered principally through a sales transaction rather than through continuing use. In addition, the items must be available for immediate sale in their present condition and the sale must be deemed highly probable, and expected to occur within one year.

Non-current assets are not subject to depreciation, provided that they are classified as "held for sale" or belong to a disposal group classified as "held for sale". Non-current assets or disposal groups that are classified as "held for sale" must be measured immediately after being classified as such, as well as before subsequent ends of reporting periods, at either the carrying amount or fair value less costs to sell, whichever is lower.

If a non-current asset is no longer classified as "held for sale" or no longer belongs to a disposal group classified as "held for sale", and if it is again presented as a non-current item at the time of the decision not to sell, it is measured either at the recoverable amount or – if this is lower – at the carrying amount prior to classification, adjusted for all depreciation or remeasurements that would have been recorded in the absence of classification.

3.11. INVENTORIES

Under IAS 2, inventories are measured at the lower of cost and net realizable value. The cost of inventories includes all costs of acquisition and production, as well as any costs incurred in transferring inventories to their current location and in their current condition. Costs are determined using weighted averages. Costs include all direct costs attributable to producing the asset as well as indirect costs attributable to production. Borrowing costs are not included in costs as the Group's products are not qualifying assets under IAS 23.

The net realizable value is the estimated selling price in the ordinary course of business less estimated costs to completion and estimated costs to sell. The net realizable value of unfinished goods and services is inferred from the net realizable value of finished goods and services less the outstanding costs of completion. Semi-finished goods from production processes are measured using their respective full cost approach. Indirect costs are allocated according to production volume and the amount of production work carried out in-house. If the recognized amounts for finished goods and merchandise are higher than fair value as of the end of the reporting period, the inventories are written down to net realizable value. Sugar stocks from internal production presented under finished goods are recognized at cost, unless they are recognized at a lower net realizable value in view of sales opportunities. Costs include production costs, indirect costs attributable to the Production department and straight-line depreciation for wear and tear.

Write-downs recorded against inventories to reflect their net realizable value are reversed if the reasons for recognizing the loss no longer exist.

3.12. PROVISIONS FOR PENSIONS

Under IAS 19, provisions must be made for pension commitments in the form of defined benefit plans where the company primarily bears the actuarial risk (that the benefits will result in higher costs than expected) and the investment risk (that the assets invested will not be sufficient to provide the benefits expected). Provisions are presented as a net liability, i.e. the capital accrued to finance the pension payments (actuarial reserves) is offset against the defined benefit obligation (reflecting the future pension payments to the employee) if the actuarial reserves show the defining characteristics of plan assets.

The measurement of the defined benefit obligation is made using actuarial methods (projected unit credit method). This method assumes that each period of service gives rise to an additional unit of benefit entitlement; as such, the defined benefit obligation increases successively until the employee retires. Future payouts are subject to a discount rate, which is calculated at the end of the reporting period based on market returns on high-quality corporate bonds. The method takes into account both actuarial and demographic assumptions (such as expected mortality, fluctuations, early retirement, for example), as well as financial assumptions (such as discount rates and future salary trends, for example).

Cost components with a bearing on pension provisions include service cost, net interest (interest expense, interest income), actuarial gains or losses and return on plan assets. In the income statement, the service cost (i.e. the increase in the present value of a defined benefit obligation arising from a service provided during the reporting period) is presented in the items “Production costs”, “Distribution costs” and “Administrative expenses”, while the net interest is recorded under “Financial expenses”. Net interest is calculated by multiplying net liability by the discount rate of the defined benefit obligation. Actuarial gains or losses and the return on plan assets are recognized without effect on profit or loss in other comprehensive income (i.e. in the statement of comprehensive income and not in the income statement). Actuarial gains and losses are defined as changes in the present value of the defined benefit obligation as a result of experienced adjustments (effects of variations in past actuarial assumptions and actual developments) and effects of changes in actuarial assumptions. The return on plan assets is the variation between the actual return for the plan asset and the accrued interest based on the discount rate for the defined benefit obligation.

3.13. OTHER PROVISIONS

The item “Other provisions” includes personnel-related provisions for anniversaries, partial early retirement, early retirement and severance pay obligations, as well as obligations for profit-sharing, bonuses and other gratuities. Under IAS 19, these are recognized depending on the characteristics of the obligation – either according to the rules for short-term employee benefits, the rules for other (i.e. not considered as pension benefits) long-term employee benefits, or according to the rules for long-term employee benefits resulting from the termination of an employment relationship (termination benefits).

The item “Other provisions” also includes recultivation obligations and other provisions (e.g. for legal disputes or for onerous contracts or imminent losses). Under IAS 37, these kinds of provisions are recognized if a present (legal or factual) obligation has arisen as a result of a past event, which will probably result in an outflow of resources, and if the extent of the provisions can be reliably estimated. The measurement is based on the best-possible estimate of the expenses required to fulfill the obligation before the end of the reporting period. Non-current provisions must be discounted with an interest rate commensurate to the risk.

Other provisions take into account all recognizable legal and factual obligations of the Nordzucker Group towards third parties.

3.14. DEFERRED TAXES

Under IAS 12, deferred taxes are recognized for future tax assets and liabilities resulting from temporary differences between the value of assets and liabilities for tax purposes and their carrying amount in the IFRS financial statements, and for tax loss carry-forwards. Deferred taxes are measured on the basis of the fiscal legislation enacted at the end of each reporting period for the reporting periods in which the differences are expected to reverse or in which it is likely that tax loss carry-forwards will be used. Deferred tax assets for tax loss carry-forwards are only recognized if it is sufficiently likely that they will be realized in the near future. Deferred tax assets are only offset against deferred tax liabilities if specific conditions are fulfilled.

The offsetting entry of deferred taxes is made within the income statement under the item “Income taxes” – unless the tax results from a transaction or event that is recognized directly in equity during the same period or another period either under other comprehensive income (i.e. in the statement of comprehensive income) or in any other place.

For every uncertain tax treatment, the Nordzucker Group determines whether it must be assessed separately or together with one or more other uncertain tax treatments. The Group selects the method that is most suitable for predicting a resolution to the uncertainty.

For potential risks arising from uncertain tax items, corresponding accounting provisions have been recognized in accordance with IFRIC 23. Either the most probable value or the expected value is used for the valuation, depending on which value reflects the expectation best.

3.15. DERIVATIVE FINANCIAL INSTRUMENTS AND HEDGE ACCOUNTING

Due to the nature of its business, the Nordzucker Group is exposed to interest rate risk, exchange rate risk, and other market risks. Derivative financial instruments are used as a means of managing these risks.

Accounting for derivative financial instruments is governed by the principles set out in IFRS 9. Derivative financial instruments are either accounted for separately or they are part of an effective hedging relationship ("hedge accounting"). Hedge accounting means addressing hedged items and hedging instruments that are documented as being linked from a financial point of view in such a way that the compensatory effects on the income statement resulting from changes in market prices occur in the same period. If a hedging relationship is designated, recognition of gains and losses from hedged items and hedging instruments is based on special hedge accounting rules. There is a hedge accounting option for every scenario. However, the application of hedge accounting rules is tied to certain conditions. For one thing, the hedging relationship must be documented. For another, the hedging context must fulfil certain effectiveness criteria (economic relationship between the underlying transaction and the hedging instrument, no dominant effect of the default risk, hedge ratio is the same as the hedge ratio used for risk management purposes).

The value measure for the initial and subsequent measurement of derivative financial instruments is fair value. The fair value of certain derivatives may be either positive or negative; depending on this, the instruments are classified as either financial assets or financial liabilities. Fair value must be determined in accordance with the principles set out in IFRS 13. If no market prices for active markets are available, fair value is determined using the present value or option pricing models, whose significant input factors (e.g. market prices, interest rates) are derived from price quotations or other directly or indirectly observable input factors.

Stand-alone derivative financial instruments, i.e. those that are not part of an effective hedging relationship according to IFRS 9, are always assigned to the measurement categories "Financial assets/liabilities measured at fair value through profit or loss". Value changes are recognized in the income statement under either "Financial income" or "Financial expenses".

For derivative financial instruments in an effective hedging relationship, no measurement category is assigned. They are also recognized at fair value, although their recognition in profit or loss (i.e. in the income statement) or outside profit or loss under other comprehensive income (i.e. in the statement of comprehensive income) depends on the type (fair value hedge, cash flow hedge) or characteristics of the hedge.

Within the Nordzucker Group, interest rate derivatives are always integrated into hedging relationships. Stand-alone derivatives are also used to hedge currency and market risks (see also Note 44.4.d.).

3.16. TRANSACTIONS AND ITEMS IN FOREIGN CURRENCIES

Under IAS 21, a foreign currency transaction is a transaction that is denominated or requires settlement in a foreign currency. A foreign currency is defined as any currency other than the functional currency of the company. Foreign currency transactions are business transactions for the acquisition or sale of goods or services in a foreign currency, borrowing activity or leases in a foreign currency, or acquisitions or sales of assets or debt in a foreign currency by any other means. Foreign currency items are items on the statement of financial position that are received or borrowed in foreign currency (and which were related to foreign currency transactions before initial recognition).

Foreign currency transactions or foreign currency items are translated into the functional currency initially at the spot exchange rate valid on the day of the transaction.

Subsequent measurement of foreign currency items depends on whether they are monetary or non-monetary items. Monetary items in a foreign currency are to be translated into the functional currency at the end of each reporting period using the closing rate (i.e. the spot exchange rate at the end of the reporting period); exchange differences must generally be recognized in profit or loss (i.e. in the income statement). Non-monetary items – provided that they are measured at cost – are translated into the functional currency using the exchange rate on the day of their initial recognition. Non-monetary items measured at fair value must be translated using the exchange rate that was valid on the measurement date (i.e. generally using the closing rate). Exchange differences from non-monetary items should be treated like all other gains or losses, i.e. they are either recognized in profit or loss or outside profit or loss within other comprehensive income (i.e. in the statement of comprehensive income).

3.17. BUSINESS COMBINATIONS

Business combinations are presented using the acquisition method in accordance with IFRS 3. The cost of a business combination is defined as the total consideration paid, measured at fair value as of the acquisition date and the non-controlling interests in the acquired entity. For every business combination, the acquirer measures the non-controlling interests in the acquired entity either at fair value or at their pro rata share of the identified net assets of the acquired entity. Costs incurred in the course of the business combination are recognized as expenses in the income statement.

If the Group acquires an entity, it determines the appropriate categorization and designation of the financial assets and liabilities assumed in accordance with the terms of the contract and under consideration of the economic circumstances and conditions at the acquisition date. This also includes separating embedded derivative financial instruments from their host contract.

For business combinations in stages, the fair value of the equity interest held by the acquirer in the acquired entity is measured as of each acquisition date and the resulting gain or loss is recognized in the income statement.

The agreed contingent consideration is recognized at fair value as of the acquisition date. Subsequent changes in the fair value of a contingent consideration that constitutes an asset or a liability are generally recognized either in the income statement or in other comprehensive income in accordance with IFRS 9. Contingent consideration that is classified as equity is not remeasured and its subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost, which is defined as the excess of total consideration transferred and the amount of any non-controlling interest over the identifiable assets acquired and the liabilities assumed. If this consideration is below the fair value of the net assets of the acquired company, the difference is recognized in the income statement.

After initial recognition, goodwill is not subject to amortization but is tested at least once a year for impairment under IAS 36 (see also Notes 3.3. and 3.6.).

4. Discretionary decisions and estimation uncertainty

The presentation of the net assets, financial and earnings position, as well as the accounting policies, is influenced by estimations and assumptions. Estimated values and actual amounts may vary – sometimes significantly.

In particular, key estimates and assumptions have been made in defining uniform periods of depreciation and amortization for the Group, the amount of impairments on receivables and the incremental borrowing rate for measuring lease liabilities, as well as in determining the actuarial assumptions for measuring pension provisions. At the same time, it is necessary to make a large number of estimates and assumptions to account for provisions or disclose contingent liabilities – particularly with regard to related or potential legal disputes or other pending claims. Estimates, for example, must be made regarding the likelihood of a pending case being ruled in the claimant's favour, and regarding any payment obligations arising as a recognition of the ruling. There is also estimation uncertainty in the recognition of provisions for onerous contracts or imminent losses with regard to whether a loss is likely, and whether it is possible to estimate this loss reliably. For deferred tax assets, the main estimates relate to the taxable profits that will be generated in future. Other significant estimates are made with regard to the issue of whether there are indications for an impairment of assets or cash-generating units, with regard to the implementation of impairment testing in accordance with IAS 36 with a view to determining cash flows in the forecast period, and with regard to the selection of a suitable capitalization rate. The Nordzucker Group has concluded several lease contracts that contain options to extend or terminate the contracts. These options are negotiated by management so that the portfolio of lease assets can be managed flexibly and in line with the respective business requirements. To assess whether exercising these options to extend or terminate the contracts is sufficiently safe, management must engage in significant discretionary decision-making. We refer to the corresponding Notes to the consolidated statement of financial position for the carrying amounts of items affected by significant estimates.

5. Accounting standards to be applied for the first time

IASB Pronouncements (published on)	Title	Applicable for financial years on or after
Amendment to IFRS 16 (31 March 2021)	Covid-19-Related Rent Concessions beyond 30 June 2021	01/04/2021
Amendments to IFRS 9, IAS 39 and IFRS 7 Phase 2 (27 August 2020)	Interest Rate Benchmark Reform	01/01/2021
Amendments to IFRS 4 (25 June 2020)	Deferral of IFRS 9	01/01/2021

New or amended standards which came into force in the current reporting period have not had any effect on the Group's accounting policies or given rise to a need for retrospective adjustments.

6. Accounting standards not applied

No IFRS were adopted before the mandatory adoption date in the consolidated financial statements of Nordzucker AG as of 28 February 2022. The pronouncements will be adopted for the first time when their application becomes mandatory. The application of IFRS requires the European Union (EU) to first grant approval (endorsement process), which in some cases is still outstanding.

In addition, the Nordzucker Group has not yet applied IFRS 8 Operating Segments or IAS 33 Earnings per Share; their application is only mandatory for capital market companies.

The amendments listed below are not likely to have any major impact on the presentation of the net assets, financial and earnings position or the cash flows of the Nordzucker Group.

These standards or amendments are to be applied to the Nordzucker consolidated financial statements for the first time as of 28 February 2022 or for later reporting periods:

IASB Pronouncements (published on)	Title	Applicable for financial years on or after
Transposed into European law		
Amendments to IAS 1 (12 February 2021)	Presentation of Financial Statements and IFRS Practice Statement 2: Disclosure of Accounting policies	01/01/2023
Amendments to IAS 8 (12/2/2021)	Accounting policies, Changes in Accounting Estimates and Errors: Definition of Accounting Estimates	01/01/2023
IFRS 17 incl. amendments to IFRS 17 (18 May 2017 and 25 June 2020)	Insurance Contracts	01/01/2023
Amendments to IFRS standards (14 May 2020)	• IFRS 3 Business Combinations; • IAS 16 Property, Plant and Equipment; • IAS 37 Provisions, Contingent Liabilities and Contingent Assets • Annual Improvements 2018-2020	01/01/2022
Not yet transposed into European law		
Amendments to IAS 1 (23 January 2020 and 15 July 2020)	Presentation of Financial Statements: Classification of Liabilities as Current or Non-current and Classification of Liabilities as Current or Non-current – Deferral of Effective Date	01/01/2023
Amendments to IAS 12 (07 May 2021)	Deferred Tax related to Assets and Liabilities arising from a Single Transaction	01/01/2023
Amendments to IFRS 17 (09/12/2021)	Initial Application of IFRS 17 and IFRS 9 – Comparative Information	01/01/2023

The amendments to IAS 1 and IFRS Practice Statement 2 should assist the company in deciding which accounting policies are to be disclosed in its financial statements. The amendment to IAS 1 requires that “material” instead of “significant” accounting policy information be disclosed and also explains what this means. The amendments to IFRS Practice Statement 2 explain how materiality is to be applied to the disclosure of accounting policies. The effects on the consolidated financial statements will be examined.

The amendments to IAS 8 contain a new definition of accounting estimates and explain how a company has to distinguish between changes in accounting policies and changes in accounting estimates. The effects on the consolidated financial statements will be examined.

The other amendments to IAS 1 only relate to the reporting of liabilities in the presentation of the financial position. They clarify that a liability is to be classified as non-current if, at the end of the reporting period, the company has a substantial right to defer settlement of the liability for a period of at least twelve months from the reporting date. The mere existence of a substantial right is sufficient in this regard; the company does not have to intend to exercise this right as well. Material effects on the consolidated financial statements are not anticipated. Due to the ongoing COVID-19 pandemic, the effective date was deferred until 1 January 2023.

As a result of the amendment to IAS 12, the exemption from the (initial) recognition of deferred taxes is restricted whereby it no longer applies to transactions for which companies recognize both an asset and a liability (e.g. for leases and decommissioning obligations). For these transactions, deferred tax assets and liabilities are to be recognized if equal amounts of deductible and taxable temporary differences arise. No material effects on the consolidated financial statements are anticipated.

The minor amendment to IFRS 17 introduces the possibility of applying an optional classification overlay under certain conditions with the aim of providing meaningful comparative information about financial instruments for 2022. The reason for the amendment is that, in contrast to the first-time application of IFRS 17, the initial application of IFRS 9 does not require retroactive application, which means that the comparative basis for financial instruments may be missing. The effects on the consolidated financial statements will be examined.

7. Changes to the reporting structure and changes in accounting policies

No changes were made to the reporting structure in the reporting period.

Changes in accounting policies resulting from the first-time application of accounting standards (see Note 5) had no material effects on the presentation of the Nordzucker Group’s net assets, financial and earnings position.

NOTES TO THE CONSOLIDATED INCOME STATEMENT

8. Revenues

Revenues are made up as follows:

REVENUES

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Products		
Sugar	**1,570,569**	1,341,295
Bioethanol	**61,896**	46,370
Animal feed and molasses	**222,857**	205,757
Other	**87,790**	76,951
Total	**1,943,112**	**1,670,373**
Proportion accounted for by MSL	**319,709**	212,484
Excluding MSL	**1,623,403**	**1,457,889**

Other revenues primarily include sales of merchandise.

9. Production costs

Production costs comprise the following:

PRODUCTION COSTS

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Cost of materials and services	**-1,238,554**	-1,045,679
Personnel expenses	**-185,655**	-176,477
Depreciation, amortization and impairment	**-58,980**	-59,399
Other expenses	**-52,015**	-50,711
Total	**-1,535,204**	**-1,332,266**
Proportion accounted for by MSL	**-277,937**	-192,906
Excluding MSL	**-1,257,267**	**-1,139,360**

10. Sales costs

Sales costs comprise the following:

SALES COSTS

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
Freight	**-82,061**	-74,142
Rentals, land leasing and outside warehousing costs	**-49,369**	-43,555
Personnel expenses	**-22,459**	-22,836
Depreciation, amortization and impairment	**-8,897**	-8,519
Advertising	**-5,799**	-5,689
Sales commission	**-1,726**	-1,849
Other costs of sales	**-35,129**	-24,985
Total	**-205,440**	**-181,575**
Proportion accounted for by MSL	**-16,302**	-9,156
Excluding MSL	**-189,138**	**-172,419**

11. Administrative expenses

Administrative expenses are made up as follows:

ADMINISTRATIVE EXPENSES

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
Personnel expenses	**-43,606**	-45,898
Consultancy fees	**-7,385**	-6,623
Fees and levies	**-4,239**	-3,852
Depreciation, amortization and impairment	**-5,782**	-4,907
Rentals and land leasing	**-943**	-821
Travel costs	**-329**	-81
Phone/communications	**-937**	-931
Other administrative expenses	**-6,788**	-7,430
Total	**-70,009**	**-70,543**
Proportion accounted for by MSL	**-13,515**	-12,847
Excluding MSL	**-56,495**	**-57,696**

12. Other income

Other income is made up as follows:

OTHER INCOME

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
Insurance and other compensation for damages	**5,270**	169
Income from the reversal of provisions	**4,541**	5,377
Foreign exchange gains	**9,745**	19,927
Proceeds from the disposal of non-current assets	**701**	284
Reversals of impairments on receivables	**367**	62
Income from the reversal of investment subsidies, grants and other receivables	**360**	381
Rental and leasing income	**497**	455
Reversals of impairment of intangible assets as well as property, plant and equipment	**135**	73
Income from the reimbursement of production levies	**1,805**	0
Miscellaneous operating income	**9,046**	7,828
Total	**32,467**	**34,556**
Proportion accounted for by MSL	**5,546**	3,156
Excluding MSL	**26,921**	**31,400**

Insurance and other compensation for damages resulted primarily from damage at the Nordstemmen plant in Germany and the Racecourse plant in Australia.

Income from the reversal of provisions includes income from the reversal of provisions for litigation.

Currency gains and losses resulting from internal Group loan transactions and associated currency hedging transactions using currency forwards are presented in the income statement under “Other income” or “Other expenses”, without offsetting.

Foreign currency gains and the foreign currency losses presented under other expenses are mainly due to the movement of the relevant national currencies against the Euro.

13. Other expenses

Other expenses are made up as follows:

OTHER EXPENSES

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Personnel expenses	-1,542	-1,986
Depreciation, amortization and impairment	-1,247	-4,234
Expenses from loss events	-3,568	0
Research and development	-1,804	-1,662
Foreign exchange losses	-9,143	-21,880
Losses from the disposal of non-current assets	-1,746	-2,392
Impairments on receivables	-599	-142
Expenses from additions to provisions	-24,647	-1,115
Miscellaneous operating expenses	-6,211	-6,105
Total	**-50,507**	**-39,516**
Proportion accounted for by MSL	-2,211	0
Excluding MSL	**-48,296**	**-39,516**

Currency gains and losses resulting from internal Group loan transactions and associated currency hedging transactions using currency forwards are presented in the income statement under “Other income” or “Other expenses”, without offsetting.

Expenses from loss events are connected to damage at the Nordstemmen plant in Germany and the Racecourse plant in Australia.

EUR 19,200 (0) thousand of the expenses from the addition of provisions relates to an increase in the provisions for litigation.

14. Financial income

Financial income is made up as follows:

FINANCIAL INCOME

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Income from other investments	3,001	995
Other interest and similar income	3,832	1,730
Interest income on bank balances	1	45
Other financial income	2,526	6,830
Total	**9,360**	**9,600**
Proportion accounted for by MSL	1,496	1,472
Excluding MSL	**7,864**	**8,128**

The income from other investments mainly comprises dividends from the financial investment Tereos TTD. Other interest and similar income contains interest on the repayment of production levies from previous years (see also Note 12.).

Financial income contains unrealized earnings from hedging transactions. Further information on net income from financial instruments can be found in Note 43.

15. Financial expenses

Financial expenses are made up as follows:

FINANCIAL EXPENSES

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
Interest expense on provisions	**-2,490**	-2,507
Other interest and similar expenses	**-1,229**	-1,350
Interest expense from bank balances	**-7,752**	-6,838
Other financial expenses	**-15,920**	-873
Total	**-27,391**	**-11,568**
Proportion accounted for by MSL	**-6,375**	-6,192
Excluding MSL	**-21,016**	**-5,376**

Interest expenses payable to banks comprise both interest on lines of credit drawn and fees.

Financial expenses contain unrealized earnings from hedging transactions. Further information on net income from financial instruments can be found in Note 43.

16. Result from companies accounted for using the equity method

The result from companies accounted for using the equity method fell by EUR 3,180 thousand compared with the previous reporting period. Companies accounted for using the equity method are shown in the statement of financial position under the item “Financial investments” (see Notes 26.1 and 26.2).

Composition of result from companies accounted for using the equity method:

RESULT FROM COMPANIES ACCOUNTED FOR USING THE EQUITY METHOD

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
ATZU mbH & Co.KG, Hamburg/Germany	**-130**	541
Sugar Australia JV, Yarraville/Australia	**3,263**	5,055
New Zealand Sugar Company Pty Ltd., Auckland/New Zealand	**1,994**	2,716
Oriana Shipping Co Pte Ltd., Singapore	**65**	60
Total	**5,192**	**8,372**

17. Income taxes

Income taxes include taxes on income paid or owed in the individual countries and deferred taxes. Income taxes consist of trade tax, corporation tax, solidarity surcharge and the equivalent foreign income taxes. Income tax expense is made up by origin as follows:

INCOME TAXES

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Current taxes		
Current domestic taxes	-1,673	-4,854
Current foreign taxes	-9,173	-5,088
	-10,846	-9,942
Deferred taxes		
Deferred domestic taxes	-7,626	-8,355
Deferred foreign taxes	1,230	-3,171
	-6,396	-11,526
Income taxes	**-17,242**	**-21,468**

The current and deferred income tax expenses affecting previous years impacted net income in the amount of EUR 1,864 thousand.

The expected income tax expense which would have been payable if the tax rate for the parent company Nordzucker AG of 30.00 per cent (previous year: 30.00 per cent) were applied to the consolidated net income under IFRS before taxes and minority interests can be reconciled with the income taxes in the income statement as follows:

TAX EXPENSE/TAX INCOME

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
IFRS net profit before income taxes	101,580	87,432
Group tax rate	30,00 %	30,00 %
Expected tax expense (-)/ tax income (+)	-30,474	-26,230
Tax rate variances	4,766	3,970
Taxes for prior years	1,864	-2,185
Tax-free income	2,371	381
Non-deductible expenses and permanent differences	-1,424	-474
Impairment of deferred tax assets on tax loss carry-forwards	0	-124
Use of tax loss carry-forwards for which no deferred tax assets have been established	5,868	2,616
Other effects	-214	577
Tax expense	**-17,242**	**-21,468**

The corporation tax rate for corporations based in Germany is 15 per cent plus 5.5 per cent solidarity surcharge on the corporation tax liability.

Companies based in Germany are also liable for trade tax at a rate determined by multipliers set by the local council.

The effects of differences between foreign tax rates and the Group tax rate for Nordzucker AG (30.00 per cent; previous year: 30.00 per cent) are shown in the reconciliation statement under tax rate differences between Germany and abroad.

Deferred tax assets and liabilities primarily result from temporary valuation differences between the IFRS financial statements and the financial statements of the individual Group companies for local tax purposes for the following items:

DEFERRED TAXES BY BALANCE SHEET ITEM

	28/2/2022		28/2/2021	
in EUR thousands	**Deferred tax assets**	**Deferred tax liabilities**	Deferred tax assets	Deferred tax liabilities
Intangible assets	**0**	**1,781**	159	1,928
Property, plant and equipment	**2,964**	**103,099**	2,817	102,345
Inventories	**1,657**	**6,805**	2,540	7,447
Other assets	**1,378**	**7,888**	2,677	3,911
Pension provisions	**34,802**	**2,240**	46,017	0
Other provisions	**1,961**	**4,491**	1,300	1,255
Other liabilities	**10,294**	**3,107**	6,236	686
Deferred taxes on temporary differences	**53,057**	**129,410**	**61,746**	**117,572**
Deferred tax assets on tax loss carry-forwards	**10,114**	**0**	13,643	0
Gross amount	**63,171**	**129,410**	75,389	117,572
Offsetting	**-56,016**	**-56,016**	-64,329	-64,329
Balance sheet amount	**7,155**	**73,395**	**11,060**	**53,243**

The overall changes of EUR 24,057 (11,651) thousand in deferred taxes as of the reporting date as shown in the consolidated statement of financial position were recognized as an increase in tax expense in the amount of EUR 6,396 thousand (previous year: EUR 11,526 thousand), i.e. in the income statement. Moreover, tax expense in the amount of EUR 17,661 (125) thousand was recognized outside of profit or loss (i.e. in the statement of comprehensive income). Changes due to exchange rates in the amount of EUR -367 (243) thousand are presented in the “Exchange differences on translating foreign operations” item.

Deferred tax assets and liabilities are offset for each company or taxable entity. To the extent that deferred taxes relate to private partnerships, offsetting only takes place at the level of Nordzucker AG for corporation tax purposes. Deferred trade taxes are offset at the level of the individual private partnerships.

The following table shows the changes in deferred tax assets and liabilities:

CHANGES IN DEFERRED TAXES

in EUR thousands	1/3/2021–28/2/2022 Deferred tax assets	1/3/2021–28/2/2022 Deferred tax liabilities	1/3/2020–28/2/2021 Deferred tax assets	1/3/2020–28/2/2021 Deferred tax liabilities
Intangible assets	-158	-147	-486	98
Investment property	-1	-1	1	0
Property, plant and equipment	147	754	796	3,121
Inventories	-883	-642	369	535
Other assets	-1,299	3,977	1,285	2,979
Pension provisions	-11,214	2,240	-787	0
Other provisions	660	3,235	-3,815	1,001
Other liabilities	4,058	2,420	4,531	-930
Deferred taxes on temporary differences	**-8,690**	**11,837**	**1,894**	**6,804**
Deferred tax assets on tax loss carry-forwards	-3,530	0	-6,743	0
Total	**-12,220**	**11,837**	**-4,849**	**6,804**

With regard to the surplus of deferred tax assets over deferred tax liabilities at the level of individual companies in the statement of financial position, the value of the deferred tax assets is considered to be sufficiently certain based on the current earnings situation and/or business planning.

In the financial year, no deferred tax assets were recognized for foreign tax loss carry-forwards of EUR 116,434 (140,681) thousand as no positive taxable income is expected in the near future. Furthermore, no deferred tax assets were recognized for domestic tax loss carry-forwards of EUR 16,526 (16,692) thousand as no positive taxable income is expected in the near future.

No deferred tax assets were recognized for temporary differences on investments by subsidiaries of EUR 358,514 (245,037) thousand because the Nordzucker Group is able to control the timing of the reversal and the temporary differences will not be reversed in the foreseeable future.

18. Cost of materials and services

The cost of materials and services is made up as follows:

COST OF MATERIALS AND SERVICES

in EUR thousands	1/3/2021 – 28/2/2022	1/3/2020 – 28/2/2021
Cost of raw materials, consumables and supplies and of purchased merchandise	-1,194,575	-1,048,181
Cost of purchased services	-93,731	-98,201
Total	**-1,288,306**	**-1,146,382**
Proportion accounted for by MSL	-194,008	-169,538
Excluding MSL	**-1,094,298**	**-976,844**

19. Personnel expenses

Personnel expenses are made up as follows:

PERSONNEL EXPENSES

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
Wages and salaries	**-217,371**	-211,766
Social security contributions and other social expenses	**-24,890**	-23,621
Expenses for defined contribution plans	**-11,653**	-11,452
Expenses for defined benefit plans	**-4,326**	-5,255
Total	**-258,240**	**-252,094**
Proportion accounted for by MSL	**-53,330**	-48,411
Excluding MSL	**-204,910**	**-203,683**

Expenses for defined benefit and defined contribution plans consist of Group expenses for defined benefit and defined contribution pension plans and similar obligations. The expenses for defined benefit plans affect service costs. They do not include the net interest expenses of defined benefit obligations associated with pension expenses. These are shown in the income statement under “Financial expenses”.

In the reporting period, the Nordzucker Group had an average of 3,812 employees (previous year: 3,792 employees).

20. Depreciation, amortization and impairment

Depreciation, amortization and impairment are made up as follows:

DEPRECIATION, AMORTIZATION AND IMPAIRMENT

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
Depreciation or amortization of intangible assets, property, plant and equipment, and investment property	**-73,957**	-73,371
Impairment of intangible assets, property, plant and equipment, and investment property	**-1,228**	-4,068
Total	**-75,185**	**-77,439**
Proportion accounted for by MSL	**-7,899**	-6,166
Excluding MSL	**-67,286**	**-71,273**

The impairment in the previous year resulted from the closure of the Arlöv refinery plant in Sweden as well as the temporary shutdown of the refinery in Porkkala, Finland. In the reporting year, they resulted from the usual course of business.

NOTES TO THE CONSOLIDATED BALANCE SHEET

21. Intangible assets

Changes in the individual items of intangible assets are shown in the statement of changes in non-current assets.

At the end of the reporting period, there were no intangible assets with indefinite useful lives.

In the reporting period, research and development expenses of EUR 1,804 (1,662) thousand were recognized in the income statement. These expenses are attributed in full to the item “Other expenses”.

22. Property, plant and equipment

We refer to the statement of changes in non-current assets for the Nordzucker Group for changes in property, plant and equipment.

No items of property, plant and equipment were provided as collateral security at the end of the reporting period and comparative period.

23. Impairment testing for intangible assets and items of property, plant and equipment

Impairment tests for intangible assets and items of property, plant and equipment are mainly performed on the basis of the values in use for cash-generating units.

As explained under Note 3.6., the Nordzucker Group consists of two cash-generating units, “Sugar from beet” and “Sugar from cane”.

As the Nordzucker Group does not recognize any goodwill or intangible assets with indefinite useful lives and there were no indications of impairment of assets at the reporting date, an impairment test was not performed. In this regard, we refer to the information on the crisis in Ukraine in the preamble to the management report.

24. Leases

The rights of use under lease contracts are reported as part of property, plant and equipment.

The following table shows how the carrying amounts of rights of use developed between 1 March 2021 and 28 February 2022:

DEVELOPMENT OF RIGHTS OF USE IN THE FINANCIAL YEAR 2021/2022

in EUR thousands	Land and buildings	Technical plant and machinery	Other plant, operating and office equipment	Total
Carrying amounts 28/02/2021	**4,993**	**2,360**	**4,697**	**12,050**
Additions	1,622	4	3,031	4,657
Depreciation, amortization and impairment	2,021	468	2,486	4,974
Other changes	-9	0	-30	-39
Carrying amounts 28/02/2022	**4,585**	**1,896**	**5,213**	**11,694**

Depreciation, amortization and impairment does not include any impairment.

The obligations under the lease contracts are secured by the lessor's ownership of the lease assets. The Nordzucker Group is prohibited from assigning and subleasing the lease assets.

The following table shows the amounts for all leases reported in the cash flow statement and income statement:

EXPENSES AND PAYMENTS FROM LEASE CONTRACTS

in EUR thousands	2021/2022
Amounts included in statement of cash flows:	
Total payments from lease contracts	5,527
Amounts included in the income statement:	
Depreciation, amortization and impairment	4,973
Interest expense on lease liabilities	354
Expense from short-term leases	11,147
Expense from leases of low-value assets	893
Expense from variable lease payments which have not been included in the measurement of the lease liabilities	109

The variable lease payments are immaterial for the Nordzucker Group.

For information on the liabilities resulting from the lease contracts, see Note 36. For further information on the payments resulting from leases, see the Notes to the consolidated cash flow statement.

25. Investment property

Investment property in the Nordzucker Group mainly consists of residences and land not required for operating purposes.

In the reporting period, rental income of EUR 324 (314) thousand was generated, offset by expenses of EUR 210 (230) thousand. There were also expenses of EUR 110 (102) thousand for which there was no corresponding rental income.

The fair value of the property is EUR 13,006 (14,335) thousand as of the end of the reporting period. The fair value was determined on the basis of internal estimates using comparable properties.

No subsequent costs were recognized in the reporting period or in the comparative period.

26. Financial investments

The following changes in the Nordzucker Group's financial investments occurred in the reporting period.

FINANCIAL INVESTMENTS

in EUR thousands	28/2/2022	28/2/2021
MEF Melasse-Extraktion Frellstedt GmbH, Frellstedt	2,400	2,400
August Töpfer Zuckerhandelsgesellschaft mbH & Co. KG, Hamburg	4,419	4,651
August Töpfer Verwaltungs GmbH, Hamburg	25	25
Sugar Australia Pty Limited, Yarraville, Australia	34,926	26,638
New Zealand Sugar Company Pty Ltd., Auckland, New Zealand	22,548	23,680
Oriana Shipping Co Pte Ltd., Singapore	2,303	2,092
Total shares in companies accounted for using the equity method	**66,621**	**59,486**
Tereos TTD, a.s. (Dobrovice, Czech Republic)	19,663	19,663
Sugar Terminal Limited (Brisbane, Australia)	21,738	18,908
Racecourse Projects Pty Ltd. (Balberra, Australia)	1,561	1,551
Miscellaneous investments	2,937	1,320
Other investments	**45,900**	**41,442**
Total	**112,521**	**100,928**

26.1. JOINT VENTURES ACCOUNTED FOR USING THE EQUITY METHOD

An overview of the joint ventures can be found at the end of this report in the list of shareholdings.

The following table shows the earnings and statement of financial position details for the main joint venture accounted for using the equity method and its inclusion in the Nordzucker Group:

EARNINGS INFORMATION SUGAR AUSTRALIA PTY LIMITED, YARRAVILLE, AUSTRALIA

in EUR thousands	2021/2022	2020/2021
Revenues	331,907	301,004
Income after taxes	13,052	20,222
Pro rata income after taxes	3,263	5,055
Pro rata comprehensive income after taxes	**3,263**	**5,055**

STATEMENT OF FINANCIAL POSITION INFORMATION SUGAR AUSTRALIA PTY LIMITED, YARRAVILLE, AUSTRALIA

in EUR thousands	2021/2022	2020/2021
Non-current assets	96,123	102,531
Equity	138,836	106,556
Pro rata equity/carrying amount	**34,709**	**26,639**

MSL holds a 25 per cent interest in Sugar Australia Joint Venture, Yarraville, Australia. The joint venture's business activities comprise the production, transportation, storage, sale and distribution of refined sugar, syrups and raw sugar for human consumption as well as similar products and by-products. The investment means that the value chain is extended to include the production of white sugar from the raw sugar produced by Mackay Sugar. Due to vertical integration, the business is classified as strategically significant for Mackay Sugar and therefore for the Nordzucker Group.

26.2. ASSOCIATED COMPANIES ACCOUNTED FOR USING THE EQUITY METHOD

An overview of the associated companies can be found at the end of this report in the list of shareholdings.

The following table shows earnings and statement of financial position details for the Nordzucker Group's main associated company accounted for using the equity method:

EARNINGS INFORMATION NEW ZEALAND SUGAR COMPANY PTY LTD., AUCKLAND, NEW ZEALAND

in EUR thousands	**2021/2022**	2020/2021
Revenues	**132,387**	126,507
Income after taxes	**7,977**	10,862
Pro rata income after taxes	**1,994**	2,716
Pro rata comprehensive income after taxes	**1,994**	**2,716**

STATEMENT OF FINANCIAL POSITION INFORMATION NEW ZEALAND SUGAR COMPANY PTY LTD., AUCKLAND, NEW ZEALAND

in EUR thousands	**2021/2022**	2020/2021
Non-current assets	**42,490**	43,765
Equity	**89,631**	94,717
Pro rata equity/carrying amount	**22,408**	**23,680**

26.3. OTHER FINANCIAL INVESTMENTS

Financial assets in the measurement category “Available-for-sale financial assets” presented under other financial investments are recognized at the end of the reporting period either at fair value or at cost (see Note 3.9.).

The shares in Tereos TTD a.s. are presented here, despite a stake of 35.38 per cent, because the company's articles do not permit the Group to exercise significant influence over its operating and financial policy.

The Nordzucker Group received dividends of EUR 3,001 (945) thousand in the reporting year.

Fixed-asset movement schedule 2021/2022

for Nordzucker AG, Braunschweig, Germany

	Cost or fair value						Accumulated depreciation, amortization and impairment								Carrying amounts	
in EUR thousands	As of 1/3/2021	Currency effects	Additions	Reclassifi-cations	Dis-posals	**As of 28/2/2022**	As of 1/3/2021	Currency effects	Depre-ciation, amor-tization	Impair-ment	Reversals of impair-ment	Reclassifi-cations	Dis-posals	**As of 28/2/2022**	**As of 28/2/2022**	**As of 28/2/2021**
Intangible assets																
Rights, patents and licences	549	-1	113	0	-189	**472**	-331	1	-13	0	0	0	189	**-154**	**318**	218
Internally generated intangible assets	2,265	0	0	0	0	**2,265**	-2,265	0	0	0	0	0	0	**-2,265**	**0**	0
Other intangible assets	44,496	-56	3,721	862	-1,269	**47,754**	-28,073	44	-4,100	0	0	0	478	**-31,651**	**16,103**	16,423
Advance payments made	603	0	700	-602	0	**700**	0	0	0	0	0	0	0	**0**	**700**	603
	47,913	**-57**	**4,534**	**260**	**-1,458**	**51,191**	**-30,669**	**45**	**-4,113**	**0**	**0**	**0**	**667**	**-34,070**	**17,121**	**17,244**
Property, plant and equipment	**0**						**0**									
Land and buildings	539,683	-4,524	8,723	994	-3,705	**541,171**	-308,818	1,519	-11,485	-30	0	-1	309	**-318,506**	**222,665**	230,865
Technical plant and machinery	2,097,249	-11,887	50,982	27,266	-25,239	**2,138,371**	-1,418,271	6,427	-53,025	-1,180	0	1	24,004	**-1,442,044**	**696,327**	678,978
Other plant, operating and office equipment	58,037	-378	5,850	230	-2,748	**60,991**	-40,340	310	-5,270	-6	0	0	2,707	**-42,599**	**18,392**	17,697
Advance payments made and plant under construction	45,964	-971	49,641	-28,750	-214	**65,670**	-79	0	0	0	0		76	**-3**	**65,667**	45,885
	2,740,933	**-17,760**	**115,196**	**-260**	**-31,906**	**2,806,203**	**-1,767,508**	**8,256**	**-69,780**	**-1,216**	**0**	**0**	**27,096**	**-1,803,152**	**1,003,051**	**973,425**
Investment property	**12,891**	**48**	**0**	**-726**	**-70**	**12,143**	**-1,560**	**-3**	**-64**	**-11**	**135**	**377**	**17**	**-1,109**	**11,034**	**11,331**
	2,801,737	**-17,769**	**119,730**	**-726**	**-33,434**	**2,869,537**	**-1,799,737**	**8,298**	**-73,957**	**-1,227**	**135**	**377**	**27,780**	**-1,838,331**	**1,031,206**	**1,002,000**
Financial investments	**109,638**	**457**	**12,229**	**0**	**-1,093**	**121,231**	**-8,710**	**0**	**0**	**0**	**0**	**0**	**0**	**-8,710**	**112,521**	**100,928**
	2,911,375	**-17,312**	**131,959**	**-726**	**-34,527**	**2,990,768**	**-1,808,447**	**8,298**	**-73,957**	**-1,227**	**135**	**377**	**27,780**	**-1,847,041**	**1,143,727**	**1,102,928**

Fixed-asset movement schedule 2020/2021

for Nordzucker AG, Braunschweig, Germany

	Cost or fair value							Accumulated depreciation, amortization and impairment									Carrying amounts	
in EUR thousands	As of 1/3/2020	Currency effects	Changes to group of consolidated companies	Additions	Reclassifications	Disposals	**As of 28/2/2021**	As of 1/3/2020	Currency effects	Changes to group of consolidated companies	Depreciation, amortization	Impairment	Reversals of impairment	Reclassifications	Disposals	**As of 28/2/2021**	**As of 28/2/2021**	As of 29/2/2020
Intangible assets																		
Rights, patents and licences	548	1	0	0	0	0	**549**	-305	1	0	-27	0	0	0	0	**-331**	**218**	243
Internally generated intangible assets	2,265	0	0	0	0	0	**2,265**	-2,265	0	0	0	0	0	0	0	**-2,265**	**0**	0
Other intangible assets	45,596	-50	0	1,811	144	-3,005	**44,496**	-27,638	49	0	-2,950	0	0	0	2,466	**-28,073**	**16,423**	17,958
Advance payments made	200	0	0	582	-132	-47	**603**	0	0	0	0	0	0	0	0	**0**	**603**	200
	48,609	**-49**	**0**	**2,393**	**12**	**-3,052**	**47,913**	**-30,208**	**50**	**0**	**-2,977**	**0**	**0**	**0**	**2,466**	**-30,669**	**17,244**	**18,401**
Property, plant and equipment	**0**							**0**										
Land and buildings	530,966	1,786	0	7,630	1,967	-2,666	**539,683**	-298,320	-781	0	-11,093	-989	0	-87	2,452	**-308,818**	**230,865**	232,646
Technical plant and machinery	2,060,541	20,684	0	37,346	9,861	-31,183	**2,097,249**	-1,377,911	-13,662	0	-54,162	-2,911	0	0	30,375	**-1,418,271**	**678,978**	682,630
Other plant, operating and office equipment	55,328	139	0	6,834	237	-4,501	**58,037**	-39,576	-79	0	-5,069	-5	0	0	4,389	**-40,340**	**17,697**	15,752
Advance payments made and plant under construction	25,574	1,139	0	31,698	-11,496	-951	**45,964**	-3	1	0	0	-77	0		0	**-79**	**45,885**	25,571
	2,672,409	**23,748**	**0**	**83,508**	**569**	**-39,301**	**2,740,933**	**-1,715,810**	**-14,521**	**0**	**-70,324**	**-3,982**	**0**	**-87**	**37,216**	**-1,767,508**	**973,425**	**956,599**
Investment property	**12,913**	**573**	**0**	**0**	**-595**	**0**	**12,891**	**-1,539**	**-26**	**0**	**-70**	**-86**	**73**	**88**	**0**	**-1,560**	**11,331**	**11,374**
	2,733,931	**24,272**	**0**	**85,901**	**-14**	**-42,353**	**2,801,737**	**-1,747,557**	**-14,497**	**0**	**-73,371**	**-4,068**	**73**	**1**	**39,682**	**-1,799,737**	**1,002,000**	**986,374**
Financial investments	**123,383**	**5,422**	**-21,138**	**1,971**	**0**	**0**	**109,638**	**-26,719**	**0**	**18,010**	**0**	**0**	**0**	**-1**	**0**	**-8,710**	**100,928**	**96,664**
	2,857,314	**29,694**	**-21,138**	**87,872**	**-14**	**-42,353**	**2,911,375**	**-1,774,276**	**-14,497**	**18,010**	**-73,371**	**-4,068**	**73**	**0**	**39,682**	**-1,808,447**	**1,102,928**	**1,083,038**

27. Inventories

Unfinished goods mainly consist of the thick juice required to produce bioethanol and granulated products.

Write-downs and reversals of write-downs (write-backs) on inventories are recognized under "Production costs" in the income statement. Write-downs of EUR 2,331 (2,423) thousand and write-backs of EUR 220 (579) thousand were recognized in the reporting year. The write-downs in the reporting period and previous period primarily related to valuation adjustments made to reflect the net realizable value of manufactured sugar.

EUR 60,920 (84,313) thousand was pledged as collateral for liabilities in the reporting year. The inventories pledged for liabilities relate to collateral provided by MSL as part of the existing syndicated loan.

28. Trade receivables

Trade receivables are made up as follows:

TRADE RECEIVABLES

in EUR thousands	**28/2/2022**	28/2/2021
Gross trade receivables	**224,955**	188,670
Impairment loss on trade receivables	**-1,439**	-1,537
Balance sheet amount	**223,516**	**187,133**

Information on the default risks and the age structure of trade receivables is given in Note 44.2. Expenses for impairments on trade receivables in the reporting period amounted to EUR 599 (142) thousand.

29. Receivables from related parties

Receivables from related parties are made up as follows:

RECEIVABLES FROM RELATED PARTIES

in EUR thousands	**28/2/2022**	28/2/2021
Receivables from joint ventures	**776**	1,536
Receivables from other related parties	**66**	2
Balance sheet amount	**842**	**1,538**

Details on the default risks and the age structure can be found in Note 44.2.

30. Financial assets

Financial assets are made up as follows:

FINANCIAL ASSETS

in EUR thousands	**28/2/2022**	28/2/2021
Positive fair value of derivative financial instruments	**39,651**	12,821
Claims for damages	**1,506**	14
Other financial assets	**1,299**	5,535
Balance sheet amount	**42,456**	**18,370**

Details on the default risks and the age structure can be found in Note 44.2.

31. Other assets

Other assets are made up as follows:

OTHER ASSETS

in EUR thousands	**28/2/2022**	28/2/2021
Receivables from other taxes	**22,806**	25,115
Miscellaneous other assets	**55,639**	46,499
Balance sheet amount	**78,445**	**71,614**

Miscellaneous other assets in the reporting period primarily relate to purchased CO_2 certificates in the amount of EUR 43,346 (33,889) thousand.

32. Assets held for sale

Assets classified as held for sale in accordance with IFRS 5 consist of land and buildings with a carrying amount of EUR 349 (15) thousand. The income, expenses and cash flows in the reporting period and comparative period generated by these assets were not material.

33. Equity

Changes in Group shareholders' equity are shown in the statement of changes in shareholders' equity.

Capital management at the Nordzucker Group is founded on a strong equity base and a sustainable dividend policy in order to secure current operations on the one hand and to enable a reasonable dividend yield for the shareholders on the other. As of 28 February 2022, the equity ratio came to 60.2 per cent (previous year: 57.9 per cent). The Executive Board will propose to the Annual General Meeting to distribute a dividend of EUR 0.80 per qualifying share for the 2021/2022 financial year. Please see Note 51 for further information.

Nordzucker AG's Articles of Association do not stipulate any particular capital requirements. The Executive Board manages the Group with the aim of generating a profit. It does this by means of capital-market-related targets for the company which are measured in terms of specific financial indicators. The main financial indicators for the Group are RoCE and EBIT margin.

33.1. SUBSCRIBED CAPITAL

At the end of the reporting period, subscribed capital (share capital) remained unchanged at EUR 123,651,328.00 and was divided into 48,301,300 registered common shares.

The share capital is fully paid in and, as in the previous year, has a nominal share of subscribed capital of EUR 2.56 per share.

At the end of the reporting period, Nordzucker Holding AG, Braunschweig, Germany, had provided evidence that it held more than 50 per cent of the shares, with 83.77 per cent.

33.2. CAPITAL RESERVES

The capital reserves have been formed from share premiums paid in the course of capital increases by Nordzucker AG.

33.3. RETAINED EARNINGS

Retained earnings are made up of the net income earned in prior financial years and the current period by the companies included in the consolidated financial statements. Goodwill arising on acquisitions made by the Group before 1 March 2004 has been offset against reserves. In the IFRS opening statement of financial position, the balancing item from the conversion of financial statements in foreign currencies was offset against retained earnings.

Retained earnings include statutory reserves of 10 per cent of subscribed capital, amounting to EUR 12,365 thousand which, in line with statutory regulations (Sec. 150 AktG [German Stock Corporation Act]), are not available for distribution to shareholders.

33.4. OTHER COMPREHENSIVE INCOME

Other comprehensive income is made up as follows:

OTHER COMPREHENSIVE INCOME

in EUR thousands	**28/2/2022**	28/2/2021
Remeasurement of defined benefit plans	**-83,490**	-109,964
Exchange differences on translating foreign operations	**136**	10,499
Net result of cash flow hedges	**15,032**	-4,192
Balance sheet amount	**-68,322**	**-103,657**

33.5. NON-CONTROLLING INTERESTS

Non-controlling interests exist in the following companies:

NON-CONTROLLING INTERESTS

in EUR thousands	**28/2/2022**	28/2/2021
Sucros Oy	**20,416**	20,361
AB Nordic Sugar Kėdainiai	**12,386**	11,004
Norddeutsche Flüssigzucker Verwaltungs-GmbH	**15**	15
Norddeutsche Flüssigzucker GmbH & Co. KG	**3,048**	2,590
Považský Cukor a.s.	**1,267**	1,192
Nordzucker Polska S.A.	**163**	152
Mackay Sugar Limited	**21,415**	17,539
Balance sheet amount	**58,711**	**52,853**

Total net income for the period attributable to non-controlling interests amounting to EUR 5,637 thousand primarily relates to Mackay Sugar Limited (EUR 4,232 thousand), AB Nordic Sugar Kedainiai (EUR 841 thousand) and Sucros Oy (EUR 301 thousand).

Net income for the period attributable to non-controlling interests amounting to EUR 2,172 thousand in the comparative period was primarily due to Mackay Sugar Limited (EUR 869 thousand), AB Nordic Sugar Kedainiai (EUR 845 thousand) and Sucros Oy (EUR 324 thousand).

34. Pension obligations

Provisions for pension obligations are made for accrued and current benefits accruing to currently active and former members of staff of the Nordzucker Group and their surviving dependants.

Pension obligations are structured in line with the legal, fiscal and economic conditions in each country.

The Group offers both defined contribution and defined benefit plans. Pension commitments are based on collective agreements and in a few cases on individual agreements with fixed benefit amounts.

The defined benefit plans have commitments both covered by provisions and funded by plan assets. As such, reinsurance was pledged to the beneficiaries for some of the benefit plans in 2005. Furthermore, the Nordzucker Group has concluded an additional pension commitment with a pension fund for some of the benefit plans. As such, 80 per cent of pension obligations can now be funded in full in exchange for a single premium.

In 2012, the Nordzucker Group concluded a defined benefit plan for all new employees that distributes the biometric risks between the employee and the employer. The benefit plan involves changing to a capital commitment with market-based interest.

In the reporting period, the expenses for defined contribution plans amounted to EUR 11,653 (11,452) thousand.

Provisions for pension benefits are determined in accordance with IAS 19 on the basis of actuarial assumptions. In the reporting and comparative period, the following weighted financial assumptions were applied:

FINANCIAL ASSUMPTIONS REGARDING PENSION OBLIGATIONS

	2021/2022 reporting period		2020/2021 comparative period	
	Domestic	**Foreign**	Domestic	Foreign
Discount rate	**1.80 %**	**1.65 %**	0.90 %	0.80 %
Salary increase	**2.50 %**	**3.15 %**	2.50 %	2.65 %
Pension increase	**1.50 %**	**2.20 %**	1.50 %	1.70 %

For domestic companies in the Nordzucker Group, the assumptions for life expectancy are taken from the 2018 G mortality tables by Dr Klaus Heubeck.

With a discount rate of 1.80 (0.90) per cent, the duration of domestic obligations was 17.8 (20.0) years. With a discount rate of 1.65 (0.80) per cent, the duration of foreign obligations was 13 (14) years.

The following table shows the percentage effect that a change in assumptions would have on the defined benefit obligations at the end of the reporting period, provided the other assumptions remained unchanged:

SENSITIVITY ANALYSIS

		2021/2022 reporting period		2020/2021 comparative period	
		Domestic	**Foreign**	Domestic	Foreign
Pension increase	+0.5 %	**-7.36 %**	**-7.25 %**	-8.16 %	-7.40 %
	-0.5 %	**8.38 %**	**8.09 %**	9.39 %	8.28 %
Salary increase	+0.5 %	**0.24 %**	**1.92 %**	0.19 %	1.87 %
	-0.5 %	**-0.22 %**	**-1.70 %**	-0.32 %	-1.69 %
Pension increase	+0.5 %	**4.01 %**	**6.67 %**	4.31 %	6.76 %
	-0.5 %	**-4.11 %**	**-6.14 %**	-3.93 %	-6.20 %

Provisions for pensions and similar obligations disclosed in the statement of financial position changed as follows:

CHANGE IN PENSION PROVISIONS

	Defined benefit obligation			Plan assets			**Net liability**
in EUR thousands	Domestic	Foreign	Total	Domestic	Foreign	Total	**Total**
As of 1/3/2020	**287,361**	**42,601**	**329,962**	**48,517**	**4,448**	**52,965**	**276,997**
Service cost	4,803	453	5,255	/	/	/	**5,255**
Interest expense/interest income	2,311	404	2,715	391	16	407	**2,308**
Other value changes	0	0	0	0	0	0	**0**
Total recognized on the income statement	**7,114**	**857**	**7,971**	**391**	**16**	**407**	**7,564**
Return on plan assets	/	/	/	-128	-59	-187	**187**
Actuarial gains/losses	-6,254	511	-5,743	/	/	/	**-5,743**
Total remeasurements (not recorded in the income statement)	**-6,254**	**511**	**-5,743**	**-128**	**-59**	**-187**	**-5,556**
Payments made for reinsurance	/	/	/	102	76	178	**-178**
Reimbursements from reinsurance	/	/	/	-4,196	-540	-4,736	**4,736**
Pension payments made	-9,019	-2,458	-11,477	0	0	0	**-11,477**
Exchange rate differences and other adjustments	0	-508	-508	/	-3,555	-3,555	**3,047**
As of 28/2/2021	**279,201**	**41,003**	**320,204**	**44,686**	**386**	**45,072**	**275,132**
Service cost	4,200	126	4,326	/	/	/	**4,326**
Interest expense/interest income	2,513	333	2,846	406	10	416	**2,430**
Other value changes	0	0	0	0	0	0	**0**
Total recognized on the income statement	**6,713**	**459**	**7,172**	**406**	**10**	**416**	**6,756**
Return on plan assets	/	/	/	-1,568	-205	-1,773	**1,773**
Actuarial gains/losses	-37,621	-1,909	-39,530	/	/	/	**-39,530**
Total remeasurements (not recorded in the income statement)	**-37,621**	**-1,909**	**-39,530**	**-1,568**	**-205**	**-1,773**	**-37,757**
Payments made for reinsurance	/	/	/	0	33	33	**-33**
Reimbursements from reinsurance	/	/	/	-4,076	-491	-4,567	**4,567**
Pension payments made	-9,676	-2,350	-12,026	0	0	0	**-12,026**
Exchange rate differences and other adjustments	-809	-989	-1,798	/	286	286	**-2,084**
As of 28/2/2022	**237,808**	**36,214**	**274,022**	**39,448**	**19**	**39,467**	**234,555**

Actuarial gains in the reporting period were primarily due to changes in the actuarial assumptions regarding the discount rate.

For the 2021/2022 reporting period, contributions to plan assets are expected to amount to EUR 435 (576) thousand.

35. Other provisions

Other provisions are made up as follows:

OTHER PROVISIONS

in EUR thousands	As of 28/2/2021	Currency effects	Additions/ reclassifica-tions	Usage	Reversal	**As of 28/2/2022**
Litigation risks and risk provisions	74,155	0	19,985	-2,729	-2,088	**89,323**
Staff-related provisions	29,626	-9	9,029	-6,921	-585	**31,140**
Provisions for suppliers and customers	8,881	-8	10,187	-12,915	-156	**5,989**
Miscellaneous other provisions	12,999	-171	13,590	-5,798	-1,712	**17,908**
Balance sheet amount	**124,661**	**-188**	**52,791**	**-28,363**	**-4,541**	**144,360**

Provisions for litigation risks and other risks were mainly made to reflect the risks of various ongoing legal proceedings and other legal risks.

Staff-related provisions consist mainly of provisions for profit-sharing, bonuses and other gratuities, holiday and flexitime entitlements and partial early retirement, as well as for early retirement and severance pay obligations.

Miscellaneous other provisions partly relate to recultivation obligations. The provision made for this includes the forecast expenses for the demolition of buildings and recultivation of land used for operations as well as demolition obligations at former production sites. Miscellaneous other provisions were made in the reporting period for outstanding invoices and other anticipated expenses.

36. Financial liabilities

Financial liabilities are made up as follows:

FINANCIAL LIABILITIES

in EUR thousands	**28/2/2022**	28/2/2021
Liabilities to banks	**128,606**	136,820
Liabilities from leases	**12,179**	12,868
Balance sheet amount	**140,785**	**149,687**

A loan was taken out in the year under review for an initial period of three years, in order to secure the Nordzucker Group's access to liquidity. The syndicated loan is available to fund short-term operating business and includes a revolving credit for EUR 300,000 thousand, none of which was used in the reporting period.

Interest on the revolving credit partly depends on a certain financial indicator (EBITDA in relation to debt).

In the reporting period and comparative period, the Nordzucker Group did not pledge any financial assets as collateral for financial liabilities.

37. Trade payables

Trade payables are made up as follows:

TRADE PAYABLES

in EUR thousands	**28/2/2022**	28/2/2021
Liabilities towards raw material suppliers	**163,818**	155,776
Other trade payables	**112,025**	107,515
Balance sheet amount	**275,843**	**263,291**

38. Liabilities towards related parties

Liabilities towards related parties are made up as follows:

LIABILITIES TOWARDS RELATED PARTIES

in EUR thousands	**28/2/2022**	28/2/2021
Liabilities towards joint ventures	**5,510**	5,570
Liabilities towards other related parties	**28,650**	31,028
Balance sheet amount	**34,160**	**36,598**

39. Other financial liabilities

Other financial liabilities are made up as follows:

OTHER FINANCIAL LIABILITIES

in EUR thousands	**28/2/2022**	28/2/2021
Negative fair value of derivative financial instruments	**29,141**	10,331
Miscellaneous financial liabilities	**0**	18,548
Balance sheet amount	**29,141**	**28,879**

40. Other liabilities

Other liabilities are made up as follows:

OTHER LIABILITIES

in EUR thousands	**28/2/2022**	28/2/2021
Outstanding social security contributions	**15,840**	16,159
Investment grants, subsidies and other support payments	**4,099**	4,370
Deferrals	**5,320**	2,099
Advance payments received for orders	**109**	82
Miscellaneous other liabilities	**8,370**	17,599
Balance sheet amount	**33,738**	**40,309**

Liabilities from investment grants, subsidies and other support payments are in connection with government grants awarded for the purchase or production of subsidized property, plant and equipment. They are reversed through the income statement over the useful life of the subsidized assets.

The decrease in miscellaneous other liabilities in the reporting period was primarily due to the payment of the production levy to beet growers in previous years.

NOTES TO THE CONSOLIDATED CASH FLOW STATEMENT

41. Components of cash and cash equivalents

Cash and cash equivalents in the cash flow statement comprise all cash and cash equivalents in the statement of financial position (i.e. cash in hand, cheques and bank balances) which can be converted into cash at any time and are only subject to insignificant fluctuations in value, provided that they are available for use within three months. Cash is not subject to any restrictions on availability.

42. Other disclosures regarding the cash flow statement

No significant non-cash transactions took place for investing and financing purposes in the reporting period and the comparative period.

OTHER DISCLOSURES

43. Other disclosures on financial instruments

The following table lists the carrying amounts for financial assets and financial liabilities by measurement category for the reporting period in accordance with IFRS 9:

CARRYING AMOUNTS OF FINANCIAL INSTRUMENTS BY MEASUREMENT CATEGORY

		Measurement in accordance with IFRS 9				
		FA_AC[1]	**FA_FVOCI[2]**	**FA_FVPL/ FL_FVPL[3]**		**No category**
in EUR thousands	**Carrying amount 28/2/2022**	Amortized cost	Fair value not recorded in profit or loss	Fair value recorded in profit or loss	Measurement in accordance with IFRS 16	Fair value
Non-current assets						
Other financial investments	45,900	22,335	23,565	0	/	0
Financial assets	3,273	0	0	3,273	/	0
Current assets						
Trade receivables	223,516	223,516	/	/	/	/
Receivables from related parties	842	842	/	/	/	/
Financial assets	39,183	1,506		36,337		1,340
Cash and cash equivalents	79,763	79,763	/	/	/	/
Non-current liabilities						
Financial liabilities	110,218	/	/	/	/	/
Liabilities to banks	102,675	102,675	0	0		
Lease liabilities	7,543	0	0	0	7,543	0
Liabilities towards related parties	5,500	5,500	0	0	0	0
Other financial liabilities	6,642	6,642	0	0	0	0
Current liabilities						
Financial liabilities	30,567	0	0	0	0	0
Liabilities to banks	25,930	25,930	0	0	0	0
Lease liabilities	4,636	0	0	0	4,636	0
Trade payables	275,843	275,843	0	0	0	0
Liabilities towards related parties	28,660	28,660	0	0	0	0
Other financial liabilities	22,499	0	0	22,499	0	0
Total assets	**392,477**	**327,962**	**23,565**	**39,610**	**0**	**1,340**
Total liabilities	**479,928**	**445,250**	**0**	**22,499**	**12,179**	**0**

1) Measurement category “Financial assets measured at amortized cost” and “Financial liabilities measured at amortized cost”.
2) Measurement category “Financial assets measured at fair value through other comprehensive income”.
3) Measurement category “Financial assets at fair value through profit or loss” or “Financial liabilities at fair value through profit or loss”.

CARRYING AMOUNTS OF FINANCIAL INSTRUMENTS BY MEASUREMENT CATEGORY

		Measurement in accordance with IFRS 9				
		FA_AC[1]	FA_FVOCI[2]	FA_FVPL/ FL_FVPL[3]		No category
in EUR thousands	Carrying amount 28/2/2021	Amortized cost	Fair value not recorded in profit or loss	Fair value recorded in profit or loss	Measurement in accordance with IFRS 16	Fair value
Non-current assets						
Other financial investments	41,442	20,493	20,949	0	/	0
Financial assets	0	0	0	0	/	0
Current assets						
Trade receivables	187,133	187,133	/	/	/	/
Receivables from related parties	1,538	1,538	/	/	/	/
Financial assets	18,370	14		12,770		5,586
Cash and cash equivalents	125,705	125,705	/	/	/	/
Non-current liabilities						
Financial liabilities	87,071	/	/	/	/	/
Liabilities to banks	78,714	78,714	0	0		
Lease liabilities	8,357	0	0	0	8,357	0
Liabilities towards related parties	5,560	5,560	0	0	0	0
Other financial liabilities	17,878	17,878	0	0	0	0
Current liabilities						
Financial liabilities	62,616	0	0	0	0	0
Liabilities to banks	58,106	58,106	0	0	0	0
Lease liabilities	4,511		0	0	4,511	0
Trade payables	263,291	263,291	0	0	0	0
Liabilities towards related parties	31,038	31,038	0	0	0	0
Other financial liabilities	11,001	695	0	10,306	0	0
Total assets	**374,188**	**334,883**	**20,949**	**12,770**	**0**	**5,586**
Total liabilities	**478,456**	**455,282**	**0**	**10,306**	**12,868**	**0**

1) Measurement category "Financial assets measured at amortized cost" and "Financial liabilities measured at amortized cost".
2) Measurement category "Financial assets measured at fair value through other comprehensive income".
3) Measurement category "Financial assets at fair value through profit or loss" or "Financial liabilities at fair value through profit or loss".

The measurement of financial assets and liabilities is made in accordance with the availability of relevant information on the basis of the three levels of the fair value hierarchy detailed in IFRS 7 and IFRS 13. For the first level, market prices for identical assets and liabilities can be observed directly on active markets. For the second level, the measurement is made on the basis of measurement models that are determined by parameters observed on the market. The use of measurement models that are not based on input factors that can be observed on the market is covered by the third level. All derivative financial assets and liabilities are classed under level 2. Accepted financial models are used to determine the fair value of derivative financial instruments; as such, only input factors that can be observed (e.g. interest rates, exchange rates) are taken into account. For derivative financial instruments, fair value corresponds to the amount that the Nordzucker Group would receive or have to pay for the transfer at the end of the reporting period.

For cash and other current financial instruments, i.e. trade receivables, financial assets, derivative financial instruments and other receivables and liabilities, the fair value and the carrying amount at the end of the reporting period are the same.

The net gains or net losses by measurement category (IFRS 9) are as follows:

NET GAINS OR LOSSES FROM FINANCIAL INSTRUMENTS

in EUR thousands	**1/3/2021 – 28/2/2022**	1/3/2020 – 28/2/2021
Financial assets measured at amortized cost (FA_AC)	**4,202**	-304
Financial assets measured at fair value through other comprehensive income FA_FVOCI)	**8,193**	9,366
Financial assets/liabilities measured at fair value through profit or loss (FA_FVPL/FL_FVPL)	**-47,475**	18,371
Financial liabilities measured at amortized cost (FL_AC)	**-8,981**	-8,189
Total	**-44,061**	**19,244**

Financial assets measured at amortized cost include impairments on receivables, interest from receivables and loans granted, as well as gains or losses from currency translation for receivables. Impairments on receivables and gains or losses from currency translation for receivables are recognized in the income statement under “Other income” or “Other expenses”. Interest from receivables and loans granted is presented under “Financial income”.

The item “Financial assets measured at fair value through other comprehensive income” includes dividends, which are recognized in the income statement under “Financial income” or “Financial expenses”.

Changes in the market value of derivative financial instruments are recognized under financial assets/liabilities measured at fair value through profit or loss. They are presented in the income statement under “Financial income” or “Financial expenses”, and also under “Revenues” and “Production costs”.

Interest on loans received is recognized within “Financial liabilities measured at amortized cost”. This is presented in the income statement under “Financial expenses”.

Within the income statement, the “Financial income” or “Financial expenses” item includes interest income of EUR 3,832 (1,730) thousand and interest expenses of EUR 1,229 (1,351) thousand from financial instruments not measured at fair value through profit and loss.

No interest income was received from impaired financial assets in the reporting period or in the comparative period.

44. Risk management

44.1. GENERAL REMARKS

The Nordzucker Group has a comprehensive system in place throughout the company for the early identification and permanent monitoring of risk as well as for risk measurement and limitation. The integrated risk management system is used to identify all risks and the appropriate responses and to ensure these are reflected in operational and strategic planning. Potential risks such as default and credit risks, commodity, liquidity and exchange rate risks as well as interest rate risks are assessed permanently as part of risk management, whereby appropriate steps are developed and implemented. Operating and strategic decision-making always takes risk aspects into account. The Group-wide reporting and controlling system ensures that all the responsible decision makers are continually informed.

By the nature of its business, the Nordzucker Group is exposed to default and credit risks, commodity, liquidity and exchange rate risks as well as interest rate risks. These are controlled by means of suitable risk management processes. The Nordzucker Group uses derivative financial instruments to hedge against interest and exchange rate fluctuations and to hedge costs of raw materials. The use of these instruments is governed by Group guidelines and restricted to the hedging of existing transactions or those which are sufficiently likely to take place. The guidelines define the individuals responsible, the limits and reporting and stipulate a strict separation between trading and clearing. This transparent and functional manner of organizing risk management processes applies to all types of risk.

44.2. DEFAULT RISK

Credit or default risk is the risk that business partners do not meet their contractual payment obligations, causing the Nordzucker Group to suffer a loss as a result. As part of credit risk management, business partners are subject to a credit scoring in order to reduce default risk. Receivables and loans are subject to the impairment requirements of IFRS 9. Expected credit losses for the default risk must be calculated at the end of each reporting period. The impairment item calculated in this way reduces the respective receivable/loan in the statement of financial position; an impairment expense is recognized in the income statement. If the expected credit losses decrease over time, the impairment item is reduced, while impairment income is simultaneously recognized.

Nordzucker limits the default risk for receivables/loans by obtaining commercial credit insurance. Since this type of insurance is taken into account when calculating expected credit losses in accordance with IFRS 9, the expected credit loss for each individual item is usually extremely low.

In general, the Nordzucker Group does not see itself as exposed to a significant default risk from any individual counterparty. As the customer structure for the Nordzucker Group is diverse, there is only a limited concentration of credit risk. There is therefore no special monitoring and management on the basis of specific risk categories to avoid a concentration of risk.

The maximum default risk corresponds to the carrying amounts of the financial assets on the statement of financial position at the end of the reporting period.

For the portion of the receivables portfolio which has neither been impaired nor is past due, there is no indication as of the end of the reporting period that the Nordzucker Group's debtors will not fulfil their payment obligations.

The Nordzucker Group did not provide or receive financial assets as collateral either in the reporting period or in the comparative period.

44.3.LIQUIDITY RISK

Liquidity risk is the risk that the company cannot meet its payment obligations at the contractually agreed time. To ensure the Nordzucker Group's liquidity, its liquidity needs are monitored and planned centrally. Sufficient cash and short-term credit lines are readily available to meet all obligations when they are due.

The following table shows contractually agreed (undiscounted) interest and capital repayments – also categorized by remaining term – for the non-derivative financial liabilities and for derivative financial instruments.

PAYMENTS FROM FINANCIAL INSTRUMENTS BY REMAINING TERM

in EUR thousands	**Carrying amount**	Gross inflow/ outflow	Remaining term of up to one year	Remaining term of one to five years	Remaining term of more than five years
As of 28/2/2022					
Financial liabilities	**140,785**	-140,785	-30,566	-110,218	0
Liabilities to banks	**128,606**	-128,605	-25,930	-102,675	0
Lease liabilities	**12,179**	-12,179	-4,636	-7,543	0
Trade payables	**275,813**	-275,813	-275,813	0	0
Other financial liabilities, liabilities towards related parties	**40,130**	-40,130	-27,988	-12,142	0
Derivative financial liabilities	**23,171**	-23,171	-23,171	0	0
Derivative financial assets	**-36,379**	36,379	36,379	0	0
Total	**443,520**	**-443,520**	**-321,159**	**-122,360**	**0**
As of 28/2/2021					
Financial liabilities	**149,687**	-149,688	-62,616	-85,402	-1,670
Liabilities to banks	**136,820**	-136,820	-58,105	-78,715	0
Lease liabilities	**12,868**	-12,868	-4,511	-6,687	-1,670
Trade payables	**263,291**	-263,291	-263,291	0	0
Other financial liabilities, liabilities towards related parties	**55,171**	-55,171	-31,733	-23,438	0
Derivative financial liabilities	**10,306**	-10,306	-10,306	0	0
Derivative financial assets	**-12,821**	12,821	12,821	0	0
Total	**465,634**	**-465,635**	**-355,125**	**-108,840**	**-1,670**

The term to maturity analysis includes all instruments held for which payments have been contractually agreed as of the end of the reporting period. Forecast payments on expected future liabilities are not included. Floating-rate interest payments on financial instruments are determined using the last interest rates set before the end of the reporting period. Financial liabilities repayable at any time are categorized in accordance with the remaining term according to their estimated repayment dates.

44.4. MARKET RISKS

Market risks arise from potential changes in risk factors, which lead to fluctuations in market values or alterations in future cash flows. The relevant risk factors for the Nordzucker Group are exchange rate and interest rate fluctuations, as well as changes in the price of commodities.

a. Exchange rate risk
Due to its business operations in different countries which are not part of the Eurozone, the Nordzucker Group is exposed to an exchange rate risk.

IFRS 7 requires the disclosure of a sensitivity analysis to illustrate the dimensions of exchange rate risks. The application of sensitivity analyses enables the calculation for this type of risk of the effects that a change of the given exchange rate at the end of the reporting period would have on the net income for the period and on the equity of the Nordzucker Group. The effects are determined by applying a hypothetical change of ten per cent in the exchange rates to the amount of the relevant items in foreign currencies (the net risk position in the foreign currency) as of the end of the reporting period. It is assumed that the exposure at the end of the reporting period is representative of the whole reporting period.

The net risk position is adjusted for planned transactions within the next twelve months and for existing hedging instruments (even if no hedging relationship in accordance with IFRS 9 exists).

Foreign currency positions in Danish Krone are only exposed to an insignificant exchange rate risk, as the country is part of the European Union's exchange rate mechanism. The exchange rate risk from foreign currency positions in US Dollars is also insignificant as the amounts are minor and are hedged directly.

Furthermore, the Nordzucker Group hedges a large proportion of actual currency risks using the natural hedge approach and through the targeted use of derivatives, so that the remaining net risk exposure is insignificant.

b. Interest rate risk
Due to its borrowing activities, the Nordzucker Group is exposed to interest rate risk. Financing is arranged in various currency areas, although the most frequent currencies are the Euro, along with the Australian Dollar (AUD) for Mackay Sugar's financing activities. Interest rate risks from financing activities denominated in Swedish Krona, Polish Zloty or Danish Krone are insignificant, as the amounts involved are minor.

In accordance with IFRS 7 interest rate risks are illustrated using sensitivity analyses. A sensitivity analysis determines the effect that a change in market interest rates at the end of the reporting period would have on the net income for the period and on equity.

In the reporting and comparative periods, no cash flow hedges were used to hedge the interest rate risk of floating-rate instruments since these funds are scheduled to be repaid shortly and no further loans are to be taken out at floating rates of interest thereafter. In view of the remaining duration of the derivatives, a hypothetical change in the relevant interest rates for floating-rate instruments of +/–50 basis points would therefore not have a significant effect in relation to the Group's equity and net interest.

Mackay Sugar uses interest rate derivatives to hedge the interest rate risk arising from long-term financing.

In terms of its investments, the Nordzucker Group has been faced with a new development across Europe since the 2015/2016 financial year. The reserve policy of the European Central Bank and other central banks, entailing negative interest rates on banks' reserve facilities, resulted in increasing pressure on the interest rates paid on the credit balances of corporate clients. A number of institutes are already demanding negative interest rates on deposits. The Nordzucker Group responded to this trend early on and remains in a position to invest money largely without negative interest rates. In addition, the Nordzucker Group now also invests cash and cash equivalents in alternative investments. The objective here is to prevent losses as a result of negative interest rates while also minimizing the risk of changes in value.

c. Commodity risk
As a result of its business activities, the Nordzucker Group is exposed to various price risks for commodities. These primarily relate to world market prices for sugar, energy sources and the related CO_2 emissions.

d. Hedging activities
The Nordzucker Group uses derivative financial instruments solely to hedge interest rate and exchange rate risks as well as price risks for raw materials.

As a rule, the existing interest rate risk for floating-rate loans is reduced by means of interest rate derivatives. All interest rate derivatives are designated as cash flow hedges in hedging relationships under IFRS 9.

It is generally assumed that the hedged transactions will actually take place. If a hedging transaction is cancelled, the amounts accumulated in other comprehensive income during the term of the transaction are reversed when the hedged item is recognized in profit or loss or if it no longer takes place.

In addition to the natural hedge approach for Poland and Sweden, the gross positions are hedged to reduce exchange rate risk. Exchange rate risks are also hedged by means of appropriate derivatives such as currency futures – including for periods of less than a year. At the end of the reporting period, these derivatives had positive fair values totalling EUR 7,394 (2,633) thousand and negative fair values totalling EUR 5,385 (7,077) thousand.

At MSL, derivative financial instruments are primarily used for the purpose of hedging risks. Unless otherwise stated, hedge accounting is used for all derivative financial instruments. In the remainder of the Nordzucker Group, hedge accounting has been used for derivative financial instruments which serve to hedge risks resulting from fluctuations in the price of sugar since the previous reporting period. In the case of hedge accounting, an economic relationship is established between the transaction being hedged (underlying transaction) and the hedging instrument (derivative) in order to assess the hedging relationship and effectiveness. The effectiveness is measured at the beginning and then on a regular basis as required. This is done by designating a single hedging instrument or a combination of hedging instruments as a cash flow hedge in order to compensate for changes in the underlying transaction's cash flows. The nominal amount of the hedging instrument corresponds to that of the underlying transaction, and the cash flows match the dates unless otherwise stated. Changes in the values of the derivative financial instruments are offset with the changes in the fair values or with the underlying transaction's cash flows and, unless otherwise stated, have a hedging ratio of 100% when the hedges are structured.

As of the end of the reporting period, the Group holds derivative financial instruments aimed at hedging currency risks and price risks for sugar and energy. Most of the derivative financial instruments mature within one year.

In order to protect its consolidated net income for the period against raw material price fluctuations, exchange rate movements and price trends for emission rights, the Nordzucker Group has designated future purchases of emission rights and raw materials as underlying transactions for cash flow hedging purposes. The hedging instruments used are corresponding forward transactions on commodities and currency futures which, at the end of the reporting period, had positive fair values totalling EUR 32,452 (9,202) thousand and negative fair values totalling EUR 24,383 (8,699) thousand. During the reporting period, a loss after deferred taxes of EUR 1,968 (income of 4,152) thousand was recognized outside of profit or loss (i.e. in other comprehensive income in the statement of comprehensive income). Income of EUR 13,131 (expenses of 2,483) thousand was also withdrawn from other comprehensive income in the statement of comprehensive income and deducted from the cost of inventories. Due to sales of these inventories, in the period under review an amount of EUR 1,155 (797) thousand was recognized under “Production costs” in the income statement, thus increasing expenses. At the end of the reporting period, hedging relationships resulted in expenses of EUR 4,788 thousand (income of 403) thousand which was recognized outside of profit or loss. Income of EUR 703 (703) thousand was recognized in the income statement as ineffective components of hedging relationships in the reporting period.

A sensitivity analysis for the market values in the statement of financial position would not have a significant effect on the Group’s equity and earnings.

The Group does not measure the derivatives itself. The fair value determination is carried out by the contracting banks using accepted financial methods and observable input factors (level 2 of the fair value hierarchy).

45. Related party transactions

For the Nordzucker Group, related parties within the meaning of IAS 24 are individuals and companies which control the Group or exercise significant influence over it or are controlled or significantly influenced by the Group. The first category includes the active members of the Executive Board and Supervisory Board of Nordzucker AG and its majority shareholder Nordzucker Holding AG. In addition, the subsidiaries, parent company, joint ventures and associated companies of the Nordzucker Group are defined as related parties.

Receivables from and liabilities towards related parties are based on arm’s length transactions.

The following commercial relationships existed with related parties in addition to those existing with fully consolidated subsidiaries:

RELATED PARTY TRANSACTIONS

in EUR thousands	**28/2/2022**	28/2/2021
Statement of financial position		
Receivables from related parties	**842**	1,538
Liabilities towards related parties	**34,160**	36,598
Income statement		
Services provided to related parties	**59**	44
Net financial result	**5,192**	8,372

In the period under review, receivables from related parties in the amount of EUR 842 (1,538) thousand were owed mainly by August Töpfer Zuckerhandelsgesellschaft mbH & Co. KG.

Of the liabilities towards related parties in the reporting period, EUR 8,197 thousand was owed to Nordzucker Holding AG, Braunschweig, EUR 5,510 thousand to MEF Melasse-Extraktion Frellstedt GmbH, Frellstedt, and EUR 20,052 thousand to Union Zucker Südhannover GmbH, Nordstemmen. Of the liabilities towards related parties in the comparative period, EUR 11,115 thousand was owed to Nordzucker Holding AG, Braunschweig, EUR 5,570 thousand to MEF Melasse-Extraktion Frellstedt GmbH, Frellstedt, and EUR 18,227 thousand to Union Zucker Südhannover GmbH, Nordstemmen.

Nordzucker Holding AG and Union Zucker Südhannover GmbH are shareholders of Nordzucker AG; the liabilities relate to loans and current accounts. The remaining liabilities relate to other related parties and result largely from loans and trade in goods and services.

The net financial result is from associated companies and joint ventures.

46. Contingent liabilities

As of the end of the reporting period and comparative period, there were no contingent liabilities towards third parties outside the Group.

47. Other financial obligations and contingent receivables

The Nordzucker Group’s other financial obligations are made up as follows:

OTHER FINANCIAL OBLIGATIONS

in EUR thousands	**28/2/2022**	28/2/2021
Purchase commitments for property, plant and equipment	**25,391**	32,342
Purchase commitments for intangible assets	**1,265**	2,871
Queensland subsidy	**4,229**	4,229
Total	**30,884**	**39,442**

48. Auditors' fees

Companies in the Nordzucker Group purchased services for EUR 377 (370) thousand from Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft, Hannover, in connection with the statutory audit of financial statements for the Nordzucker Group and Nordzucker AG and other services for EUR 63 (29) thousand.

49. Supervisory Board and executive Board

In the reporting period, the Supervisory Board was made up as follows:

SUPERVISORY BOARD

Shareholder representatives
Jochen Johannes Juister,
Farmer, Nordhastedt
Chairman

Helmut Bleckwenn,
Farmer, Garmissen
Deputy Chairman

Dr Karl-Heinz Engel,
former Managing Director of
Hochwald Foods GmbH, Riol

Alexander Heidebroek,
Farmer, Gevensleben

Friedrich Christoph Heins,
Farmer, Uehrde

Eckard Hinrichs,
Farmer, Wrestedt-Wieren

Henrik Madsen,
Chief Executive Officer of Hauptgenossenschaft
Nord AG, Kiel

Bernd Schliephacke
Farmer, Rohrsheim

Dr Carin-Martina Tröltzsch,
Corteva Agriscience, Managing Director of
Strategic Business Development Europe,
Bad Homburg v.d. Höhe

Grit Worsch,
Chair of the Executive Board of
VR PLUS Altmark-Wendland eG, Woltersdorf

Employee representatives
Sigrun Krussmann,
Laboratory Technician, Seelze
Deputy Chairwoman

Steffen Blümel,
Energy Facility Electrician, Uelzen

Ulf Gabriel,
Electrician, Banteln

Olaf Joern,
Mechatronics Engineer, Uelzen

Matthias Kranz,
Human Resources Administrator, Groß Schwülper

The members of the Executive Board in the reporting period were as follows:

EXECUTIVE BOARD

Dr Lars Gorissen,
Braunschweig, Chief Executive Officer

Axel Aumüller,
Braunschweig, Chief Operating Officer
(until 28 February 2022)

Alexander Bott,
Düsseldorf, Chief Financial Officer

Alexander Godow,
Hannover, Chief Marketing Officer
(1 January 2022 until 28 February 2022)

Alexander Godow will succeed Axel Aumüller as COO of Nordzucker AG on 1 March 2022. To expedite the goal of creating a fully integrated supply chain by combing production and sales, Mr Aumüller will step down from his position on the Executive Board on 28 February 2022 at his own request. Axel Aumüller will continue to assist and advise the company until his contract ends on 28 February 2023.

50. Remuneration report

In the following section, the principles of remuneration for members of the Executive Board and Supervisory Board of Nordzucker AG are described and the amount of their remuneration disclosed, together with disclosures on shares held by members of the Executive Board and Supervisory Board.

50.1. REMUNERATION OF THE EXECUTIVE BOARD

The structure and amount of Executive Board remuneration are determined and regularly reviewed by the full Supervisory Board following a proposal from the Human Resources Committee of the Supervisory Board.

The criteria for determining the remuneration of individual Executive Board members are their responsibilities, personal performance, the economic situation, business success, future prospects, sustainable corporate development and also the extent to which the remuneration is generally accepted considering the sphere of comparison and remuneration structures applicable elsewhere in the company.

The total remuneration of Executive Board members includes monetary payments, benefit commitments and other commitments such as the provision of a company car. The monetary remuneration components consist of a fixed basic annual salary, paid in twelve equal monthly instalments, as well as a variable earnings and performance-related payment. The variable portion, plus any special remuneration, can be up to a maximum of 50 per cent of total compensation (total compensation is made up of the fixed basic annual salary and the variable remuneration, as well as any special remuneration). Since the 2016/2017 reporting period, the variable remuneration paid to Executive Board members has been calculated based on a one-year observation period and taking key indicators that are relevant for control purposes into account. The Executive Board's variable remuneration for the 2021/2022 financial year was once again based on the successful implementation of earnings contributions resulting from sustainable savings in the Group. The variable remuneration components are no longer measured on the basis of several years.

This results in the following remuneration for individual members of the Executive Board for the 2021/2022 reporting period and for the 2020/2021 comparative period:

REMUNERATION OF EXECUTIVE BOARD MEMBERS 2021/2022

	Cash payments		Pensions	Other*	Total
in EUR	Fixed salary	Variable annual bonus			
Dr Lars Gorissen	610,000	137,910	125,000	20,307	**893,217**
Axel Aumüller	575,000	120,671	125,000	14,261	**834,932**
Alexander Bott	530,000	120,671	125,000	17,036	**792,707**
Alexander Godow	71,667	20,112	20,833	4,049	**116,661**
Total	**1,786,667**	**399,364**	**395,833**	**55,653**	**2,637,517**

* Monetary benefits in line with tax regulations, e.g. from the provision of company cars etc.

REMUNERATION OF EXECUTIVE BOARD MEMBERS 2020/2021

	Cash payments		Pensions	Other*	Total
in EUR	Fixed salary	Variable annual bonus			
Dr Lars Gorissen	610,000	168,440	125,000	19,922	**923,362**
Axel Aumüller	575,000	147,385	125,000	13,913	**861,298**
Erik Bertelsen	475,000	147,385	125,000	21,980	**769,365**
Alexander Bott	425,000	147,385	125,000	15,896	**713,281**
Total	**2,085,000**	**610,595**	**500,000**	**71,711**	**3,267,306**

* Monetary benefits in line with tax regulations, e.g. from the provision of company cars etc.

The members of the Executive Board are assured pension commitments in the form of defined benefit commitments and defined contribution commitments.

Former Executive Board members received pension payments of EUR 861 (850) thousand. Nordzucker AG recognized provisions of EUR 10,231 (11,627) thousand for pension commitments to former Executive Board members.

In the reporting and comparative period, members of the Executive Board received neither loans nor advances from the company.

50.2. REMUNERATION OF THE SUPERVISORY BOARD

The remuneration of the Supervisory Board is based on the size of the company, the duties and responsibilities of the members of the Supervisory Board and the economic situation of the company. The remuneration includes a dividend-related component and an attendance fee, in addition to a fixed payment. The chairs and deputy chairs of the Supervisory Board and the chairs of committees as well as those participating in them receive additional remuneration (with the exception of the Nomination Committee).

The remuneration of the Supervisory Board is defined in Sec. 12 of the Articles of Association of Nordzucker AG.

In accordance with these rules, members of the Supervisory Board receive a fixed salary of EUR 18,000 and a dividend-related payment of EUR 90 for every EUR 0.01 of dividend paid out per share on average over the past three years. Subject to approval at the Annual General Meeting, the dividend for the 2021/2022 reporting period will be EUR 0.80 per share (2020/2021 reporting period: EUR 0.60; 2019/2020 reporting period: EUR 0.00). The amount of variable remuneration is limited to the amount of one fixed salary. The Chairman of the Supervisory Board receives 2.5 times the total of fixed and variable remuneration for an ordinary member, the Deputy Chairman and the Chairmen of the committees each receive 1.4 times the remuneration of an ordinary member, and committee members receive 1.2 times the remuneration of an ordinary member. If a member of the Supervisory Board occupies more than one of these positions, the increased rate of remuneration only applies once. In addition, every member of the Supervisory Board receives an attendance fee of EUR 300 for attending each meeting of the Supervisory Board and its committees. A maximum of two meetings per day can be remunerated.

Subject to the approval of the dividend proposal at the Annual General Meeting, the following payments will be made for the 2021/2022 reporting period:

REMUNERATION OF SUPERVISORY BOARD MEMBERS 2021/2022

Figures in EUR	Fixed remuneration*	Variable remuneration*	Total	Factor	Pro rata	**Total remuneration**	**Attendance fee***	**Total**	**Total previous year****
Jochen Johannes Juister Chairman	18,000	4,200	22,200	2.5	365/365	55,500	9,600	**65,100**	56,700
Helmut Bleckwenn (Deputy Chairman)	18,000	4,200	22,200	1.4	365/365	31,080	7,800	**38,880**	34,920
Sigrun Krussmann (Deputy Chairwoman)	18,000	4,200	22,200	1.4	365/365	31,080	6,600	**37,680**	33,720
Steffen Blümel	18,000	4,200	22,200	1.2	365/365	26,640	3,000	**29,640**	26,460
Dr. Karl-Heinz Engel	18,000	4,200	22,200	1.0	365/365	22,200	3,000	**25,200**	21,300
Ulf Gabriel	18,000	4,200	22,200	1.2	365/365	26,640	4,200	**30,840**	26,460
Alexander Heidebroek	18,000	4,200	22,200	1.2	365/365	26,640	4,200	**30,840**	28,260
Friedrich Christoph Heins	18,000	4,200	22,200	1.4	365/365	31,080	4,500	**35,580**	32,220
Eckhard Hinrichs	18,000	4,200	22,200	1.0	129/365	7,846	0	**0**	0
Eckhard Hinrichs	18,000	4,200	22,200	1.2	236/365	17,225	0	**0**	0
Eckhard Hinrichs	18,000	4,200	22,200	s.o.	365/365	25,071	3,000	**28,071**	8,412
Olaf Joern	18,000	4,200	22,200	1.2	365/365	26,640	3,900	**30,540**	26,460
Matthias Kranz	18,000	4,200	22,200	1.2	365/365	26,640	4,800	**31,440**	28,560
Henrik Madsen	18,000	4,200	22,200	1.0	129/365	7,846	0	**0**	0
Henrik Madsen	18,000	4,200	22,200	1.2	236/365	17,225	0	**0**	0
Henrik Madsen	18,000	4,200	22,200	s.o.	365/365	25,071	2,700	**27,771**	21,300
Bernd Schliephacke	18,000	4,200	22,200	1.2	365/365	26,640	5,700	**32,340**	28,560
Dr Carin-Martina Tröltzsch	18,000	4,200	22,200	1.2	365/365	26,640	3,000	**29,640**	26,460
Grit Worsch	18,000	4,200	22,200	1.2	365/365	26,640	6,000	**32,640**	29,160
Summe						**484,343**	**72,000**	**506,202**	**428,952**

* Does not include the VAT paid on behalf of Supervisory Board members for their work.
** Rounding differences

Furthermore, the members of the Supervisory Board are reimbursed for all out-of-pocket expenses incurred in the exercise of their duties as well as for the VAT payable on their remuneration and on the reimbursed expenses. The total amount of these reimbursements, including VAT, was EUR 12 (11) thousand.

No members of the Supervisory Board received loans or advances from the company in the reporting and comparative period.

50.3. SHARES HELD BY MEMBERS OF THE EXECUTIVE BOARD AND SUPERVISORY BOARD

Members of the Executive Board hold no significant amounts of shares.

As of 28 February 2022, members of the Supervisory Board and related parties held under 1 per cent of the issued share capital of Nordzucker AG. The shares bear no relation to the remuneration of the Supervisory Board.

50.4. OTHER

Board members of Nordzucker AG are insured by Nordzucker AG against third-party claims as allowed by law.

For this purpose, the company has taken out D&O insurance for members of the Boards of Nordzucker AG. The insurance policy is taken out or renewed annually and covers the personal liability of Board members for claims for damages arising in the course of their work. For the members of the Executive Board, it includes an excess in accordance with Section 93 paragraph 2 sentence 3 AktG (German Stock Corporation Act).

51. Dividend proposal

The dividends that can be distributed to shareholders are defined in the German Stock Corporation Act (AktG) as the net distributable profit as determined under German commercial law and disclosed in the annual financial statements of Nordzucker AG. The annual financial statements of Nordzucker AG for the 2021/2022 reporting period show a net distributable profit of EUR 38,641 thousand. The Executive Board proposes to use EUR 38,641,040 (representing a dividend of EUR 0.80 per qualifying share) for the payment of a dividend for the 2021/2022 reporting period (previous year: EUR 28,980,780).

52. Events after the reporting period

Since the end of the financial year, the war in Ukraine has had an adverse impact socially and economically in Europe and around the world. For details about the effects on the consolidated financial statements of Nordzucker AG, we refer to the information in the forecast section of the management report.

There were no other significant events after the end of the financial year that require reporting.

Braunschweig, Germany, 16 May 2022

The Executive Board

Lars Gorissen   Alexander Bott   Alexander Godow

Dr Lars Gorissen   Alexander Bott   Alexander Godow

LIST OF SHAREHOLDINGS

of Nordzucker AG, Braunschweig, as of 28 February 2022

		Shareholding		
		direct	indirect	
	Shortened form	%	%	via companies
Consolidated subsidiaries				
Norddeutsche Flüssigzucker GmbH & Co. KG (Braunschweig, Germany)	NFZ KG	70 %		
Norddeutsche Flüssigzucker Verwaltungs-GmbH (Braunschweig, Germany)	NFZ GmbH	70 %		
Nordzucker GmbH & Co. KG (Braunschweig, Germany)	NZ KG	100 %		
Nordzucker Services GmbH & Co. KG (Braunschweig, Germany)	NZ Services KG	100 %		
Nordzucker Polska S.A. (Opalenica, Poland)	NZ Polska	99.87 %		
Považský Cukor a.s. (Trencianska Tepla, Slovakia)	Povazsky	96.801 %		
Nordic Sugar Holding A/S (Kopenhagen, Denmark)	NSH AS	100 %		
Nordic Sugar A/S (Kopenhagen, Denmark)	NS AS		100 %	NSH AS
Nordic Sugar AB (Malmö, Sweden)	NS AB		100 %	NSH AS
Arlöv Sockerbruks Depa AB (Malmö, Sweden)	Arlöv SD AB		100 %	NS AB
Arlövs Sockerbruks Fastighets AB (Malmö, Sweden)	Arlöv SF AB		100 %	NS AB
AB Nordic Sugar Kėdainiai (Kėdainiai, Lithuania)	NS Kėdainiai		70.6 %	NS AS
UAB Nordzucker Business Services (Kaunas, Lithuania)	NBS	100 %		
Nordic Sugar Oy (Kantvik, Finland)	NS Oy		100 %	NS AS
Sucros Oy (Säkylä, Finland)	Sucros Oy		80 %	NS Oy
Suomen Sokeri Oy (Kantvik, Finland)	Suomen Oy		80 %	Sucros Oy
Nordzucker Ireland Limited (Dublin, Ireland)	NZ Ireland	100 %		
Nordzucker Cane Sugar Holding GmbH (Braunschweig, Germany)	NZCS	100 %		
Mackay Sugar Limited (Mackay, Australia)	MSL		70.94 %	NZCS
Queensland Commodity Service Pty Ltd. (Mackay, Australia)	QCS		70.94 %	MSL
Mackay Commodity Trading Pty Ltd. (Mackay, Australia)	MCS		70.94 %	MSL
Joint ventures accounted for using the equity method				
MEF Melasse-Extraktion Frellstedt GmbH (Frellstedt, Germany)	MEF		50 %	NZ KG
Norddeutsche Zucker-Raffinerie Gesellschaft mit beschränkter Haftung (Frellstedt, Germany)	NZR		50 %	NZ KG
Sugar Australia Pty Ltd. (Yarraville, Australia)	Sugar Aust		17.74 %	MSL
Sugar Australia JV (Yarraville, Australia)	Sugar Aust		17.74 %	MSL
Associated companies accounted for using the equity method				
August Töpfer Zuckerhandelsgesellschaft mbH & Co. KG (Hamburg, Germany)	ATZU	25 %		
New Zealand Sugar Company Pty Ltd. (Auckland, New Zealand)	NZSC		17.74 %	MSL
Oriana Shipping Co Pte Ltd. (Singapore)	Oriana		17.74 %	MSL

		Shareholding		
		direct	indirect	
	Shortened form	%	%	via companies
Non-consolidated subsidiaries				
NORDZUCKER Verwaltungs-GmbH (Braunschweig, Germany)	NZ GmbH		100 %	NZ KG
NZ Zweite Vermögensverwaltungsgesellschaft mbH (Braunschweig, Germany)	NZ 2. VVG	100%		
Nordzucker Services Verwaltungs-GmbH (Braunschweig, Germany)	NZ Services GmbH	100%		
Nordic Sugar SIA (Riga, Latvia)	NS SIA		100 %	NS AS
Associated companies not accounted for using the equity method				
August Töpfer Verwaltungs GmbH (Hamburg, Germany)	ATV	25 %		
Other non-consolidated investments				
Tereos TTD a.s. (Dobrovice, Czech Republic)	TTD	35.38 %		
Tropical Cubes Co. Ltd. (Morcellement St André, Mauritius)	TC		12.5 %	ATZU
C.I. Food Colombia S.A.S. (Yumbo, Colombia)	CIF		12.5 %	ATZU
H.S.T. Hamburg Sugar Terminal GmbH & Co. KG (Hamburg, Germany)	HST		16.67 %	ATZU
Verwaltungsgesellschaft H.S.T. Hamburg Sugar Terminal mbH (Hamburg, Germany)	VHST		16.67 %	ATZU
Racecourse Projects Pty Ltd. (Balberra, Australia)			3.83 %	MSL
Sugar Terminal Limited (Brisbane, Australia)			6.46 %	MSL

Report by the Supervisory Board of Nordzucker AG for the 2021/2022 financial year

Jochen Johannes Juister
Chairman of the Supervisory Board

Dear shareholders,

Nordzucker AG can look back on a very encouraging financial year. As a result, the Supervisory Board and the Executive Board will be proposing the distribution of a dividend of EUR 0.80 per share at the Annual General Meeting – this means that you, our shareholders and owners, will receive an adequate return on your capital employed, allowing you to participate in the positive earnings achieved in the financial year under review.

A higher price level for sugar combined with a significant increase in sales volumes for sugar led to a clear improvement in the Nordzucker Group's earnings position compared with the previous year. An additional contributing factor here was our investment in the Australian sugar manufacturer Mackay Sugar Ltd. whose earnings were highly positive. Furthermore, the consistent continuation of our optimization and cost-cutting programme ActNow!, which was launched by the Executive Board with the support of the Supervisory Board after the sugar market regime expired, played a fundamental part in enabling positive earnings contributions over the long term. Earnings contributions of almost EUR 70 million were generated here by adjusting business processes, implementing a new organizational structure and improving the sales process. The Supervisory Board wishes to express its gratitude to the Executive Board and the entire workforce for systematically implementing this programme.

The Supervisory Board supports the company strategy developed by the Executive Board, which was reviewed and enhanced in 2021. As a result, this strategy was reorganized into the three fields of sustainability, excellence and growth. This reaffirmed the importance of and long-term positive prospects for the company's core business in the EU and the goal of achieving growth in the sugar business outside Europe. It also resulted in the addition of further core aspects such as sustainability and the development of new business areas. The excellence initiative launched in 2021 combines cost-cutting and optimization measures along the entire value chain – from beet cultivation to the customer. Beet cultivation is the basis for the company's core business in Europe. Attractive contract offers, cultivation advice in the field, digital services and optimizations in the logistics chain form the focal points within its close partnerships with its beet growers. Nordzucker is also focused on three areas of growth: cane sugar, alternative products made from sugar and sugar beet, and plant-based proteins. Sugar is a product in high demand across the globe. Its consumption will continue to increase in the future as the world population grows and prosperity levels rise. The Supervisory Board and Executive Board will therefore consult closely if attractive investment opportunities arise in this context, including outside of Europe.

A regular part of reporting and discussions are the approaches to and results of the further transformation of the company: Production costs continue to be reduced and the administration processes are being made more efficient. The Supervisory Board therefore expressly welcomes the excellence initiatives launched throughout the value chain. The company is thus preparing itself well for the future!

The Supervisory Board firmly believes that Nordzucker will further improve the company's competitiveness and thus beet cultivation in Europe on the basis of its systematic pursuit of these measures. Through continual work with growers and external partners, the company is actively taking up the challenges posed by increasingly stringent environmental legislation in the field. It supports projects that meet these challenges.

Personnel matters

According to the company's Articles of Association, the Supervisory Board has 15 members. Of the 15 members of the Supervisory Board, ten are shareholders' representatives and five are employees elected in accordance with the German act on one-third employee representation. At the Annual General Meeting on 7 July 2021 the shareholders of Nordzucker AG again elected Dr Carin-Martina Tröltzsch to the Supervisory Board for a five-year term of office.

The following changes occurred on the Executive Board: The Supervisory Board of Nordzucker AG appointed Alexander Godow (55) as a member of the Executive Board with effect from 1 January 2022. Mr Godow was initially in charge of sales and marketing. On 1 March 2022, Mr Godow also took over responsibility for production. The goal is to combine the customer focus of sales activities with the efficiency of our production and to reduce the number of points of contact. The operational areas of production and sales & marketing are therefore being combined into one Executive Board responsibility. Mr Godow thus succeeded Axel Aumüller as COO of Nordzucker AG on 1 March 2022. Mr Aumüller stepped down from the Executive Board prematurely on 28 February 2022 to enable the company to combine the areas of production and sales more quickly. The Executive Board of Nordzucker AG will comprise three members in future.

The work of the Supervisory Board: Supervisory Board meetings and resolutions

In the 2021/2022 financial year, the Supervisory Board of Nordzucker AG carried out the duties required of it by statutes, the company's Articles of Association and rules of procedure, advising and monitoring the Executive Board of Nordzucker AG and the Nordzucker Group on an ongoing basis. This monitoring and advising took place in particular in meetings of the Supervisory Board and its committees.

The Supervisory Board held four ordinary meetings in the 2021/2022 financial year. Furthermore, the Supervisory Board held a constitutive meeting following the Annual General Meeting in July 2021. In August, the Supervisory Board convened for an extraordinary meeting. The Executive Board of Nordzucker AG also attended each of the ordinary meetings.

At its first ordinary meeting in the year under review on 9 March 2021, the Supervisory Board adopted the budget for the Nordzucker Group for the 2021/2022 financial year and extensively discussed and debated the long-term financial planning. In addition, the Supervisory Board examined in detail the implementation of Nordzucker's strategy.

The annual and consolidated financial statements for the 2021/2022 financial year and the dependent company report were the main subject of the second ordinary Supervisory Board meeting held on 26 May 2021 (financial statements meeting). After hearing the auditors' report and conducting an in-depth discussion, and on the recommendation of its Audit and Finance Committee, the Supervisory Board endorsed the annual financial statements of Nordzucker AG and approved the consolidated financial statements.

As a result of the pandemic situation and the associated restrictions, the Supervisory Board discussed in great detail the format for the Annual General Meeting. Regrettably, it was still not possible to hold an Annual General Meeting in person as normal. The Executive and Supervisory Boards therefore opted to hold a virtual Annual General Meeting, in order to protect the health of the company's shareholders and its employees as well as its Executive and Supervisory Boards. For the first time, the shareholders of Nordzucker Holding AG and Nordzucker AG attended a joint Annual General Meeting.

The constitutive meeting of the Supervisory Board took place immediately after the virtual Annual General Meeting on 7 July 2021 and focused on personnel matters. The members of the Supervisory Board unanimously re-elected Jochen Johannes Juister as the Chairman of the Supervisory Board. The shareholder representative Helmut Bleckwenn was confirmed as the Deputy Chairman. At the proposal of the employee representatives, Sigrun Krussmann was unanimously re-elected as a further Deputy Chairperson of the Supervisory Board.

The following members were elected to the Steering Committee chaired by the Chairman of the Supervisory Board, Jochen Johannes Juister: Helmut Bleckwenn, Alexander Heidebroek and Dr Carin-Martina Tröltzsch as representatives of the shareholders, and Sigrun Krussmann and Steffen Blümel as employee representatives. Friedrich-Christoph Heins remains Chairman of the Audit and Finance Committee, while Jochen Johannes Juister, Henrik Madsen, Grit Worsch, Ulf Gabriel and Olaf Joern were elected as members of the Audit and Finance Committee.

Helmut Bleckwenn, Sigrun Krussmann, Matthias Kranz, Bernd Schliephacke and Grit Worsch were elected as members of the Human Resources Committee and Eckhard Hinrichs, Bernd Schliephacke and Dr Karl-Heinz Engel were elected to the Nomination Committee. Jochen Johannes Juister chairs the Human Resources and Nomination Committees in his role as Chairman of the Supervisory Board. In addition, the Supervisory Board established a Committee for Political and Public Affairs, chaired by Helmut Bleckwenn. Eckhard Hinrichs and Sigrun Krussmann are also members, while Jochen Johannes Juister is a permanent guest of the committee.

The Supervisory Board held an extraordinary meeting on 27 August 2021. At this meeting, the Supervisory Board appointed Mr Alexander Godow as a member of the Executive Board with effect from 1 January 2022.

At its third ordinary meeting held on 22 September 2021, the Supervisory Board, after careful consideration and on the recommendation of its Audit and Finance Committee, adopted the investment budget for the coming financial year as proposed by the Executive Board and was provided with detailed information on the long-term investment planning. In connection to this, the Supervisory Board discussed potential measures to achieve a CO_2 reduction in the sugar production process – the move away from fossil fuels will require enormous efforts within the Group over the next few years. Nordzucker has signed up to the Science Based Targets initiative as part of its sustainability strategy and is working on aligning its Group-wide goal of lower greenhouse gas emissions with the objectives of the Paris climate agreement on an independent and scientific basis.

The fourth ordinary Supervisory Board meeting was held on 17 and 18 November 2020. The meeting focused on the presentation of the company strategy. As a result, the strategy was reorganized into the three fields of sustainability, excellence and growth. This reaffirmed the importance of and long-term positive prospects for the company's core business in the EU and the goal of achieving growth in the sugar business outside Europe. It also resulted in the addition of further core aspects such as sustainability and the development of new business areas. Within these fields, Nordzucker is pursuing a range of projects organized on a cross-border basis in order to further develop the company. Reliability and flexibility in the value chain and towards beet growers and customers are a top priority here.

At all its meetings in the reporting year the Supervisory Board also discussed the consequences and risks of the antitrust proceedings concerning Nordzucker, the company's financial status and the forecasts and budgets for Nordzucker AG and the Nordzucker Group. It discussed the Nordzucker Group's strategy, continued development and corporate planning with the Executive Board on a regular basis. Also discussed at Supervisory Board meetings were the course of business, risk exposure, risk management, the internal control system and conformity with compliance regulations as well as transactions of considerable importance.

The Executive Board fulfilled its obligations as defined by statute, the Articles of Association and the rules of procedure and regularly informed the Supervisory Board about events of importance for the company, promptly and comprehensively, both in the course of and outside Supervisory

Board meetings. The Executive Board presented to the Supervisory Board all matters requiring its authorization. After thorough review and discussion, the Supervisory Board gave its approval to the Executive Board proposals.

The Chairman of the Supervisory Board was in regular close contact with the Executive Board, also in-between Supervisory Board meetings. He was informed of the current state of business and major transactions and discussed with the Executive Board matters of strategy, planning, corporate development, risk exposure, risk management and compliance with company standards.

In the 2021/2022 financial year, the Supervisory Board was not informed of any conflict of interest by any of its members – in particular of any conflicts of interest which may result from a consultant or directorship function with clients, suppliers, lenders or other business partners. The members of the Supervisory Board regularly participated in the meetings of the Supervisory Board and its committees.

Supervisory Board committees

For the efficient exercise of its duties, the Supervisory Board of Nordzucker AG has formed the following five committees: Steering Committee, Audit and Finance Committee, Human Resources Committee, Nomination Committee and Committee for Political and Public Affairs. The committee chairs reported on the main elements of the committee meetings at the Supervisory Board meetings. Minutes and documents of all committee meetings were provided to all the Supervisory Board members.

The Supervisory Board Steering Committee met four times in the 2021/2022 financial year (11 May 2021, 7 September 2021, 3 November 2021 and 17 February 2022). The Supervisory Board Executive Committee discussed the latest key topics concerning the Nordzucker Group, important projects and the company’s strategic direction. In addition, the Steering Committee prepared the Supervisory Board meetings (including the dates and agenda items) and the Annual General Meeting.

The Audit and Finance Committee met seven times in the 2021/2022 financial year (6 May 2021, 11 May 2021, 18 June 2021, 5 July 2021, 7 September 2021, 3 November 2021 and 28 February 2022). It looked regularly at the financial situation and forecasts, company funding, investment planning, quarterly and half-year results for the Nordzucker Group and Nordzucker AG, risk management, the internal control system and the effectiveness, the resources and the findings of the Internal Audit department. In the presence of the auditors, the committee discussed the financial statements and management reports for the Nordzucker Group and Nordzucker AG for the 2020/2021 financial year. Its work also included appointing the auditors for the 2021/2022 financial year and verifying their independence. The examination and approval of the annual and consolidated financial statements and the dependent company report for the completed 2021/2022 financial year as well as the proposal for election of the auditors for the 2022/2023 financial year and the proposal to the Annual General Meeting for the appropriation of net profit were prepared at an additional meeting held outside the period under review on 17 May 2022.

The Human Resources Committee met nine times in the reporting period: on 6 April 2021, 30 April 2021, 23 June 2021, 17 July 2021, 21 July 2021, 5 August 2021, 10 December 2021, 25 January 2022 and 7 February 2022. It prepared the Supervisory Board's decisions on the variable remuneration paid to the Executive Board. The Executive Board's variable remuneration for the 2021/2022 financial year was based on the successful implementation of earnings contributions resulting from sustainable savings in the Group through the transformation process as well as key earnings figures. The Human Resources Committee dealt in great detail with the future structure of the Executive Board and took note of Mr Aumüller's willingness to step down prematurely from his position on the Executive Board due to the current succession planning for the composition of the Executive Board. The Supervisory Board of the company and Mr Aumüller reached agreement on terminating Mr Aumüller's membership of the Executive Board prematurely as of 28 February 2022. In this context, the Human Resources Committee recommended the appointment of Mr Alexander Godow as a new member of the Executive Board. The Human Resources Committee firmly believes that, with three members, the Executive Board is of the right size for our company on a long-term basis. The Human Resources Committee also focused extensively on the system of variable remuneration for the Executive Board.

The Nomination Committee met three times in the 2021/2022 financial year. It discussed the skills profile for membership of the Supervisory Board as a shareholder representative and also made proposals to the full Supervisory Board on candidates for the chair and deputies as well as the Supervisory Board committees. It also recommended to the Annual General Meeting that Dr Carin-Martina Tröltzsch be re-elected.

The newly established Committee for Political and Public Affairs met twice and focused on the current political environment for agriculture and, together with the Executive Board of Nordzucker AG, conducted discussions with political decision makers in this regard.

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The Executive Board presented the Supervisory Board in good time with the annual financial statements of Nordzucker AG and the Group, the management report and the Group management report, the proposal for the use of profits and the report on related party transactions. Ernst & Young GmbH Wirtschaftsprüfungsgesellschaft, Hanover, were selected as auditors at the Annual General Meeting on 7 July 2021 at the Supervisory Board's proposal. They audited the 2021/2022 annual financial statements for Nordzucker AG including the management report, the consolidated financial statements and the Group management report and issued each with an unqualified audit opinion. The auditors also audited the dependent company report, presented it to the Supervisory Board members in good time and gave the following opinion: “Following our professional audit and assessment we confirm that 1. the factual statements in the report are correct, and that 2. the consideration paid by the company in the transactions listed in the report was not inappropriately high.”

The aforementioned documents were presented in good time, examined thoroughly by the Audit and Finance Committee and the Supervisory Board, and were discussed in detail in the presence of the auditors following their report on the main findings of the audit. The Supervisory Board concurs with the result of the audit and concluded from its own examination at the meeting held on 31 May 2022 that it has no objections to make. The Supervisory Board approved the annual and consolidated financial statements as prepared by the Executive Board; the annual financial statements are thereby adopted. The Supervisory Board also approved the Executive Board’s proposal to use the net distributable profit to pay a dividend of EUR 0.80 per share for the 2021/2022 financial year.

Finally, the Supervisory Board would like to thank the Executive Board and all the employees of the Nordzucker Group for their work in the 2021/2022 financial year.

Braunschweig, Germany, 31 May 2022

Jochen Juister

Jochen Johannes Juister
Chairman of the Supervisory Board

Independent auditor's report

To Nordzucker AG

OPINIONS

We have audited the consolidated financial statements of Nordzucker AG, Braunschweig, and its subsidiaries (the Group), which comprise the consolidated income statement, the consolidated statement of comprehensive income and the consolidated statement of cash flows for the fiscal year from 1 March 2021 to 28 February 2022, the consolidated statement of financial position as at 28 February 2022, the consolidated statement of changes in equity for the fiscal year from 1 March 2021 to 28 February 2022 and the notes to the consolidated financial statements, including a summary of significant accounting policies. In addition, we have audited the group management report of Nordzucker AG for the fiscal year from 1 March 2021 to 28 February 2022.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRSs as adopted by the EU, and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB ["Handelsgesetzbuch": German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities and financial position of the Group as at 28 February 2022 and of its financial performance for the fiscal year from 1 March 2021 to 28 February 2022, and

- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development.

Pursuant to Sec. 322 (3) Sentence 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

BASIS FOR THE OPINIONS

We conducted our audit of the consolidated financial statements and of the group management report in accordance with Sec. 317 HGB and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinions on the consolidated financial statements and on the group management report.

OTHER INFORMATION

The executive directors are responsible for the other information. The other information comprises the following parts to be included in the annual report, of which we obtained a version prior to issuing this auditor's report, in particular:

the report of the supervisory board and the other parts of the published annual report but not the consolidated financial statements, not the group management report disclosures whose content is audited and not our auditor's report thereon.

Our opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information and, in so doing, to consider whether the other information is materially inconsistent with the consolidated financial statements, with the group management report or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

RESPONSIBILITIES OF THE EXECUTIVE DIRECTORS AND THE SUPERVISORY BOARD FOR THE CONSOLIDATED FINANCIAL STATEMENTS AND THE GROUP MANAGEMENT REPORT

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB, and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS AND OF THE GROUP MANAGEMENT REPORT

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Sec. 317 HGB and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of these systems.

- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.

- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinions.

- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with [German] law, and the view of the Group's position it provides.

- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Hanover, 17 May 2022

Ernst & Young GmbH
Wirtschaftsprüfungsgesellschaft

Dr Janze	Schlüter
Wirtschaftsprüfer	Wirtschaftsprüferin
[German Public Auditor]	[German Public Auditor]

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This Annual Report for the Nordzucker Group is also available in German.
The report can be downloaded online as a PDF in German or English at
www.nordzucker.com from the Download Centre.